

No. 20-12897

**THE UNITED STATES COURT OF APPEALS
FOR THE ELEVENTH CIRCUIT**

DEEPGULF, INC. AND TOKE OIL AND GAS, S.A.

Plaintiff/Appellant,

v.

MARC MOSZKOWSKI,

Defendant /Appellee

On Appeal from the United States District Court for the
Northern District of Florida, Pensacola Division
Case No. 3:18-cv-01466-TKW-MJF

**APPENDIX TO INITIAL BRIEF OF APPELLANT
VOLUME III**

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Respectfully Submitted,

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CERTIFICATE OF SERVICE

I HEREBY CERTIFY that I have on this 5th day of October, 2020, a copy of the foregoing has been furnished to the Defendant/Appellee, Marc M. Moszkowski, Chalet De Bulvedere, Le Croy 73350, Champagny-EN, Vanoise, FF (m.moszkowski@deepgulf.net) via the Court's E-filing system.

/s/ Braden K. Ball, Jr.

BRADEN K. BALL, JR.

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IN THE UNITED STATES DISTRICT COURT FOR THE
NORTHERN DISTRICT OF FLORIDA
PENSACOLA DIVISION

DEEPGULF, INC., and
TOKE OIL AND GAS, S.A.,

Plaintiffs,

v.

CASE NO. 3:18-CV-1466-TKW-MJF

MARC M. MOSZKOWSKI,

Defendant.

PLAINTIFFS' MOTION FOR SUMMARY JUDGMENT
AND MEMORANDUM OF LAW IN SUPPORT

COMES NOW, Plaintiffs, DeepGulf, Inc. and Toke Oil and Gas, S.A., by and through their undersigned counsel, pursuant to Rule 56, Fed. R. Civ. P., and request the Court for entry of an Order granting summary judgment in favor of the Plaintiffs and against the Defendant as to the Counts described herein as there is no genuine dispute as to any material fact and Plaintiffs are entitled to judgment as a matter of law, and in support would show:

LAW AND ARGUMENT

Summary judgment is appropriate where “the pleadings, the discovery and disclosure materials on file, and any affidavits show that there is no genuine issue as to any material fact and that the moving party is entitled to judgment as a matter of

law.” Fed.R.Civ.P. 56. The party seeking summary judgment bears the burden of demonstrating the absence of a genuine dispute as to any material fact. Herzog v. Castle Rock Entm't, 193 F.3d 1241, 1246 (11th Cir.1999). Once the moving party has met this burden, the non-movant must demonstrate that summary judgment is inappropriate by designating specific facts showing a genuine issue for trial. Graham v. State Farm Mut. Ins. Co., 193 F.3d 1274, 1282 (11th Cir.1999). The non-moving party “need not present evidence in a form necessary for admission at trial; however, he may not merely rest on his pleadings.” Id; CSX Transportation, Inc. v. Leggett, 2010 WL 3210841, at 3 (N.D. Ga. Aug. 12, 2010). Summary Judgment is properly regarded not as a disfavored procedural shortcut, but rather as an integral part of the Federal Rules as a whole, which are designed ‘to secure the just, speedy and inexpensive determination of every action.’” Celotex Corp v. Catrett, 477 U.S. 317 (1986).

STATEMENT OF UNDISPUTED FACTS

In 2004, DeepGulf, Inc. was founded [Deposition of Marc M. Moszkowski dated July 17, 2019, Page 32, Line 15 – Page 35, Line 11]. Its initial sole shareholders were Rustin Howard and Marc Moszkowski [Deposition of Marc M. Moszkowski dated July 17, 2019, Page 34, Line 22 – Page 35, Line 2]. Marc Moszkowski has been a director and the executive office for DeepGulf, Inc. [Affidavit of Rustin Howard, ¶ 4 and 5]. Marc Moszkowski entered into a

Noncompetition, Nondisclosure, and Developments Agreements with DeepGulf on September 15, 2005 [Affidavit of Rustin Howard, ¶ 6].

On or around August, 2008, DeepGulf, Inc. hired attorney, Jeffrey Goldman, to apply to obtain a permanent resident visa for Marc M. Moszkowski. Despite DeepGulf's best efforts to obtain the permanent resident visa, the application was denied. [Affidavit of Rustin Howard, ¶ 34].

On or about September 10, 2007, DeepGulf, Inc., Inc. received an inquiry from a potential customer about DeepGulf, Inc.'s Patented Ultra-deepwater J-Flex Pipelay system and the possibility of using it to lay pipe between Sunrise gas field and East Timor. [Affidavit of Rustin Howard, ¶ 10].

Rustin Howard on behalf of DeepGulf, Inc. passed this inquiry on to Marc M. Moszkowski. [Affidavit of Rustin Howard, ¶ 11].

In addition, the potential customer had clicked the "contact us" button on the DeepGulf, Inc. website that sent an email to deepgulf@deep-gulf.com which was received by Marc M. Moszkowski. [Affidavit of Rustin Howard, ¶ 12].

On or around October 15, 2007, Marc M. Moszkowski went to East Timor to investigate the opportunity, in his capacity as Director and Officer of DeepGulf, Inc. [Affidavit of Rustin Howard, ¶ 13].

On February 2, 2008, at a DeepGulf, Inc. Board Meeting, Marc M. Moszkowski gave information regarding the potential for pipeline operation in East

Timor following his recent time spent researching the project. He informed the Board, and adamantly still maintains, it would not be possible to do business in East Timor as a US corporation. Based upon these representations, the Board discussed solutions including the creation of a DeepGulf, Inc. subsidiary company in East Timor. [Affidavit of Rustin Howard, ¶ 14].

In East Timor, Marc M. Moszkowski established Toke Oil and Gas, S.A. and made himself an owner rather than DeepGulf, Inc. [Affidavit of Rustin Howard, ¶ 15].

Based on documents provided and represented by Marc M. Moszkowski to be the Founding Documents of Toke Oil and Gas, S.A., the earliest of them dated December 8, 2007 the three Founders of Toke Oil and Gas, S.A. are VoGue Lda. Company, Hali Group S.A. Company, and Marc M. Moszkowski an individual. [Affidavit of Rustin Howard, ¶ 16].

Based on documents provided and represented by Marc M. Moszkowski to be the Founding Documents of Toke Oil and Gas, S.A., Marc M. Moszkowski, an individual, received 30,000 shares or 33% of Toke Oil and Gas, S.A. [Affidavit of Rustin Howard, ¶ 17].

Based on documents provided and represented by Marc M. Moszkowski to be the Founding Documents of Toke Oil and Gas, S.A., the initial meeting of Shareholders was dated January 2008 wherein Directors were appointed and Marc

M. Moszkowski was appointed President-Director General. [Affidavit of Rustin Howard, ¶ 18].

Marc M. Moszkowski led the Board of DeepGulf, Inc. to believe that he established and was holding Toke Oil and Gas, S.A. in his name for the benefit of DeepGulf, Inc., and that it would have been reckless to hold that interest in DeepGulf, Inc.'s name. [Affidavit of Rustin Howard, ¶ 19].

While Marc M. Moszkowski was in East Timor, I attempted to travel to East Timor; however, Marc M. Moszkowski told me that it was too dangerous for me to go to East Timor. No other DeepGulf, Inc. employee or Director ever traveled to East Timor. [Affidavit of Rustin Howard, ¶ 20].

Toke Oil and Gas, S.A. completed three contracts with total revenue of \$14.9 million US dollars. The last project was completed in May, 2012. During those projects, Toke Oil and Gas, S.A. distributed \$1.304 million purportedly as "Director Salaries". At the same time, Marc M. Moszkowski was also receiving his full time DeepGulf, Inc. salary. While Marc M. Moszkowski was the President Director General, Toke Oil & Gas, S.A. paid the funds referred to in this Paragraph without the knowledge and approval of the DeepGulf, Inc. Board. [Affidavit of Rustin Howard, ¶ 21].

Marc Moszkowski was paid \$345,000 from Toke Oil and Gas, S.A. while he was making a salary from DeepGulf, Inc. [Affidavit of Rustin Howard, ¶ 24 and 22].

Marc M. Moszkowski negotiated DeepGulf, Inc.'s purchase of 30,000 shares or 33% of Toke Oil and Gas from Vincente Ximenes on or about August 12, 2010. [Affidavit of Rustin Howard, ¶ 28].

Marc M. Moszkowski negotiated DeepGulf, Inc.'s purchase of an additional 30,000 shares or 33% of Toke Oil and Gas, S.A. from Vincente Ximenes on or about May 25, 2012. [Affidavit of Rustin Howard, ¶ 29].

DeepGulf, Inc. purchased an additional 30,000 shares or 33% of Toke Oil and Gas, S.A. from Marc M. Moszkowski on or about May 25, 2012, making DeepGulf, Inc. the sole owner of Toke Oil and Gas, S.A. [Affidavit of Rustin Howard, ¶ 30].

Since the inception of DeepGulf, Inc., there have been multiple patents applied for by Marc M. Moszkowski on behalf of the entity, some of which Marc M. Moszkowski has questioned whether the patents were owned by himself or by DeepGulf, Inc. [Deposition of Marc M. Moszkowski dated July 17, 2019, Page 52, Line 19 – Page 57, Line 19] Defendant has conceded that the patents described in Paragraph 16(b) through 16(e) of Plaintiffs' Complaint [Doc. 1 at Pages 25 – 26] are owned by DeepGulf, Inc. [Deposition of Marc M. Moszkowski dated July 17, 2019, Page 57, Lines 1 – 19].

Defendant testified that the patent described in Paragraph 16(a) of the Plaintiffs' Complaint "is questionable" as to whether or not it is owned by DeepGulf, Inc. and his sole reasoning is that he had not been paid a salary during the time when the patent was filed. [Deposition of Marc M. Moszkowski dated July 17, 2019, Page 53, Line 7 – Page 56, Line 25].

Additionally, Defendant testified in his Deposition regarding further inventions that he had not disclosed to DeepGulf, Inc. until the present. [Deposition of Marc M. Moszkowski dated July 17, 2019, Page 108, Line 1 – Page 111, Line 3].

DeepGulf, Inc. is the owner of the websites referred to as www.deepgulf.net and www.deep.gulf.com. When the websites were created, Marc M. Moszkowski already had an ISP provider and wanted to use the same provider for the DeepGulf, Inc. website to which I agreed. Marc M. Moszkowski and I worked together to create and organize the DeepGulf, Inc. website and content. We also selected the domain names for the websites together. I wrote the press releases, the "Case Story" and edited parts of the "Going Deep" page. Marc M. Moszkowski wrote the pipe-predictor pages and provided all the technical data on all our websites. He created the graphics and provided images. [Affidavit of Rustin Howard ¶ 31].

**I- PLAINTIFFS' CLAIM FOR AN INJUNCTION THAT VARIOUS
PATENTS ARE OWNED BY PLAINTIFF, DEEPGULF, INC.
SHOULD BE GRANTED.**

In Defendant's Deposition conducted on July 17, 2019, Defendant unequivocally admitted that the patents described in Paragraph 16(b) through 16(e) of Plaintiff's Complaint [Doc. 1 at Pages 25 - 26] are owned by Plaintiff, DeepGulf, Inc. as alleged by Plaintiffs. [Deposition of Marc Moszkowski dated July 17, 2019, Page 57, Line 1 – Page 57, Line 19].

In Defendant's Deposition, he further testified that the patent described in Paragraph 16(a) of Plaintiffs' Complaint [Doc 1. At Page 24 - 25] "is questionable" as to whether or not it is owned by DeepGulf and his sole reasoning is that he had not been paid salary during the time when the patent was filed [Deposition of Marc M. Moszkowski dated July 17, 2019, Page 53, Line 7 – Page 56, Line 25]. Also, he admitted in his testimony that he did not have any formalized security arrangement with DeepGulf regarding this patent [Deposition of Marc Moszkowski dated July 17, 2019, Page 55, Line 16 – Page 55, Line 20].

On September 15, 2005, Defendant executed a NONCOMPETITION, NONDISCLOSURE AND DEVELOPMENTS AGREEMENT with Plaintiff. [Affidavit of Rustin Howard ¶ 6; Deposition of Marc M. Moszkowski dated July 17, 2019, Page 47, Line 13-15 and Exhibit "A"]. The first paragraph states:

"In consideration of my services or continued services as an employee, officer, director, or consultant (such services is described herein as maintaining or being involved in a "Business Relationship") of DeepGulf, Inc. and any of its subsidiaries, divisions, or affiliates (the "Company"), I hereby agree as follows: "

During all times pertinent to this case Defendant has been and still is a Director and has thus maintained this Business Relationship keeping the agreement in force. The agreement is not contingent upon the independent agreement that Marc M. Moszkowski be paid a salary.

This claim by Defendant is analogous to one party breaching a contract and that breach excusing an independent covenant in a contract.¹ A material breach to excuse performance only occurs when a party breaches “mutually dependent covenant[s] in a contract, and does not occur when a contract is composed of independent covenants.” Gilbert & Caddy, P.A. v. JP Morgan Chase Bank, N.A., 193 F.Supp.3d 1294 (S.D. Fla. 2016) (citing to Mizner Land Corp. v. Abbott, 175 So. 507 (1937)). A dependent covenant “is one that depends on the prior performance of some act or condition.” Id. (citing to Seybold v. Nicholson USA Properties, LTD., 890 So.2d 351 (Fla. 5th DCA 2004)). In the present case, Defendant executed a Non-Compete Agreement which stated that all Developments were owned by DeepGulf, Inc. [Deposition of Marc M. Moszkowski dated July 17, 2019, Page 47, Line 13 - 15 and Exhibit “A”]. His claim that he was owed salary is completely independent of the Non-Compete Agreement and cannot be a basis for Defendant’s claim that the patent described in Paragraph 16(a) is somehow not owned by DeepGulf, Inc..

¹ To be clear, Plaintiffs are not admitting that they breached any contract with Defendant.

Paragraph 16(f) of Plaintiff's Complaint [Doc. 1 at Page 26] states "It is believed that there are other inventions and / or patentable ideas or methods which have not been disclosed yet to DeepGulf." In Defendant's Deposition, Defendant at first refused to respond to the questions regarding other patents [Deposition of Marc M. Moszkowski dated July 17, 2019, Page 60, Line 2 – Page 62, Line 11]. Later in the Deposition, Defendant testified regarding further inventions that he had not disclosed to DeepGulf until that point [Deposition of Marc M. Moszkowski dated July 17, 2019, Page 108, Line 1 – Page 111, Line 3].

Pursuant to Rule 56(c), "summary judgment is appropriate if the pleadings, Depositions, answers to interrogatories, and admissions on file, together with the affidavits, if any, show that there is no genuine issues as to any material fact and that the moving party is entitled to a judgment as a matter of law." (emphasis added). Defendant admitted under oath that the patents described in Paragraph 16(b) through 16(e) of Plaintiffs Complaint are owned by DeepGulf. He further admitted that there were other inventions which existed which were owned by DeepGulf, as Plaintiffs alleged in Paragraph 16(f) of its Complaint. It is obvious that summary judgment should be granted when Defendant readily admits under oath the factual allegations of the Complaint that support the claim being made by Plaintiffs.

All of the patents are subject to the provisions of the Non-Compete Agreement. [Deposition of Marc M. Moszkowski dated July 17, 2019, Exhibit "A"]. Therefore,

summary judgment should be granted in favor of Plaintiffs for Count I and all of the patents and/or inventions should be declared to be owned by DeepGulf, Inc.

**II - PLAINTIFFS' CLAIM THAT DEFENDANT BE ENJOINED BY
UTLITILIZING INTELLECTUAL PROPERTY OWNED BY
PLAINTIFF DEEPGULF, INC. AND OTHER RELIEF ASSERTED IN
COUNT II SHOULD BE GRANTED.**

On September 15, 2005, Defendant executed the non-competition agreement with Plaintiff. [Affidavit of Rustin Howard ¶ 6; Deposition of Marc M. Moszkowski dated July 17, 2019, Page 47, Line 13-15 and Exhibit "A"]. Paragraph 5 of The Noncompetition, Nondisclosure and Developments Agreement entered into by Defendant states:

"I agree that during my Business Relationship with the Company I shall not make, use or permit to be used any Company Property otherwise than for the benefit of the Company. The term "Company Property" shall include all...software programs, software code, data, computers...or other materials of any nature and in any form, whether written, printed, electronic or in digital format or otherwise, relating to any matter within the scope of the business of the Company or concerning any of its dealings or affairs and any other Company property in my possession, custody or control."

Furthermore, Paragraph 6 of the Noncompetition, Nondisclosure and Developments Agreement states:

"If at any or times during my Business Relationship with the Company, I shall, either alone or in concert with others make, conceive, create, discover, invent, or reduce to practice any Development that: (i) Relates to the Business of the Company or any customer of or supplier to the Company or any of the products or services being developed, manufactured, or sold by the Company or which may be used in relation therein: (ii) Or, results from tasks assigned to me by the Company; (iii)

Or, results from the use of premises or assets, either tangible or intangible, owned, leased, or contracted for by the Company, **then all such Developments and the benefits thereof are and shall immediately become the sole and absolute property of the Company** and its assigns, as works made for hire or otherwise. The term “Development” shall mean any invention, modification, design, development, improvement, trade secret or intellectual property rights, products, designs, methods, know-how, techniques, systems, processes, specifications, blueprints, software programs, discovery whatsoever or any interest therein, whether patentable or registerable under copyright, trademark, or similar statutes or subject to analogous protection, relating to the business of the Company. I shall promptly disclose to the Company or any person or persons designated by the Company each such Development. I hereby assign all rights including, but not limited to, rights to inventions, patentable subject matter, copyrights and trademarks, I may have or may acquire in the Developments and all benefits and/or rights resulting therefrom to the Company and its assigns without further compensation and shall communicate, without cost or delay, and without disclosing to others the same, all available information, including plans and models, relating thereto to the Company.”

In addition, Defendant has information that is essential to the ongoing business of DeepGulf, Inc.—namely, the exclusive control of the username and passwords for the DeepGulf, Inc. websites. He has refused to turn these over to DeepGulf, even when asked under oath to do so [Deposition of Marc M. Moszkowski dated October 10, 2019, Page 79, Line 10 – Page 80, Line 11]. DeepGulf is the owner of the websites www.deepgulf.net and www.deep-gulf.com and those websites were only developed by Defendant with permission and in conjunction with DeepGulf, Inc. [Affidavit of Rustin Howard ¶ 31]

Rustin Howard, Chairman of the Board of the DeepGulf, Inc. has been told by the host of the websites, www.hostgator.com that a court order showing DeepGulf, Inc. as the owner of the account would be the only acceptable documentation to properly recognize owner of an account. [Affidavit of Rustin Howard ¶ 32]

Therefore, summary judgment should be entered in favor of Plaintiffs and an Order be entered ordering Defendant not to utilize intellectual property owned by DeepGulf, Inc., including the username and password to the websites. In addition, Plaintiffs request an Order be entered ordering www.hostgator.com to change the ownership of the website accounts to be DeepGulf, Inc. c/o Rustin Howard, Chairman.

**III – PLAINTIFFS’ CLAIM THAT DEFENDANT CONVERTED THE
PROPERTY OF DEEPGULF, INC. IN COUNT V SHOULD BE
GRANTED.**

At all pertinent times, Defendant was subject to the provision of the Non-Compete Agreement he executed on September 15, 2005 [Affidavit of Rustin Howard ¶ 6; Deposition of Marc M. Moszkowski dated July 17, 2019, Page 47, Line 13-15 and Exhibit “A”]. Paragraph 1 of that agreement states that:

Paragraph 1. Non-competition. During the period of my Business Relationship with the Company and for one year following the termination of my Business Relationship, regardless of the reason or reasons for my termination, I shall not, alone or as a consultant, partner, officer, director, employee, joint venture lender or stockholder of any entity, (a) accept employment with any business or entity that is in

competition with the products or services being conceived, designed, created, developed, manufactured, marketed, distributed, or sold by the Company, or (b) engage in any business or activity that is in competition with the products or services being conceived, designed, created, developed, manufactured, marketed, distributed, or sold by the Company.

Paragraph 2 of that agreement states that:

Paragraph 2. Non-solicitation of Customers. During the period of my Business Relationship with the Company and for one year following the termination of my Business Relationship, regardless of the reason or reasons for my termination, I shall not, alone or as a consultant, partner, officer, director, employee, joint venture lender or stockholder of any entity, solicit or do business with any customer or potential customer of the Company (a) with whom I have had contact or (b) about whom I have obtained information, or became familiar with through Confidential Information (as defined in Paragraph 4.), during the course of my Business Relationship with the Company.

Paragraph 5 of that agreement states that:

Paragraph 5 Non-disclosure. I shall not at any time, whether during or after the termination of my Business Relationship with the Company, reveal to any person or entity any Confidential Information except to directors, officers and employees of the Company who a need to know the Confidential Information or as otherwise authorized in writing by the Company. The term "Confidential Information" shall include any information concerning the organization, business or finances of the Company or any other third party which the Company is under an obligation to keep confidential that is maintained by the Company as confidential. In furtherance of, and not by way of limitation to, the preceding sentence, Confidential Information shall include trade secrets or confidential information respecting inventions, products, designs, methods, know-how, techniques, systems, processes, engineering data, specifications, blueprints, software programs, works of authorship, customer lists, customer information, financial information, pricing information, personnel information, business plans, projects, plans, and proposals. I shall keep confidential all matters entrusted to me and shall

not use or attempt to use any Confidential Information except as may be required in the ordinary course of providing services to the Company, nor shall I use any Confidential Information in any manner which may injure or cause loss, or may be calculated to injure or cause loss to the Company, either directly or indirectly.

On or around October 15, 2007, Marc M. Moszkowski went to East Timor to investigate an opportunity, in his capacity as Director and Officer of DeepGulf, Inc. [Affidavit of Rustin Howard ¶ 13]. During that time period, Defendant earned \$132,000 in W-2 wages from DeepGulf, Inc. in 2008, 2009, 2010 and 2011 per year salary from DeepGulf, Inc. and \$110,000 in W-2 wages from DeepGulf, Inc. in 2012. [Affidavit of Rustin Howard ¶ 22]. Defendant led DeepGulf, Inc. to believe that DeepGulf, Inc. as a foreign entity could not have done business with the government of East Timor. He also set up a corporation known as Toke Oil and Gas, S.A. and he set up the corporation without previously disclosing Toke Oil and Gas, S.A. to DeepGulf, Inc. He received multiple payments from Toke Oil and Gas, S.A. in his role as President Director General. These payments totaled \$345,000.00. [Affidavit of Rustin Howard ¶ 25]. These transactions show a clear conflict of interest on the part of the Defendant. The First District Court of Appeal in Florida has expressed the universally accepted rule that:

“A director's duties being trust duties or in the nature of the duties of a trustee toward his cestui que trust, his acts are subject to be tested by the rules governing the relation of a trustee to his cestui que trust. The duties result from the nature of the employment, and without any stipulation to that effect. He is bound to act with fidelity, the utmost good faith, and with his private and personal interests subordinated to

his trust duty whenever the two come in conflict. Courts of equity must enforce strict compliance with these rules.

A director cannot place himself in a position where his individual interest clashes with his duty to his corporation, and there is authority that equity will grant relief where it appears that directors have made in behalf of the corporation contracts which favor their personal interests.”

Snead v. U.S. Trucking Corp., 380 So.2d 1075 (Fla. 1st DCA 1980).

Defendant had an obligation to not have a conflict of interest as a Director of DeepGulf, Inc. under Florida law. Defendant also had an obligation under the Non-Compete Agreement. Defendant violated those obligations and he converted the sum of \$345,000.00 from DeepGulf, Inc. to his own use.

Pursuant to 607.0830(1)(c), Florida Statutes, Defendant owed a duty to act in a manner he believes to be in the best interests of DeepGulf, Inc. He also owed a fiduciary duty to DeepGulf, Inc. while working in East Timor. A director or officer of a corporation, acting as its agent, occupies a position of trust and confidence with respect to the corporation and owes the corporation a fiduciary duty to exercise utmost good faith and to make full disclosure of all facts, within his knowledge pertaining to the transaction. Tinwood N.V. v. Sun Banks, Inc., 570 So.2d 955 (Fla. 5th DCA 1990) and Pryor v. Oak Ridge, 119 So. 326 (Fla. 1965). Defendant also was bound by the terms of the Non-Compete Agreement. Defendant’s actions in taking \$345,000 from Toke Oil and Gas, S.A. constituted a conversion of monies

that were to be paid to DeepGulf, Inc. under the express terms of the Non-Compete Agreement.

It was DeepGulf, Inc.'s understanding that the entity to be formed in East Timor was to be formed as a subsidiary of DeepGulf, Inc. [Affidavit of Rustin Howard ¶ 14].

Defendant went to East Timor on behalf of DeepGulf, Inc. to find projects on behalf of DeepGulf, which could utilize DeepGulf's technology and intellectual property. [Affidavit of Rustin Howard ¶ 13].

Conversion is the act of dominion wrongfully asserted over another's property inconsistent with his or her ownership. Yellowfin Yachts, Inc. v. Barker Boatworks, LLC, 898 F.3d 1279 (11th Cir. 2018) (applying Florida law). In addition, in Florida, an entity which retains improperly disbursed escrow funds can be liable for conversion under Florida law. IberiaBank v. Coconut 41, LLC, 984 F.Supp.2d 1283 (M.D. Fla. 2013), aff'd 589 Fed. Appx. 479 (11th Cir. 2014) (construing Florida law). Moreover, under Florida law, a person may be found liable for conversion if he obtains possession of another party's funds to set up an escrow fund and thereafter converts the funds for his own use. Masvidal v. Ochoa, 505 So.2d 555 (Fla. 3d DCA 1987).

In the present case, the Defendant was President of DeepGulf, Inc. at the time that he went to East Timor. [Deposition of Marc M. Moszkowski dated July 17,

2019, Page 26, Line 10, Page 72, Line 16 - 21]. The Defendant was charged with finding opportunities for DeepGulf, Inc. in East Timor. [Affidavit of Rustin Howard ¶ 13]. Instead of DeepGulf entering into contract for projects, Defendant formed the entity Toke Oil and Gas, S.A. with Marc M. Moszkowski only owning 33% of that entity, which he stated he was holding in trust for the benefit of DeepGulf, Inc. [Deposition of Marc M. Moszkowski dated July 17, 2019, Page 158, Lines 18 – 23]. Instead of distributing all profits to DeepGulf, Toke Oil and Gas, S.A. paid \$345,000 to Defendant. Those funds should have been distributed to DeepGulf, Inc. Therefore, Defendant is liable to Plaintiff, DeepGulf, Inc. for conversion of these funds. [Deposition of Marc M. Moszkowski dated July 17, 2019, Page 95, Lines 11 – 19].

Therefore, summary judgment should be entered in favor of Plaintiff, DeepGulf, Inc. and against Defendant pursuant to Count V of the Complaint.

**IV – PLAINTIFFS’ CLAIM FOR DECLARATORY RELIEF UNDER
COUNT VIII SHOULD BE GRANTED.**

On or around December 8, 2007, the founding documents of Toke Oil and Gas, S.A. were executed with three shareholders. [Deposition of Marc M. Moszkowski dated July 17, 2019, Page 26, Line 24, Page 78, Line 11; Affidavit of Rustin Howard ¶ 16].

Marc M. Moszkowski negotiated DeepGulf, Inc.'s purchase of 30,000 shares or 33% of Toke Oil and Gas from Vincente Ximenes on or about August 12, 2010. [Affidavit of Rustin Howard ¶ 28].

Marc M. Moszkowski negotiated DeepGulf, Inc.'s purchase of an additional 30,000 shares or 33% of Toke Oil and Gas, S.A. from Vincente Ximenes on or about May 25, 2012. [Affidavit of Rustin Howard ¶ 29].

DeepGulf, Inc. purchased an additional 30,000 shares or 33% of Toke Oil and Gas, S.A. from Marc M. Moszkowski on or about May 25, 2012, making DeepGulf, Inc. the sole owner of Toke Oil and Gas, S.A. [Affidavit of Rustin Howard ¶ 30].

The Florida Declaratory Judgments statute purpose is to afford parties relief from insecurity and uncertainty with respect to rights, status, and other equitable or legal relations. Sehringer v. Big Lots, Inc., 532 F.Supp.2d 1335 (M.D. Fla. 2007); Roth v. The Charter Club, Inc., 952 So.2d 1206 (Fla. 3d DCA 2007).

Defendant has alleged that Vicente Ximenes is still an owner of 1/3rd of Toke Oil and Gas, S.A. in defense of Count VIII. [Deposition of Marc M. Moszkowski dated July 17, 2019, Page 114; Page 160]. He further states that this is because of an "incomplete purchase" [Deposition of Marc M. Moszkowski dated July 17, 2019, Page 160].

Defendant does not have standing to assert the rights of Vicente Ximenes, if any. Standing depends on whether a party has a sufficient stake in a justiciable

controversy, with a legally cognizable interest that would be affected by the outcome of the litigation and is not conjectural or merely hypothetical. Neddeau v. Gallagher, 851 So.2d 214 (Fla. 1st DCA 2003). A party has standing when it has a sufficient stake in an otherwise justiciable controversy to obtain judicial resolution of that controversy. Elston/Leetsdale, LLC v. CW/Capital Management LLC, 87 So.3d 14 (Fla. 4th DCA 2012). Clearly, Defendant does not have standing to assert that Vicente Ximines was or was not paid in full as a defense to Plaintiffs claim that it is the owner of Mr. Ximines' shares of stock in Toke Oil and Gas, S.A.

Therefore, Plaintiffs request that summary judgment be entered in their favor under Count VIII and DeepGulf, Inc. be declared the sole owner of Toke Oil and Gas, S.A.

V – PLAINTIFFS' CLAIM THAT DEFENDANT SHOULD ACCOUNT TO PLAINTIFFS FOR THE USE OF ITS ASSETS UNDER COUNT IX SHOULD BE GRANTED.

According to the Affidavit of Rustin Howard, Defendant was the only shareholder, officer, or director of DeepGulf, Inc. that was directly involved in business and financial transactions in East Timor from 2008 through 2012. [Affidavit of Rustin Howard ¶ 20]. The Board of Directors of DeepGulf, Inc. relied solely upon information received from Defendant in managing the company's business in East Timor. According to an email provided to Plaintiffs during discovery, Defendant has for years intentionally withheld information from

Plaintiffs, including spreadsheets containing financial information. A copy of an email, produced by Defendant in discovery, between Defendant and Rodney Lewis dated January 5, 2018 is attached hereto as Exhibit "B".

Under Florida law, a party that seeks an equitable accounting must show that: (1) a fiduciary relationship exists between the parties or the transaction at issue is complex; and (2) the remedy at law is inadequate. Zaki Kulaibee Establishment v. McFlicker, 788 F. Supp. 2d 1363 (S.D. Fla. 2011), rev'd and remanded on other grounds, 771 F.3d 1301 (11th Cir. 2014); Chen v. Cayman Arts, Inc., 757 F. Supp. 2d 1294 (S.D. Fla. 2010). In the present case, Defendant was and is the President and a Director of DeepGulf, Inc. Clearly, a fiduciary relationship exists between the parties. In addition, the transaction at issue is complex. There is a complex series of financial and business transactions according to the spreadsheets referred to in Defendant's second Deposition. [Deposition of Marc M. Moszkowski dated October 21, 2019, Pages 9 - 10]. There is no remedy at law that will suffice other than Defendant accounting for the expenditures made by him on behalf of DeepGulf, Inc. while he was supposed to be managing projects for DeepGulf, Inc. in East Timor. Unlike Defendant's claim for accounting, asserted in his Counterclaim, Plaintiffs have alleged a wrongdoing by Defendant (i.e. Mark Moszkowski converted funds that DeepGulf, Inc. was entitled to).

In suits for accounting under Florida law, when a party does not admit the allegations of the complaint and there is no consent to the entry of a decree, the proper practice is for the court to determine the initial question of plaintiff's right to an accounting, and an accounting may then be decreed if the finding is in favor of the Plaintiff upon the preliminary issue. Charles Sales Corp. v. Rovenger, 88 So.2d 551 (Fla. 1956).

In this case, the evidence supports a preliminary finding that DeepGulf, Inc. is entitled to an accounting from Defendant, describing in detail the revenue received and the expenditures spent by Toke Oil and Gas, S.A. in East Timor and the basis for those receipts or expenditures.

Therefore, Plaintiffs are entitled to summary judgment on the issue of Defendant providing an accounting to Plaintiffs.

DEFENDANT'S COUNTERCLAIMS

I. DEFENDANT IS NOT ENTITLED TO A COURT-ORDERED ACCOUNTING.

In Count I, Defendant asserts a cause of action for Accounting apparently based upon the sole allegation that Defendant is a stockholder and officer of the Plaintiffs' entities. In his Deposition testimony, when asked about his reasoning that he is entitled to an accounting, he stated "Number one, I'm totally entitled to it. I'm a director. I'm the president. I'm the largest shareholder. I'm totally entitled to it." [Deposition of Marc M. Moszkowski dated July 17, 2019, Page 181, Line 1–11].

When asked if he had any evidence of mismanagement of asset by the plaintiff, he said “Not until I see those documents.” [Deposition of Marc M. Moszkowski dated July 17, 2019, Page 182, Lines 5 - 7].

Defendant has no evidence as to why he is entitled to a court-ordered accounting from Plaintiffs. Under Florida law, a party that seeks an equitable accounting must show that: (1) a fiduciary relationship exists between the parties or the transaction at issue is complex; and (2) the remedy at law is inadequate. Zaki Kulaibee Establishment v. McFlicker, 788 F. Supp. 2d 1363 (S.D. Fla. 2011), rev'd and remanded on other grounds, 771 F.3d 1301 (11th Cir. 2014); Chen v. Cayman Arts, Inc., 757 F. Supp. 2d 1294 (S.D. Fla. 2010). Element number 2 of the Zaki elements for an accounting, begs the question in this case, what is the wrong that Defendant is seeking a remedy for in Count I? Plaintiffs have no idea because Defendant has not produced any evidence to support such a claim. Just because one party is a stockholder and officer of the other party that does not automatically entitle such party to a court ordered accounting. In fact, the 11th Circuit has ruled that “accounting is only a remedy attached to an independent cause of action.” Becker v. Davis, 491 F.3d 1292, 1305 (11th Cir. 2007, abrogated on other grounds by Arthur Andersen v. Carlisle, 556 U.S. 624 (2009)).

Plaintiffs can only presume that this “action” is akin to the antiquated “bill of discovery” where a party improperly seeks to use judicial resources to determine

whether a case of action even exists. See e.g. Vorbeck v. Betancourt, 107 So.3d 1142, 1147 (Fla. 3d DCA 2012) (holding bill of discovery could not be used to “see if causes of action exist” or to determine whether there is sufficient evidence to render a suspected cause of action viable.)

Therefore, Summary Judgment should be granted in Plaintiffs’ favor with regards to Count I of Defendant’s Counterclaim.

II. DEFENDANT HAS WAIVED HIS RIGHT TO ASSERT THAT PLAINTIFFS ARE LIABLE TO HIM FOR BREACH OF CONTRACT PURSUANT TO COUNT II AND HIS CLAIMS ARE BARRED BY THE STATUTE OF LIMITATIONS.

In Count II of Defendant’s Counterclaim, Defendant alleges that he is entitled to compensation from DeepGulf, Inc. ranging from \$120,000.00 to \$132,000.00 per year. From 2008-2012, Defendant did receive a salary from DeepGulf, Inc. [Affidavit of Rustin Howard ¶ 22]. Rustin Howard received a salary during this time period as well [Affidavit of Rustin Howard ¶ 23]. During this time period, three projects generating substantial revenue were ongoing. [Deposition of Marc M. Moszkowski dated July 17, 2019, Page 91, Lines 20 - 24]. After 2012, no projects were occurring and no revenue was coming into the company. [Affidavit of Rustin Howard ¶ 33]. On January 15, 2016, facing the fact that there was no revenue coming into the company, the DeepGulf Board of Directors held a meeting. At that meeting, the Defendant agreed to waive pre-revenue expenses if the company would give him backpay for any unaccrued salary after the company secures revenue or

investor capital. [Deposition of Marc M. Moszkowski dated July 17, 2019, Page 130, Line 1 – Page 131, Line 9]. To date, DeepGulf, Inc. has not received any revenue or investor capital which could be used to pay unaccrued salary to either Marc Moszkowski or Rustin Howard. [Affidavit of Rustin Howard ¶ 33].

Clearly the obligation of DeepGulf to pay Defendant a salary was conditioned upon the company obtaining revenue or investor capital and to this date those conditions have not been met. [Affidavit of Rustin Howard ¶ 24]. A condition precedent is an act or event, other than the lapse of time, that must occur before a binding contract will arise. Mitchell v. DiMare, 936 So.2d 1178 (Fla. 5th DCA 2006). It may be either a condition precedent to the formation of a contract or a condition precedent to performance under an existing contract. Id.

In the alternative, Defendant clearly waived his rights as Defendant candidly admits in the January 15, 2016 meeting. [Deposition of Marc M. Moszkowski dated July 17, 2019, Page 129, Line 1- Page 131, Line 8]. The elements of waiver under Florida law are: (1) the existence at the time of the waiver of a right, privilege, advantage, or benefit which may be waived; (2) the actual or constructive knowledge thereof; and (3) an intention to relinquish the right. Chick-Fil-A, Inc. v. CFT Development, LLC, 652 F. Supp. 2d 1252 (M.D. Fla. 2009), judgment aff'd, 370 Fed. Appx. 55 (11th Cir. 2010) (applying Florida law); In re S & I Investments, 421 B.R. 569 (Bankr. S.D. Fla. 2009), aff'd, 2010 WL 2220413 (S.D. Fla. 2010),

judgment aff'd, 424 Fed. Appx. 851 (11th Cir. 2011); Progressive Exp. Ins. Co. v. Camillo, 80 So. 3d 394 (Fla. 4th DCA 2012); Winans v. Weber, 979 So. 2d 269 (Fla. 2d DCA 2007).

Therefore, Summary Judgment should be granted in Plaintiffs' favor with regards to Count II of Defendant's Counterclaim.

III. DEFENDANT HAS WAIVED HIS RIGHT TO ASSERT THAT PLAINTIFFS ARE LIABLE TO HIM FOR WORK AND LABOR DONE PURSAUNT TO COUNT III AND HIS CLAIMS ARE BARRED BY THE STATUTE OF LIMITATIONS.

The claims under Count III are based upon the same core of operative facts as those in Count II. Therefore, Plaintiffs adopt and incorporate herein arguments made in Section II above as bases for this court to grant summary judgment in favor of Plaintiffs and against Defendant as to Count III

Therefore, Summary Judgment should be granted in Plaintiffs' favor with regards to Count III of Defendant's Counterclaim.

IV. DEFENDANT HAS ADMITTED THAT PLAINTIFFS HAVE NOT BREACHED ANY CONTRACT PURSUANT TO COUNT IV OF DEFENDANT'S COUNTERCLAIM.

Count IV of Defendant's counterclaim is premised upon an allegation that Plaintiffs breach a contract with Defendant by failing to obtain a permanent resident visa for the Defendant.

Indeed, the evidence shows that DeepGulf, Inc. did obtain a lawyer for Defendant at Defendant's recommendation to obtain the visa, but he was unable to do so. [Affidavit of Rustin Howard ¶ 34 and Deposition of Marc M. Moszkowski dated July 17, 2019, Page 189, Line 15–24]

At his Deposition the following exchange took place regarding the visa application:

“Q. Do you see anything in those documents or any else that indicate that there was any bad faith or any breach of anything of that nature?

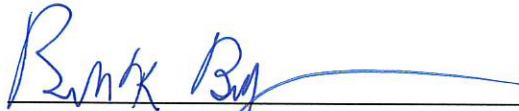
A. I don't believe so.”

[Deposition of Marc M. Moszkowski dated July 17, 2019, Page 188, Line 14 – 17].

In his Deposition testimony, Defendant when asked if there was claim pursuant to Count IV in light of the above, he stated that “No, there is a claim because if that visa was denied, how come I was never apprised of the fact until very recently.” [Deposition of Marc M. Moszkowski dated July 17, 2019, Page 188, Line 18 – 22]. Defendant cannot sustain a claim for breach of contract for Plaintiff not notifying Defendant of the failure to obtain the Visa when Plaintiff did not act in bad faith or breached the contract according to Defendant's own admission. In the context of cases involving statute of limitations issues, courts apply Florida law, have held that the breach of contract claim under Florida law accrues at the time of

the breach “regardless of whether the plaintiff knew it had a claim.” Beck v. Lazard Freres & Co., LLC, 175 F.3d 913, 914 (11th Cir. 1999) (citing Fed Ins. Co. v. SW Fla. Ret. Ctr., Inc., 707 So.2d 1119, 1122 (Fla. 1998)).

Therefore, Summary Judgment should be granted in Plaintiffs’ favor with regards to Count IV of Defendant’s Counterclaim.



BRADEN K. BALL, JR.

Florida Bar No. 89000

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Attorneys for Plaintiffs

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CERTIFICATE OF COMPLIANCE WITH LOCAL RULE 7.1(F)

I CERTIFY that this Motion contains 6,639 words, exclusive of the case style, signature block and certificates of compliance/service.



BRADEN K. BALL, JR.

CERTIFICATE OF SERVICE

I HEREBY CERTIFY that I have on this 15th day of November, 2019, a copy of the foregoing has been furnished to the Defendant's counsel, Mary Allie E. Boller (allie@bollerlawfirm.com) and Thomas R. Boller (tom@bollerlawfirm.com), via the Court's E-filing system.



BRADEN K. BALL, JR.

139-1

Braden Ball



Subject: FW: Toke accounts

From: m.moszkowski@deepgulf.net [mailto:m.moszkowski@deepgulf.net]

Sent: Friday, January 05, 2018 9:59 AM

To: RODNEY LEWIS (rod@rodlewis.com.au) <rod@rodlewis.com.au>

Subject: Toke accounts

I've been working on the Toke accounts again.

1. I don't think that despite their loud demands (which they make as unacceptable as possible) Rus and Tom want me to send them the Toke documents, for a simple reason: I doubt they are dumb enough to believe that I could have received \$1,000,000 from Toke, but for as long as I don't send them the documentation they can pretend they think I received the money, which buys time for Rus, who makes it very difficult for anyone to study the DeepGulf accounts and doesn't seem to be prepared to explain his expenses. You could say that I could send them the documentation, but I don't think it can prove anything, since it can be doctored any way you want and they would not fail to say so. The documentation consists exclusively of Excel spreadsheets.
2. Despite the contractual 10% of EGS' invoices that DeepGulf was to be paid by Toke, I find that I sent DeepGulf between 13.10% and 14.35% of the amounts paid to to EGS, depending on the actual funds received by DeepGulf, which Rus refuses to confirm. That's between \$307,000 and \$428,000 more than the contractual obligation Toke had toward DeepGulf.

M

139-2

IN THE UNITED STATES DISTRICT COURT
FOR THE NORTHERN DISTRICT OF FLORIDA
PENSACOLA DIVISION

DEEPGULF, INC., and
TOKE OIL AND GAS, S.A.,

Plaintiffs,

vs.

CASE NO.: 3:18-CV-1466-MCR-MJF

MARC M. MOSZKOWSKI,

Defendant.

_____ /

The deposition of MARC M. MOSZKOWSKI, taken by the attorney for the Plaintiffs, commencing at approximately 9:25 a.m., on the 17th day of July, 2019, at 220 West Garden Street, Suite 603, Pensacola, Florida, before Connie L. Morse, Court Reporter and Notary Public at Large in and for the State of Florida.

1 Q Okay. So you were basing the information on
2 something that Gino or his secretary had shown you before
3 Gino left; is that correct, the company?

4 A Gino left is controversial. It's not exactly
5 the way it happened.

6 Q He was no longer with the company. I don't
7 care if he left or whatever. But when he was no longer with
8 the company.

9 A Okay. This was June 13, 2012, so he was no
10 longer with the company.

11 Q Okay. I may come back to that here in a
12 minute. Now, during the time that you were an owner of
13 Toke, were you paid anything by Toke?

14 A Not during all the time, but at times.

15 Q Okay. Well, at any time, that's what I'm
16 asking.

17 A Yeah, between 2010 and I think 2012.

18 Q How much were you paid?

19 A \$345,000.

20 Q As I understand it, you were reimbursed by
21 Toke for expenses in a fairly considerable amount, too,
22 correct?

23 A No, Toke paid for my expenses there.

24 Q So you would submit a bill, and they'd pay the
25 vendor directly?

139-3

1 IN THE UNITED STATES DISTRICT COURT FOR THE
2 NORTHERN DISTRICT OF FLORIDA
3 PENSACOLA DIVISION
4
5 DEEPGULF, INC., and
6 TOKE OIL AND GAS, S.A.,
7 Plaintiffs, CASE NO.: 3:18-CV-1466-MCR-MJF
8 vs.
9 MARC M. MOSZKOWSKI,
10 Defendant.

11 _____/
12 **DEPOSITION OF MARC M. MOSZKOWSKI**

13 Taken on behalf of the Plaintiffs

14 DATE TAKEN: Monday, October 21, 2019
15 TIME: 9:50 a.m. to 11:49 p.m.
16 PLACE: Litvak Beasley Wilson & Ball, LLP
17 40 Palafox Place, Suite 300
18 Pensacola, Florida 32502

19 Examination of the Witness reported by:
20 Christina M. Esposito, Registered Professional
21 Reporter, Notary Public, State of Florida at Large
22

23 ANCHOR COURT REPORTING
24 229 South Baylen Street
25 Pensacola, Florida 32502

1 accordingly, payments were made from Toke Oil and Gas
2 to DeepGulf.

3 Q. So my question is: What was the work that
4 was done by DeepGulf to garner those payments?

5 A. None.

6 Q. They were just paid for no work at all?

7 A. Yes.

8 Q. Okay. You are also -- at that time and at
9 this time -- you are the president of DeepGulf. Is
10 that correct?

11 A. I was the president of DeepGulf.

12 Q. Okay. Were you performing any tasks for
13 DeepGulf when you were working for Toke Oil and Gas?

14 A. Yes, sir.

15 Q. Okay. What were those tasks that you were
16 performing?

17 A. All of the research, development, and
18 anything that was unrelated to Toke Oil and Gas.

19 Q. Okay. But I'm asking in relation to --
20 there were payments that were made by Toke Oil and Gas
21 to DeepGulf. So I'm trying to understand those
22 payments.

23 A. Okay. It was an commission.

24 Q. I'm sorry. I didn't understand you.

25 A. It was a ten percent commission.

1 projects do not run on a budget.

2 You have a contract with certain costs,
3 certain quantities. You make sure you deliver the
4 quantities at cost, and you pay for the quantities that
5 you buy at the cost that was agreed in the contract.
6 And you play by ear nonstop.

7 Q. Okay. And you were the one doing that. Is
8 that correct?

9 A. I was the only one doing it.

10 Q. Not Vincente?

11 A. Of course not.

12 Q. Not Gino?

13 A. No.

14 Q. Not Mr. Howard?

15 A. Certainly not Mr. Howard.

16 Q. Okay. How did you manage the cost control?
17 Was there some computer program or other method of
18 doing that?

19 A. Mostly Excel, and also mostly in my head.

20 Q. Okay.

21 A. Like any project manager in the world.

22 Q. Did you keep those records in Excel? Do you
23 have those records today?

24 A. Some of them, not all of them. What I kept
25 was the invoices, which I sent you copies of.

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IN THE UNITED STATES DISTRICT COURT FOR THE
NORTHERN DISTRICT OF FLORIDA
PENSACOLA DIVISION

DEEPGULF, INC., and
TOKE OIL AND GAS, S.A.,

Plaintiffs,

v.

CASE NO. 3:18-CV-1466-TKW-MJF

MARC M. MOSZKOWSKI,

Defendant.

_____/

STATE OF FLORIDA

COUNTY OF ESCAMBIA

AFFIDAVIT OF RUSTIN HOWARD IN SUPPORT OF PLAINTIFFS'
MOTION FOR SUMMARY JUDGMENT

PERSONALLY APPEARED before me, the undersigned authority,
Rustin Howard, who was duly sworn and states as follows:

1. I am Rustin Howard. I am over the age of eighteen (18) and otherwise competent to make this Affidavit and have personal knowledge of the matters and things set forth herein.

2. I am the Chairman of Deepgulf, Inc., who is a Plaintiff in the above-referenced action.

3. I am the Chairman of Toke Oil & Gas, S.A., who is a Plaintiff in the

above-referenced action.

4. Marc M. Moszkowski held all the rights, powers and authorities of DeepGulf Inc.'s Executive Officer by virtue of the CONSENT OF DIRECTORS AND SHAREHOLDERS IN LIEU OF FIRST MEETING OF DIRECTORS AND SHAREHOLDERS OF DEEPGULF, INC. on December 1, 2004 till those rights, powers and authorities were removed from him during the Board of Directors Meeting held on December 26, 2017.

5. Since the formation of DeepGulf, Inc. to the present date, Marc M. Moszkowski has been a director of Deep Gulf, Inc.

6. On September 15, 2005, Marc M. Moszkowski and DeepGulf, Inc. entered into a NONCOMPETITION, NONDISCLOSURE, AND DEVELOPMENTS AGREEMENT a true and correct copy of which is attached hereto as Exhibit "A."

7. In various board conversation in the presence of me and Bill Lott, Marc M. Moszkowski repeatedly expressed his intent to leave the company and establish a new company that would then compete with DeepGulf, Inc. to complete its projects using DeepGulf, Inc. technology.

8. In various board conversation in the presence of me and Bill Lott, Marc M. Moszkowski repeatedly expressed his intent to leave the company, and work for a competitor company to bring the projects to fruition not for the benefit of

DeepGulf, Inc.

9. In various board conversation in presence of me and Bill Lott, Marc M. Moszkowski repeatedly expressed his intent to leave the company, establish a new company that would then compete with DeepGulf, Inc. but would reward some DeepGulf, Inc. shareholders and exclude other DeepGulf, Inc. shareholders.

10. On or about September 10, 2007, DeepGulf, Inc., Inc. received an inquiry from a potential customer about DeepGulf, Inc.'s Patented Ultra-deepwater J-Flex Pipelay system and the possibility of using it to lay pipe between Sunrise gas field and East Timor.

11. I on behalf of DeepGulf, Inc. passed this inquiry on to Marc M. Moszkowski.

12. In addition, the potential customer had clicked the "contact us" button on the DeepGulf, Inc. website that sent an email to deepgulf@deep-gulf.com which was received by Marc M. Moszkowski.

13. On or around October 15, 2007, Marc M. Moszkowski went to East Timor to investigate the opportunity, in his capacity as Director and Officer of DeepGulf, Inc.

14. On February 2, 2008, at a DeepGulf, Inc. Board Meeting, Marc M. Moszkowski gave information regarding the potential for pipeline operation in East Timor following his recent time spent researching the project. He informed the

Board, and adamantly still maintains, it would not be possible to do business in East Timor as a US corporation. Based upon these representations, the Board discussed solutions including the creation of a DeepGulf, Inc. subsidiary company in East Timor.

15. In East Timor, Marc M. Moszkowski established Toke Oil and Gas, S.A. and made himself an owner rather than DeepGulf, Inc.

16. Based on documents provided and represented by Marc M. Moszkowski to be the Founding Documents of Toke Oil and Gas, S.A., the earliest of them dated December 8, 2007 the three Founders of Toke Oil and Gas, S.A. are VoGue Lda. Company, Hali Group S.A. Company, and Marc M. Moszkowski an individual.

17. Based on documents provided and represented by Marc M. Moszkowski to be the Founding Documents of Toke Oil and Gas, S.A., Marc M. Moszkowski, an individual, received 30,000 shares or 33% of Toke Oil and Gas, S.A.

18. Based on documents provided and represented by Marc M. Moszkowski to be the Founding Documents of Toke Oil and Gas, S.A., the initial meeting of Shareholders was dated January 2008 wherein Directors were appointed and Marc M. Moszkowski was appointed President-Director General.

19. Marc M. Moszkowski led the Board of DeepGulf, Inc. to believe that

he established and was holding Toke Oil and Gas, S.A. in his name for the benefit of DeepGulf, Inc., and that it would have been reckless to hold that interest in DeepGulf, Inc.'s name.

20. While Marc M. Moszkowski was in East Timor, I attempted to travel to East Timor; however, Marc M. Moszkowski told me that it was too dangerous for me to go to East Timor. No other DeepGulf, Inc. employee or Director ever traveled to East Timor.

21. Toke Oil and Gas, S.A. completed three contracts with total revenue of \$14.9 million US dollars. The last project was completed in May, 2012. During those projects, Toke Oil and Gas, S.A. distributed \$1.304 million purportedly as "Director Salaries". At the same time, Marc M. Moszkowski was also receiving his full time DeepGulf, Inc. salary. While Marc M. Moszkowski was the President Director General, Toke Oil & Gas, S.A. paid the funds referred to in this Paragraph without the knowledge and approval of the DeepGulf, Inc. Board.

22. DeepGulf, Inc. paid Marc M. Moszkowski \$132,000.00 in W-2 wages in 2008, \$132,000.00 in 2009, \$132,000.00 in 2010, \$132,000.00 in 2011 and \$110,000.00 in 2012.

23. DeepGulf, Inc. paid me \$19,425.00 in W-2 wages in 2008, \$77,881.00 in W-2 wages in 2009, 2010, 2011 and \$64,902.00 in 2012.

24. On January 5, 2016, I was at a Board of Directors meeting where Marc

M. Moszkowski agreed that he would not claim pre-revenue expenses if the company would give him backpay for unaccrued salary after the company secures revenue or investor capital. Furthermore, on or about September 28, 2012, I had a conversation with Marc M. Moszkowski regarding payroll accruing, but not paying it until DeepGulf, Inc. had funds. The conversation was memorialized in an Executive Order on salaries, attached hereto as Exhibit "B".

25. Toke Oil & Gas, S.A. paid \$345,000.00 to Marc M. Moszkowski. DeepGulf, Inc. had no knowledge of these payments until late 2017.

26. The opportunity to do business in East Timor described in Paragraph 11 was and has always been an opportunity for DeepGulf, Inc.

27. There would have been no opportunities in East Timor for Marc M. Moszkowski, but for the technologies that were owned by DeepGulf, Inc., as DeepGulf, Inc. owned the patents which would make any future projects possible.

28. Marc M. Moszkowski negotiated DeepGulf, Inc.'s purchase of 30,000 shares or 33% of Toke Oil and Gas from Vincente Ximenes on or about August 12, 2010.

29. Marc M. Moszkowski negotiated DeepGulf, Inc.'s purchase of an additional 30,000 shares or 33% of Toke Oil and Gas, S.A. from Vincente Ximenes on or about May 25, 2012.

30. DeepGulf, Inc. purchased an additional 30,000 shares or 33% of Toke

Oil and Gas, S.A. from Marc M. Moszkowski on or about May 25, 2012, making DeepGulf, Inc. the sole owner of Toke Oil and Gas, S.A.

31. DeepGulf, Inc. is the owner of the websites referred to as www.deepgulf.net and www.deep.gulf.com. When the websites were created, Marc M. Moszkowski already had an ISP provider and wanted to use the same provider for the DeepGulf, Inc. website to which I agreed. Marc M. Moszkowski and I worked together to create and organize the DeepGulf, Inc. website and content. We also selected the domain names for the websites together. I wrote the press releases, the "Case Story" and edited parts of the "Going Deep" page. Marc M. Moszkowski wrote the pipe-predictor pages and provided all the technical data on all our websites. He created the graphics and provided images.

32. I recently contacted www.hostgators.com and their in-house attorneys told me that a court order showing DeepGulf, Inc. as the owner of the account would be the only acceptable documentation to forcefully change the ownership of the account.

33. DeepGulf, Inc. has not generated any revenue or investor capital since 2012, which would be available to pay W-2 wages.

34. On or around August, 2008, DeepGulf, Inc. hired attorney, Jeffrey Goldman, to apply to obtain a permanent resident visa for Marc M. Moszkowski. Despite our best efforts to obtain the permanent resident visa, the application was

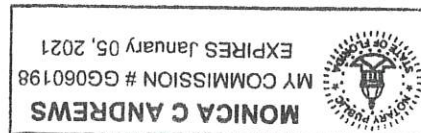
denied.

FURTHER AFFIANT SAYEHT NAUGHT.


Rustin Howard

SWORN TO AND SUBSCRIBED before me this 14th day of
November, 2019, by Rustin Howard, who is personally known to me or provided
_____ as identification and who did take an oath.


Notary Public, State of Florida
Printed Name:
My Commission Expires:



140-1

NONCOMPETITION, NONDISCLOSURE AND DEVELOPMENTS AGREEMENT

In consideration and as a condition of my service or continued service as an employee, officer, director or consultant (such service is described herein as maintaining or being involved in a "Business Relationship") of DeepGulf, Inc. and any of its subsidiaries, divisions or affiliates (the "Company"), I hereby agree as follows:

1. Noncompetition. During the period of my Business Relationship with the Company and for one year following the termination of my Business Relationship, regardless of the reasons for my termination, I shall not, directly or indirectly, alone or as a consultant, partner, officer, director, employee, joint venturer, lender or stockholder of any entity, (a) accept employment with any business or entity that is in competition with the products or services being conceived, designed, created, developed, manufactured, marketed, distributed or sold by the Company, or (b) engage in any business or activity that is in competition with the products or services being conceived, designed, created, developed, manufactured, marketed, distributed or sold by the Company.

2. Nonsolicitation of Customers. During the period of my Business Relationship with the Company and for one year following the termination of my Business Relationship, regardless of the reasons for my termination, I shall not, directly or indirectly, alone or as a consultant, partner, officer, director, employee, joint venturer, lender or stockholder of any entity, solicit or do business with any customer of the Company or any potential customer of the Company (a) with whom I have had contact or (b) about whom I obtained information, or became familiar with through Confidential Information (as defined in Paragraph 4), during the course of my Business Relationship with the Company.

3. Nonsolicitation of Employees.

(a) During the period of my Business Relationship with the Company and for one year following the termination of my Business Relationship, regardless of the reasons for the termination, I will not, in any manner, hire or engage, or assist any company or business organization by which I am employed or which is directly or indirectly controlled by me to hire or engage, any person who is or was employed by the Company (or is or was an agent, representative, contractor, project consultant or consultant of the Company) at the time of the termination of my Business Relationship, was employed by the Company within 6 months of the termination of my Business Relationship, or is or was employed by the Company during the period of one year after the termination of my Business Relationship.

(b) During the period of my Business Relationship with the Company and for one year following the termination of my Business Relationship, regardless of the reasons for the termination, I will not, in any manner, solicit, recruit or induce, or assist any company or business organization by which I am employed or which is directly or indirectly controlled by me to solicit, recruit or induce, any person who is or was employed by the Company (or is or was an agent, representative, contractor, project consultant or consultant of the Company) at the time of the termination of my Business Relationship, was employed by the Company within 6 months of the termination of my Business Relationship, or is or was employed by the Company during the period of one year after the termination of my Business Relationship, to leave his or her employment, relationship or engagement with the Company.

4. Nondisclosure. I shall not at any time, whether during or after the termination of my Business Relationship with the Company, reveal to any person or entity any Confidential Information except to directors, officers and employees of the Company who need to know such Confidential Information, or as otherwise authorized by the Company in writing. The term "Confidential Information" shall include any information concerning the organization, business or finances of the Company or of any third party which the Company is under an obligation to keep confidential that is maintained by the Company as confidential. In furtherance of, and not by way of limitation to, the preceding sentence, Confidential Information shall include trade secrets or confidential information respecting inventions, products, designs, methods, know-how, techniques, systems, processes, specifications, blueprints, engineering data, software programs, works of authorship, customer lists, customer information, financial information, pricing information, personnel information, business plans, projects, plans and proposals. I shall keep confidential all matters entrusted to me and shall not use or attempt to use any Confidential Information except as may be required in the ordinary course of performing services to the Company, nor shall I use any Confidential Information in any manner which may injure or cause loss or may be calculated to injure or cause loss to the Company, whether directly or indirectly.

5. Company Property. I agree that during my Business Relationship with the Company I shall not make, use or permit to be used any Company Property otherwise than for the benefit of the Company. The term "Company Property" shall include all notes, memoranda, reports, lists, records, drawings, sketches, specifications, software programs, software code, data, computers, cellular telephones, pagers, credit and/or calling cards, keys, access cards, documentation or other materials of any nature and in any form, whether written, printed, electronic or in digital format or otherwise, relating to any matter within the scope of the business of the Company or concerning any of its dealings or affairs and any other Company property in my possession, custody or control. I further agree that I shall not, after the termination of my Business Relationship with the Company, use or permit others to use any such Company Property. I acknowledge and agree that all Company Property shall be and remain the sole and exclusive property of the Company. Immediately upon the termination of my Business Relationship with the Company, I shall deliver all Company Property in my possession, and all copies thereof, to the Company.

6. Assignment of Developments.

(a) If at any time or times during my Business Relationship with the Company, I shall (either alone or with others) make, conceive, create, discover, invent or reduce to practice any Development that (i) relates to the business of the Company or any customer of or supplier to the Company or any of the products or services being developed, manufactured or sold by the Company or which may be used in relation therewith; or (ii) results from tasks assigned to me by the Company; or (iii) results from the use of premises or assets (whether tangible or intangible) owned, leased or contracted for by the Company, then all such Developments and the benefits thereof are and shall immediately become the sole and absolute property of the Company and its assigns, as works made for hire or otherwise. The term "Development" shall mean any invention, modification, discovery, design, development, improvement, process, software program, work of authorship, documentation, formula, data, technique, know-how, trade secret or intellectual property right whatsoever or any interest therein (whether or not patentable or registrable under copyright, trademark or similar statutes or subject to analogous protection) relating to the business of the Company. I shall promptly disclose to the Company (or any persons designated by it) each such Development. I hereby assign all rights (including, but not limited to, rights to inventions, patentable subject matter, copyrights and trademarks) I may have or may acquire in the Developments and all benefits and/or rights resulting therefrom to the Company and its assigns without further compensation and shall communicate, without cost or delay, and without disclosing to others the same, all available information relating thereto (with all necessary plans and models) to the Company.

(b) Excluded Developments. I represent that the Developments identified in the Appendix, if any, attached hereto comprise all the Developments that I have made or conceived prior to my Business Relationship with the Company and not owned by any of my prior employers, which Developments are excluded from this Agreement. I understand that it is only necessary to list the title of such Developments and the purpose thereof but not details of the Development itself. IF THERE ARE ANY SUCH DEVELOPMENTS TO BE EXCLUDED, THE UNDERSIGNED SHOULD INITIAL HERE; OTHERWISE IT WILL BE DEEMED THAT THERE ARE NO SUCH EXCLUSIONS. _____.

7. Further Assurances. I shall, during and at any time after my Business Relationship with the Company, at the request and cost of the Company, promptly sign, execute, make and do all such deeds, documents, acts and things as the Company and its duly authorized officers may reasonably require:

(a) to apply for, obtain, register and vest in the name of the Company alone (unless the Company otherwise directs) patents, copyrights, trademarks or other analogous protection in any country throughout the world relating to a Development and when so obtained or vested to renew and restore the same; and

(b) to defend any judicial, opposition or other proceedings in respect of such applications and any judicial, opposition or other proceeding, petition or application for revocation of any such patent, copyright, trademark or other analogous protection.

If the Company is unable, after reasonable effort, to secure my signature on any application for patent, copyright, trademark or other analogous protection or other documents regarding any legal protection relating to a Development, whether because of my physical or mental incapacity or for any other reason whatsoever, I hereby irrevocably designate and appoint the Company and its duly authorized officers and agents as my agent and attorney-in-fact, to act for and in my behalf and stead to execute and file any such application or applications or other documents and to do all other lawfully permitted acts to further the prosecution and issuance of patent, copyright or trademark registrations or any other legal protection thereon with the same legal force and effect as if executed by me.

8. Relationship At Will. I understand that this Agreement does not constitute an implied or written employment contract and that my Business Relationship with the Company is on an "at-will" basis. Accordingly, I understand that either the Company or I may terminate my Business Relationship at any time, for any or no reason, with or without prior notice.

9. Severability. I hereby agree that each provision and the subparts of each provision herein shall be treated as separate and independent clauses, and the unenforceability of any one clause shall in no way impair the enforceability of any of the other clauses of the Agreement. Moreover, if one or more of the provisions contained in this Agreement shall for any reason be held to be excessively broad as to scope, activity, subject or otherwise so as to be unenforceable at law, such provision or provisions shall be construed by the appropriate judicial body by limiting or reducing it or them, so as to be enforceable to the maximum extent compatible with the applicable law as it shall then appear. I hereby further agree that the language of all parts of this Agreement shall in all cases be construed as a whole according to its fair meaning and not strictly for or against either of the parties.

10. Amendments; Waiver. Any amendment to or modification of this Agreement, or any waiver of any provision hereof, shall be in writing and signed by the Company. Any waiver by the Company of a breach of any provision of this Agreement shall not operate or be construed as a waiver of any subsequent breach of such provision or any other provision hereof.

11. Survival. This agreement shall be effective as of the date entered below. My obligations under this Agreement shall survive the termination of my Business Relationship with the Company regardless of the manner of such termination and shall be binding upon my heirs, executors, administrators and legal representatives.

12. Assignment. The Company shall have the right to assign this Agreement to its successors and assigns, and all covenants and agreements hereunder shall inure to the benefit of and be enforceable by said successors or assigns. I may not assign this Agreement.

13. Representations.

(a) I represent that my Business Relationship with the Company and my performance of all of the terms of this Agreement do not and will not breach any agreement to keep in confidence proprietary information acquired by me in confidence or in trust prior to my Business Relationship with the Company. I have not entered into, and I shall not enter into, any agreement either written or oral in conflict herewith.

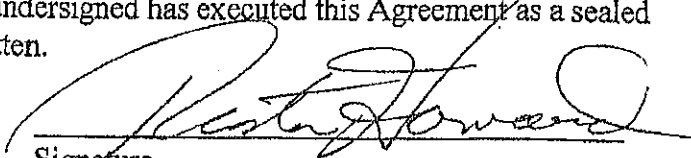
(b) I agree that any breach of this Agreement by me will cause irreparable damage to the Company and that in the event of such breach the Company shall have, in addition to any and all remedies of law, the right to an injunction, specific performance or other equitable relief to prevent the violation of my obligations hereunder. The Company may apply for such injunctive relief in any court of competent jurisdiction without the necessity of posting any bond or other security.

14. Governing Law; Forum Selection Clause. This Agreement and any claims arising out of this Agreement (or any other claims arising out of the relationship between the parties) shall be governed by and construed in accordance with the laws of the State of Florida and shall in all respects be interpreted, enforced and governed under the internal and domestic laws of such state, without giving effect to the principles of conflicts of laws of such state. Any claims or legal actions by one party against the other shall be commenced and maintained in any state or federal court located State of Florida, and I hereby submit to the jurisdiction and venue of any such court.

15. Entire Agreement. This Agreement sets forth the complete, sole and entire agreement between the parties on the subject matter herein and supersedes any and all other agreements, negotiations, discussions, proposals, or understandings, whether oral or written, previously entered into, discussed or considered by the parties.

[REMAINDER OF PAGE INTENTIONALLY LEFT BLANK]

IN WITNESS WHEREOF, the undersigned has executed this Agreement as a sealed instrument as of the date first above written.


Signature

Rustin Howard
Print Name

Date: September 15, 2005

Address: c/o DeepGulf, Inc.
700 S. Palafox Street; Suite 160
Pensacola, FL 32502

ACKNOWLEDGED AND AGREED:

DEEPGULF, INC.

By: M. Moszkowski
Name: Marc Moszkowski
Title: President

Date: September __, 2005

APPENDIX -- TITLE/PURPOSE OF DEVELOPMENTS

The following is a complete list of all Developments and the purpose of those Developments:

RM

No Developments

See Below

Developments and purpose:

NONCOMPETITION, NONDISCLOSURE AND DEVELOPMENTS AGREEMENT

In consideration and as a condition of my service or continued service as an employee, officer, director or consultant (such service is described herein as maintaining or being involved in a "Business Relationship") of DeepGulf, Inc. and any of its subsidiaries, divisions or affiliates (the "Company"), I hereby agree as follows:

1. Noncompetition. During the period of my Business Relationship with the Company and for one year following the termination of my Business Relationship, regardless of the reasons for my termination, I shall not, directly or indirectly, alone or as a consultant, partner, officer, director, employee, joint venturer, lender or stockholder of any entity, (a) accept employment with any business or entity that is in competition with the products or services being conceived, designed, created, developed, manufactured, marketed, distributed or sold by the Company, or (b) engage in any business or activity that is in competition with the products or services being conceived, designed, created, developed, manufactured, marketed, distributed or sold by the Company.

2. Nonsolicitation of Customers. During the period of my Business Relationship with the Company and for one year following the termination of my Business Relationship, regardless of the reasons for my termination, I shall not, directly or indirectly, alone or as a consultant, partner, officer, director, employee, joint venturer, lender or stockholder of any entity, solicit or do business with any customer of the Company or any potential customer of the Company (a) with whom I have had contact or (b) about whom I obtained information, or became familiar with through Confidential Information (as defined in Paragraph 4), during the course of my Business Relationship with the Company.

3. Nonsolicitation of Employees.

(a) During the period of my Business Relationship with the Company and for one year following the termination of my Business Relationship, regardless of the reasons for the termination, I will not, in any manner, hire or engage, or assist any company or business organization by which I am employed or which is directly or indirectly controlled by me to hire or engage, any person who is or was employed by the Company (or is or was an agent, representative, contractor, project consultant or consultant of the Company) at the time of the termination of my Business Relationship, was employed by the Company within 6 months of the termination of my Business Relationship, or is or was employed by the Company during the period of one year after the termination of my Business Relationship.

(b) During the period of my Business Relationship with the Company and for one year following the termination of my Business Relationship, regardless of the reasons for the termination, I will not, in any manner, solicit, recruit or induce, or assist any company or business organization by which I am employed or which is directly or indirectly controlled by me to solicit, recruit or induce, any person who is or was employed by the Company (or is or was an agent, representative, contractor, project consultant or consultant of the Company) at the time of the termination of my Business Relationship, was employed by the Company within 6 months of the termination of my Business Relationship, or is or was employed by the Company during the period of one year after the termination of my Business Relationship, to leave his or her employment, relationship or engagement with the Company.

4. Nondisclosure. I shall not at any time, whether during or after the termination of my Business Relationship with the Company, reveal to any person or entity any Confidential Information except to directors, officers and employees of the Company who need to know such Confidential Information, or as otherwise authorized by the Company in writing. The term "Confidential Information" shall include any information concerning the organization, business or finances of the Company or of any third party which the Company is under an obligation to keep confidential that is maintained by the Company as confidential. In furtherance of, and not by way of limitation to, the preceding sentence, Confidential Information shall include trade secrets or confidential information respecting inventions, products, designs, methods, know-how, techniques, systems, processes, specifications, blueprints, engineering data, software programs, works of authorship, customer lists, customer information, financial information, pricing information, personnel information, business plans, projects, plans and proposals. I shall keep confidential all matters entrusted to me and shall not use or attempt to use any Confidential Information except as may be required in the ordinary course of performing services to the Company, nor shall I use any Confidential Information in any manner which may injure or cause loss or may be calculated to injure or cause loss to the Company, whether directly or indirectly.

5. Company Property. I agree that during my Business Relationship with the Company I shall not make, use or permit to be used any Company Property otherwise than for the benefit of the Company. The term "Company Property" shall include all notes, memoranda, reports, lists, records, drawings, sketches, specifications, software programs, software code, data, computers, cellular telephones, pagers, credit and/or calling cards, keys, access cards, documentation or other materials of any nature and in any form, whether written, printed, electronic or in digital format or otherwise, relating to any matter within the scope of the business of the Company or concerning any of its dealings or affairs and any other Company property in my possession, custody or control. I further agree that I shall not, after the termination of my Business Relationship with the Company, use or permit others to use any such Company Property. I acknowledge and agree that all Company Property shall be and remain the sole and exclusive property of the Company. Immediately upon the termination of my Business Relationship with the Company, I shall deliver all Company Property in my possession, and all copies thereof, to the Company.

6. Assignment of Developments.

(a) If at any time or times during my Business Relationship with the Company, I shall (either alone or with others) make, conceive, create, discover, invent or reduce to practice any Development that (i) relates to the business of the Company or any customer of or supplier to the Company or any of the products or services being developed, manufactured or sold by the Company or which may be used in relation therewith; or (ii) results from tasks assigned to me by the Company; or (iii) results from the use of premises or assets (whether tangible or intangible) owned, leased or contracted for by the Company, then all such Developments and the benefits thereof are and shall immediately become the sole and absolute property of the Company and its assigns, as works made for hire or otherwise. The term "Development" shall mean any invention, modification, discovery, design, development, improvement, process, software program, work of authorship, documentation, formula, data, technique, know-how, trade secret or intellectual property right whatsoever or any interest therein (whether or not patentable or registrable under copyright, trademark or similar statutes or subject to analogous protection) relating to the business of the Company. I shall promptly disclose to the Company (or any persons designated by it) each such Development. I hereby assign all rights (including, but not limited to, rights to inventions, patentable subject matter, copyrights and trademarks) I may have or may acquire in the Developments and all benefits and/or rights resulting therefrom to the Company and its assigns without further compensation and shall communicate, without cost or delay, and without disclosing to others the same, all available information relating thereto (with all necessary plans and models) to the Company.

(b) Excluded Developments. I represent that the Developments identified in the Appendix, if any, attached hereto comprise all the Developments that I have made or conceived prior to my Business Relationship with the Company and not owned by any of my prior employers, which Developments are excluded from this Agreement. I understand that it is only necessary to list the title of such Developments and the purpose thereof but not details of the Development itself. IF THERE ARE ANY SUCH DEVELOPMENTS TO BE EXCLUDED, THE UNDERSIGNED SHOULD INITIAL HERE; OTHERWISE IT WILL BE DEEMED THAT THERE ARE NO SUCH EXCLUSIONS. _____.

7. Further Assurances. I shall, during and at any time after my Business Relationship with the Company, at the request and cost of the Company, promptly sign, execute, make and do all such deeds, documents, acts and things as the Company and its duly authorized officers may reasonably require:

(a) to apply for, obtain, register and vest in the name of the Company alone (unless the Company otherwise directs) patents, copyrights, trademarks or other analogous protection in any country throughout the world relating to a Development and when so obtained or vested to renew and restore the same; and

(b) to defend any judicial, opposition or other proceedings in respect of such applications and any judicial, opposition or other proceeding, petition or application for revocation of any such patent, copyright, trademark or other analogous protection.

If the Company is unable, after reasonable effort, to secure my signature on any application for patent, copyright, trademark or other analogous protection or other documents regarding any legal protection relating to a Development, whether because of my physical or mental incapacity or for any other reason whatsoever, I hereby irrevocably designate and appoint the Company and its duly authorized officers and agents as my agent and attorney-in-fact, to act for and in my behalf and stead to execute and file any such application or applications or other documents and to do all other lawfully permitted acts to further the prosecution and issuance of patent, copyright or trademark registrations or any other legal protection thereon with the same legal force and effect as if executed by me.

8. Relationship At Will. I understand that this Agreement does not constitute an implied or written employment contract and that my Business Relationship with the Company is on an "at-will" basis. Accordingly, I understand that either the Company or I may terminate my Business Relationship at any time, for any or no reason, with or without prior notice.

9. Severability. I hereby agree that each provision and the subparts of each provision herein shall be treated as separate and independent clauses, and the unenforceability of any one clause shall in no way impair the enforceability of any of the other clauses of the Agreement. Moreover, if one or more of the provisions contained in this Agreement shall for any reason be held to be excessively broad as to scope, activity, subject or otherwise so as to be unenforceable at law, such provision or provisions shall be construed by the appropriate judicial body by limiting or reducing it or them, so as to be enforceable to the maximum extent compatible with the applicable law as it shall then appear. I hereby further agree that the language of all parts of this Agreement shall in all cases be construed as a whole according to its fair meaning and not strictly for or against either of the parties.

10. Amendments; Waiver. Any amendment to or modification of this Agreement, or any waiver of any provision hereof, shall be in writing and signed by the Company. Any waiver by the Company of a breach of any provision of this Agreement shall not operate or be construed as a waiver of any subsequent breach of such provision or any other provision hereof.

11. Survival. This agreement shall be effective as of the date entered below. My obligations under this Agreement shall survive the termination of my Business Relationship with the Company regardless of the manner of such termination and shall be binding upon my heirs, executors, administrators and legal representatives.

12. Assignment. The Company shall have the right to assign this Agreement to its successors and assigns, and all covenants and agreements hereunder shall inure to the benefit of and be enforceable by said successors or assigns. I may not assign this Agreement.

13. Representations.

(a) I represent that my Business Relationship with the Company and my performance of all of the terms of this Agreement do not and will not breach any agreement to keep in confidence proprietary information acquired by me in confidence or in trust prior to my Business Relationship with the Company. I have not entered into, and I shall not enter into, any agreement either written or oral in conflict herewith.

(b) I agree that any breach of this Agreement by me will cause irreparable damage to the Company and that in the event of such breach the Company shall have, in addition to any and all remedies of law, the right to an injunction, specific performance or other equitable relief to prevent the violation of my obligations hereunder. The Company may apply for such injunctive relief in any court of competent jurisdiction without the necessity of posting any bond or other security.

14. Governing Law; Forum Selection Clause. This Agreement and any claims arising out of this Agreement (or any other claims arising out of the relationship between the parties) shall be governed by and construed in accordance with the laws of the State of Florida and shall in all respects be interpreted, enforced and governed under the internal and domestic laws of such state, without giving effect to the principles of conflicts of laws of such state. Any claims or legal actions by one party against the other shall be commenced and maintained in any state or federal court located State of Florida, and I hereby submit to the jurisdiction and venue of any such court.

15. Entire Agreement. This Agreement sets forth the complete, sole and entire agreement between the parties on the subject matter herein and supersedes any and all other agreements, negotiations, discussions, proposals, or understandings, whether oral or written, previously entered into, discussed or considered by the parties.

[REMAINDER OF PAGE INTENTIONALLY LEFT BLANK]

IN WITNESS WHEREOF, the undersigned has executed this Agreement as a sealed instrument as of the date first above written.



Signature

Marc Moszkowski

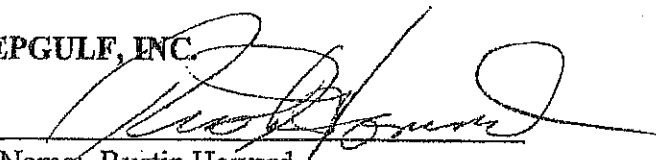
Print Name

Date: September 15, 2005

Address: c/o DeepGulf, Inc.
700 S. Palafox Street; Suite 160
Pensacola, FL 32502

ACKNOWLEDGED AND AGREED:

DEEPGULF, INC.

By: 

Name: Rustin Howard

Title: Chairman of the Board of Directors

Date: September __, 2005

APPENDIX – TITLE/PURPOSE OF DEVELOPMENTS

The following is a complete list of all Developments and the purpose of those Developments:

Mu

No Developments

See Below

Developments and purpose:

140-2

Executive Order on Salaries

Sept 28, 2012

Skype conversation
Rus and Marc

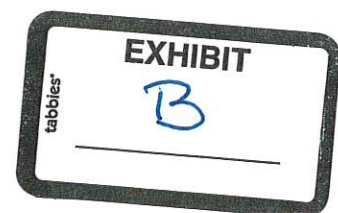
After lengthy discussion on how Israel must defend itself against Libya and the bomb and a few updates on status in Timor, I raised the issue of payroll and the lack of funds.

I told marc we are getting very low on funds. I told him that we can make the next payroll but I thought we should cease to pay payroll. He said he needed the money. I explained to him that if we accrue payroll and not pay it, but book the amount due as a debt we still must pay the taxes and it would soon consume all of our remaining funds.

I told him that we could pay him some of the money that the company owed him since there are no payroll taxes on repayment of debt. He was very happy to hear that.

We agreed to not accrue any further executive officer payroll till the company had funds to pay.

Also discussed travel plans to Dili on First of October.



143

**IN THE UNITED STATES DISTRICT COURT
FOR THE NORTHERN DISTRICT OF FLORIDA
PENSACOLA DIVISION**

DEEPGULF, INC.	*	
TOKE OIL AND GAS S.A,	*	
Plaintiffs,	*	
	*	
vs.	*	CASE NO. 3:18-cv-01466-MCR-MJF
	*	
MARC M. MOSZKOWSKI ,	*	
Defendant.	*	

**DEFENDANT’S RESPONSE TO PLAINTIFFS’ MOTION FOR
SUMMARY JUDGMENT**

COMES NOW Defendant, Marc M. Moszkowski, by and through undersigned Counsel, and in response to Plaintiffs’ Motion for Summary Judgment and Memorandum of Law in Support would state as follows:

OBJECTION TO STATEMENT OF UNDISPUTED FACTS

Defendant would assert that the following statements contained within Plaintiffs’ Statement of Undisputed Material Facts are not true statements, nor are they supported by admissible evidence, and thus, should not be considered by this Court as undisputed:

1. “Marc M. Moszkowski negotiated DeepGulf, Inc.’s purchase of 30,000 shares or 33% of Toke Oil and Gas from Vincente Ximenes on or about August 12, 2010. [Affidavit of Rustin Howard, ¶ 28].” (Doc. 139, p. 6).

This statement is disputed, as the alleged acquisition date was in fact October 27, 2010. Vincente Ximenes did not acquire the shares from Gino Favaro until September 15, 2010 (as stated in Gino Favaro's affidavit)(Doc. 115), making it impossible for DeepGulf to have acquired them on August 12, 2010. Further, the affidavit of Rustin Howard (Doc. 140) is, specifically as to ¶¶25-30, a self-serving affidavit which is not entirely based on his own personal knowledge- but instead on the affiant's [false and unsupported] beliefs- and, as such, does not comply with the requirements set out in FRCP 56. Thus, the affidavit of Rustin Howard should not be considered as credible evidence by this Court.

See Fed. R. Civ. Proc. 56(e); *see also Wane v. Loan Corp.*, ___F.Supp.2d ___, 8:11cv2126, 926 F. Supp. 2d 1312, 2013 U.S. Dist. LEXIS 25245, 2013 WL 672574, at *10 (M.D. Fla. Feb. 23, 2013) (finding plaintiffs did not support their action "with any evidence beyond self-serving affidavits and mere bluster.")).

2. "Marc M. Moszkowski negotiated DeepGulf, Inc.'s purchase of an additional 30,000 shares or 33% of Toke Oil and Gas, S.A. from

Vincente Ximenes on or about May 25, 2012. [Affidavit of Rustin Howard, ¶ 29].” (Doc. 139, p. 6).

This statement is disputed, as the alleged acquisition date was in fact December 13, 2012. Further, the Plaintiffs have not provided any evidence that the agreed upon price, which was \$100,000.00, was ever received by Vincente Ximenes. (Depo. Marc M. Moszkowski, 160:5-1617 July 2019)). Defendant also reasserts the aforementioned argument regarding the credibility of Rustin Howard’s affidavit.

3. “DeepGulf, Inc. purchased an additional 30,000 shares or 33% of Toke Oil and Gas, S.A. from Marc. M. Moszkowski on or about May 25, 2012, making DeepGulf, Inc. the sole owner of Toke Oil and Gas, S.A. [Affidavit of Rustin Howard, ¶ 30].” (Doc. 139, p. 6).

This statement is disputed, as the date was in fact December 13, 2012. Defendant also reasserts the aforementioned argument regarding the credibility of Rustin Howard’s affidavit.

ARGUMENT

PLAINTIFFS’ CLAIMS

- I. Summary Judgment Should Not Be Granted as to Plaintiffs’ Claim for An Injunction That Various Patents Are Owned By Plaintiff, DeepGulf, Inc.

Defendant would assert that he authored and developed all patents at issue, and disputes any ownership by Rustin Howard or Tom Johnson. As such, Defendant disputes any of the patented technologies should be declared as DeepGulf property, unless Defendant is permitted to continue performing deepwater pipeline technology and the like on behalf of DeepGulf, Inc. as its President.

Plaintiffs have failed to show that there is no genuine issue of material fact concerning the injunctive relief requested. Thus, Plaintiff's Motion for Summary Judgment as to Count I is due to be denied.

II. Summary Judgment Should Not Be Granted as to Plaintiffs' Claim That Defendant Be Enjoined By Utilizing Intellectual Property Owned By Plaintiff DeepGulf, Inc. and Other Relief Asserted in Count II.

Defendant has exclusive control of Plaintiff, DeepGulf Inc.'s websites because he not only pays out of pocket for the sites (domain names) and also hosting, but he has also been solely responsible for the websites' upkeep and maintenance since their inception. Defendant maintains his access as he remains the President and largest individual shareholder of DeepGulf, Inc. and would assert that he is the only board member capable of maintaining said websites and domains. Plaintiffs have not met their burden of showing

that there exists no genuine issue of material fact as to Count II, and as such, summary judgment is due to be denied.

Further, Defendant would assert that this Court does not have authority to exercise jurisdiction over, and mandate compliance from, hostgator.com. As such, Plaintiffs' request is improper and unsupported.

III. Summary Judgment Should Not Be Granted as to Plaintiffs' Claim That Defendant Converted the Property of DeepGulf, Inc. in Count V.

Plaintiffs' argue, in support of their claim for summary judgment as to Count V of the Complaint, that Defendant violated his obligation to not have a conflict of interest as a Director of DeepGulf, Inc. under both Florida Law and the Non-Compete Agreement by converting the sum of \$345,000.00 from DeepGulf, Inc. to his own use. (Doc. 139, p. 16).

In response, Defendant would assert that Plaintiffs are not entitled to summary judgment for several reasons. First, Defendant did not violate any of his obligations under Florida Law or the Non-Compete. Second, Plaintiffs have not met the element of ownership or entitlement to funds necessary to succeed under an action for conversion. Thus, Defendant did not convert the sum of \$345,000.00 from DeepGulf, Inc. to his own use. Third, even if the

necessary elements were met, Plaintiffs' claim for conversion is barred by the applicable statute of limitations. As such, Plaintiffs' Motion for Summary Judgment as to Count V is due to be denied.

Defendant's actions in becoming President Director General of Toke Oil and Gas did not conflict with any obligations or objectives as outlined by the Non-Compete or Florida Law. As noted by Plaintiffs (Doc. 139, p. 16), pursuant to Fl. Stat. 607.0830(1)(c), Defendant owed a duty to act in a manner that he believed to be in the best interest of DeepGulf, Inc. Defendant did just that.

Defendant held his position at Toke for the benefit of DeepGulf, Inc. in that although no DeepGulf technology was used to carry out any of the three Toke projects, Defendant negotiated a 10% commission be paid to DeepGulf from each project. (Depo. Rustin Howard 129: 10-15 (19 July 2019)). What's more, Defendant actually negotiated additional commissions totaling approximately 13%, (as evidenced by the numbers in the Toke Oil and Gas spreadsheets [detailing payments made to DeepGulf by Toke prior to DeepGulf's acquisition of Toke]) resulting in substantially more revenue having been paid to DeepGulf. It was pursuant to Defendant's position of

authority with Toke Oil and Gas that DeepGulf received substantial income throughout Toke's three major projects.

Plaintiffs cite to Florida law which deals with a corporate officer acting as an agent of the corporation, and the requirement that said agent fully disclose all facts, within his knowledge pertaining to the transaction. (Doc. 139, p. 6). However, in negotiating commissions paid to DeepGulf, and in negotiating his own salary as President Director General for Toke Oil and Gas, Defendant was not acting in his capacity as an agent of DeepGulf, Inc. But, regardless, Defendant consistently acted with DeepGulf's best interests in mind.

The money paid to Defendant by Toke Oil and Gas was not in any way property of DeepGulf, Inc. DeepGulf was a recipient of commissions as a result of Defendant's negotiations- which Toke Oil and Gas paid as a separate entity. DeepGulf, Inc. did not have any ownership interest in Toke for most of the time said commissions were paid, nor was there any Director other than Defendant and two Timorese nationals on the board of Toke at the time Defendant was paid the sum of \$345,000.00 in salary for his role as President Director General. Thus, DeepGulf has no way to establish that it was in any way entitled to the \$345,000.00 received by Defendant for services

rendered in his capacity *outside of* his employment with DeepGulf. Defendant would reiterate that his actions only benefitted DeepGulf, Inc., as such resulted in substantial revenue generated by DeepGulf for work done solely by Defendant. Further, Plaintiff DeepGulf, Inc. was not harmed in any way by Defendant being compensated for his service as Toke's President Director General- a position, as mentioned, which was necessary to negotiate the multitude of payments received by DeepGulf.

Further, Defendant did in fact disclose all salaries paid to him by Toke in email correspondence directly to Rustin Howard (DeepGulf Chairman) and Jennifer Cabbage (DeepGulf employee) dated 6 March 2014 (Doc. 138-1, p. 29-38) and again, Defendant confirmed salaries had been paid to him by Toke in emails to the same Plaintiff representatives dated 8 April 2014 (Doc. 141-1, p.1-2). Thus, Defendant complied with all obligations and duties required under the Non-Compete Agreement and under Florida law.

Plaintiffs make statements within their conversion argument which are supported solely by the Affidavit testimony of Rustin Howard, and not by any additional facts or corroborating evidence (specifically concerning DeepGulf's understanding that the entity in East Timor would be formed on behalf of DeepGulf, and that said entity would utilize DeepGulf's

technology and intellectual property.) (Doc. 139, p. 17). Defendant disputes the validity of these statements and would reassert his challenge to the credibility of the Affidavit of Rustin Howard as outlined in his Objection to Plaintiffs' Statement of Undisputed Facts, above.

Defendant would note, for the Court's clarity, that the Toke group of companies existed prior to Defendant's traveling to East Timor at the invitation of Toke. Two of the three original shareholders reached out to Defendant about establishing a new Toke, called Toke Oil and Gas, S.A., and invited him to serve as President Director General. Defendant accepted, on his own behalf, a position that was not in competition and further allowed him to benefit DeepGulf with his position of authority (hence DeepGulf being the only recipient of commissions from the Toke Oil and Gas, S.A. projects.)(Depo. Marc M. Moszkowski, 70:6-25, 71:21-23, 75:21-25, 76:1-23 (17 July 2019)).

Plaintiffs cite additionally to caselaw concerning improperly disbursed escrow funds. (Doc. 139, p. 17). However, the instant situation does not deal with escrow funds and thus, said caselaw is inapplicable.

As mentioned above, even if there was a breach of duty on Defendant's behalf, Plaintiffs could not succeed under the theory of conversion. Under

Florida case law, conversion is defined as the wrongful control of another person's property, assets or money. *Seymour v. Adams*, 638 So.2d 1044 (Fla. 5th DCA 1994). The essence of the tort of conversion is the exercise of wrongful dominion or control over property, assets or money to the detriment of the rights of the actual owner. *Goodwin v. Alexatos*, 584 So.2d 1007 (Fla.5th DCA 1991)(emphasis added).

Plaintiffs have not, and cannot, demonstrate that the monies which were paid out as "director salaries" was money that belonged to Plaintiffs. DeepGulf was not entitled to any of Toke's revenue beyond the contractually agreed upon commissions, nor was DeepGulf entitled to monies that Toke paid to its directors. Had \$345,000.00 of director's salaries not been paid to Defendant, those funds would have been paid to other Toke Directors. Plaintiffs cannot show that said monies would have been paid to, or somehow belonged to, DeepGulf. As such, the key element of ownership under a claim for conversion is not met, and Plaintiffs' claim under Count V fails.

Finally, Plaintiffs' Motion for Summary Judgment under Count V of the Complaint is due to be denied because it is barred by the Statute of Limitations. The statute of limitations for conversion is 4 (four) years from

the time of incident or discovery of the wrong. *See* Fla. Sta. § 95.11(3)(h)-(3)(i) (2011). Count V is clearly barred by the statute of limitations. Plaintiffs were sent an email by Defendant dated 6 March 2014 recapitulating all monies personally received by Defendant in France from Toke (Doc. 138-1, p. 29-38) and then again the receipt of information concerning salaries paid to Defendant by Toke was confirmed by Plaintiffs in emails dated 8 April 2014. (Doc. 141-1, p.1-2). This action was filed 3 April 2018, more than 4 years after the alleged conversion was or should have been discovered, or occurred. Thus, Plaintiffs are barred by the statute of limitations from asserting conversion under Count V.

In conclusion, Plaintiffs' Motion for Summary Judgment as to Count V is due to be denied.

IV. Summary Judgment Should Not Be Granted as to Plaintiffs' Claim for Declaratory Relief Under Count VIII.

Plaintiffs request that DeepGulf, Inc. be declared the sole owner of Toke Oil and Gas, S.A. However, questions of fact exist as to whether Toke Oil and Gas, S.A. is actually a wholly owned subsidiary of DeepGulf, Inc., and as to the corporate existence of Toke Oil and Gas, S.A.

These questions of fact, which effectively preclude summary judgment, are evidenced in the record in testimony by Defendant, disputing that DeepGulf is the sole owner of Toke based upon an incomplete purchase (Depo. Marc M. Moszkowski, 160:1-7 (17 July 2019)) and then disputing Toke's existence. (Depo. Marc M. Moszkowski, 178:21-22 (17 July 2019)). These questions of fact are also evidenced in the record in testimony by the Plaintiffs, wherein Rustin Howard confirmed that he made no efforts to verify Toke's existence prior to filing the instant lawsuit and then further confirming that he did not take any steps to ensure Toke had a current and/or valid business license prior to filing suit. (Depo. Rustin Howard 143:21-144:3 (19 July 2019)).

Based upon the foregoing, there exist genuine issues of material fact and thus, Plaintiffs' Motion for Summary Judgment as to Count VIII is due to be denied.

V. Summary Judgment Should Not Be Granted as to Plaintiffs' claim that Defendant Should Account to Plaintiffs for the use of its Assets Under Count IX.

Plaintiffs claim an equitable accounting should be ordered by this Court, mandating Defendant to account for monies spent by Toke Oil and Gas before it allegedly became a subsidiary of DeepGulf, Inc.

As noted by Plaintiffs¹, The 11th Circuit has ruled that an accounting is only a remedy attached to an independent cause of action. First, Defendant would object to an accounting ordered pursuant to Plaintiffs' Count IX because the request does not clearly attach to any one claim asserted. Thus, it is indecipherable as to whether a remedy at law is an inadequate such that an accounting is the only adequate remedy. "Of course, as a theoretical matter, it is accurate to say that equitable relief may only be granted in the absence of an adequate remedy at law." *Zaki Kulaibee Establishment v. McFliker*, 771 F.3d 1301, 1314 n.25 (11th Cir. 2014)(citing *Dairy Queen, Inc. v. Wood*, 369 U.S. 469, 478, 82 S. Ct. 894, 900, 8 L. Ed. 2d 44 (1962)). Plaintiffs cannot establish the absence of a genuine issue of material fact when procedurally, it is unclear as to whether Plaintiffs are entitled to an accounting or whether there is an adequate remedy at law for whatever cause of action to which Plaintiffs contend the accounting request attaches.

Defendant would next assert that Plaintiffs are not entitled to an accounting based on the fact that they cannot establish a fiduciary duty or complex transaction. *See Zaki Kulaibee Establishment v. McFliker*, 771 F.3d

¹ *See Becker v. Davis*, 491 F.3d 1292, 1305 (11th Cir. 2007, abrogated on other grounds by *Arthur Andersen v. Carlisle*, 556 U.S. 624 (2009)).

1301, 1311 n.22 (11th Cir. 2014)(citing *Am. United Life Ins. Co. v. Martinez*, 480 F.3d 1043, 1071 (11th Cir. 2007) ("Under Florida law, a party that seeks an equitable accounting must show that: 1) the parties share a fiduciary relationship or that the questioned transactions are complex, and 2) a remedy at law is inadequate."))

The fiduciary relationship between Defendant and DeepGulf, Inc. is inapplicable to Plaintiffs' request for an accounting from Toke Oil and Gas prior to DeepGulf's alleged acquisition. An accounting of funds expended by Defendant on behalf of a third party corporation (which has never been established as having been created on behalf of, or the property of DeepGulf, during the time frame of the requested accounting)² prior to any involvement by DeepGulf, aside from the contracted commission payments, would be inappropriate.

A fiduciary relationship is one in which "one person is under a duty to act for the benefit of another on matters within the scope of the relationship." Black's Law Dictionary 1402 (9th ed. 2009). The fiduciary relationship applicable to a request for an accounting of Toke Oil and Gas prior to the

² Plaintiffs have only stated that they "believed" Toke Oil and Gas was being held in his name for the benefit of DeepGulf. (Doc. 139, p.5). Plaintiffs have yet to establish that DeepGulf had any right to Toke's profits prior to the alleged acquisition which did not occur until 2012.

alleged acquisition would be between Defendant and Toke Oil and Gas, S.A. (which, again, during the time frame of the requested accounting was a corporation independent from DeepGulf- leaving the only fiduciary relationship involving Defendant outside of the scope of this litigation.) Plaintiffs cannot demand an equitable accounting based upon a fiduciary relationship to which they were not a party.³

Plaintiffs also aver the existence of complex transactions. (Doc. 139, p. 21). However, Plaintiffs' only support for this assertion is a conclusory statement. Plaintiffs seem to attempt to lead this Court to believe that Defendant admitted that spreadsheets referred to in Defendant's second deposition were "complex." However, Plaintiffs' citation to Defendant's deposition is simply an acknowledgement that some of the questions Defendant would be asked would concern the spreadsheets at issue. Defendant has never admitted that they were complex. In fact, the spreadsheets are only a few pages in length and the transactions at issue⁴ as evidenced by the spreadsheets (and also clarified in emails received by

³ "Under Florida law, a party that seeks an equitable accounting must show that (1) a fiduciary relationship exists between the parties..." *Zaki Kulaibee Establishment v. McFliker*, 788 F. Supp. 2d 1363 (S.D. Fla. 2011), rev'd and remanded on other grounds, 771 F.3d 1301, 1314 n.25 (11th Cir. 2014).

⁴ The only relevant transactions to Plaintiffs claims are the limited entries concerning Toke's payment to Defendant.

Plaintiffs dated 6 March 2014 and 8 April 2014) are very simple and have not been concealed by Defendant. Thus, Plaintiffs have failed to show the complexity of the transactions at issue.

Also, Defendant would note that the only financial records available to him from the then independent entity of Toke Oil and Gas, S.A. have been disclosed. Defendant cannot account for monies spent by Toke beyond what has already been produced, in light of the fact that Defendant was not in charge of the accounting for Toke, nor did he draft the spreadsheets at issue. (Depo. Marc M. Moszkowski, 25:15-17 (21 October 2019)). Thus, Defendant is unsure what remedy a Court ordered accounting would provide, and again would assert that the same would be unwarranted in light of the foregoing. Thus, Plaintiffs' Motion for Summary Judgment as to Count IX is due to be denied.

DEFENDANT'S COUNTERCLAIMS

I. Plaintiffs Are Not Entitled to Summary Judgment as to Defendant's Counterclaim for Accounting.

There clearly exists a fiduciary duty between Defendant and DeepGulf, Inc., as Defendant is the President, a Director, and DeepGulf's largest individual shareholder. Further, Defendant would aver that the

transactions at issue are complex based upon a plethora of indiscernible QuickBooks records (and the absence of a majority of DeepGulf's banking records aside from the incomplete records received via Wells Fargo subpoena) provided in discovery. (Depo. of Marc M. Moszkowski, 74:1-25; 75:1-3 (21 October 2019)).

Additionally, Defendant's claim for an accounting is clearly related to Defendant's breach of contract claim concerning DeepGulf's failure to pay Defendant's salary as promised. Defendant is concerned that DeepGulf monies were spent improperly which wrongfully deprived Defendant of a salary despite his continued work. This information cannot be gleaned from the complex transactions (some of which were produced one day prior to Plaintiffs' depositions and some of which were produced the day *of* Plaintiffs' deposition) which included funds being moved around amongst Rustin Howard's many business ventures in order to defraud the government into believing DeepGulf had the funds necessary for visa application purposes. (Depo. Rustin Howard, 119:7-25; 120:1-5 (19 July 2019)). Defendant has no way of knowing whether funds were mismanaged to the detriment of Defendant's ability to receive a salary without an

equitable accounting ordered by this Court. For these reasons, a remedy at law is inadequate.

Based upon the foregoing, Plaintiffs have not satisfied their burden of showing that no genuine dispute of material fact exists and thus, Plaintiff's Motion for Summary Judgment as to Defendant's request for an accounting is due to be denied.

II. Plaintiffs Are Not Entitled to Summary Judgment as to Defendant's Counterclaim for Breach of Contract, As Defendant Did Not Waive Any Rights, Nor Is Defendant's Claim Barred by The Statute of Limitations.

Regarding Defendant's Count II, Plaintiffs state that Defendant waived his right to a salary and that his claim is barred by the statute of limitations.

As to the waiver argument, Plaintiffs first state that "clearly" the obligation to pay Defendant a salary was conditioned upon the company obtaining revenue. (Doc. 139, p. 25). Obviously, this is not "clear," as the statement is disputed throughout the record. Thus, Plaintiffs begin their argument with a statement that *clearly* creates a genuine issue of material fact and excludes the entry of summary judgment. Further, this statement is clearly inaccurate. Defendant relied upon the job offer letter (Doc. 138-1, p.

1), employment agreement⁵ (Doc. 138-1, pp. 61-66), as well as upon Rustin Howard's affidavit promising to pay Defendant's salary out of his "own personal assets, including the equity in [his] home" if DeepGulf did not meet financial expectations. (Doc. 138-1, p.71). Thus, if anything is "clear," it is that Defendant relied upon Plaintiffs' promise to pay to his detriment based upon the documents reflecting agreements between the parties and thus, has an actionable claim based on the breach thereof.

Next, the elements of waiver are not met, as Plaintiffs have not and cannot show that Defendant ever intended to "relinquish" his right to a salary. *See Chick-Fil-A, Inc. v. CFT Development, LLC*, 652 f. Supp. 2d 1252 (M.D. Fla. 2009), judgment aff'd, 370 Fed. App'x. 55 (11th Cir. 2010).

Defendant disputes that he waived any right to a salary and asserts his claim for breach of contract meets all of the elements necessary for summary judgment to be granted in Defendant's favor. This, at a minimum, creates a genuine issue of material fact as to Plaintiffs' claim herein. Therefore, summary judgment is due to be denied.

⁵ Employment agreement did not stipulate that salary would be paid only if DeepGulf was generating substantial revenue.

Defendant would finally note that despite the heading, Plaintiffs make no argument as to statute of limitations. Regardless, Defendant asserts that his claim is not barred by the statute of limitations because the failure to pay salary is ongoing and, as such, the statute of limitations has yet to begin running. *See Fla. Stat. Ann. § 95.031.*

Based on the foregoing, Plaintiffs' Motion for Summary Judgment as to Count II of Defendant's Counterclaim is due to be denied.

III. Plaintiffs Are Not Entitled to Summary Judgment as to Count III of Defendant's Counterclaim as Defendant Did Not Waive Any Rights, Nor Is Defendant's Claim Barred by The Statute of Limitations.

Plaintiffs simply adopt and incorporate their argument as to Count II herein. However, the elements and arguments set out within Defendant's claim for work and labor done differ from that of breach of contract. Defendant would assert that Plaintiff's argument as to Count III of Defendant's Counterclaim fails to meet the standard requisite to succeed on a motion for summary judgment. The specifics are not discussed, waiver is not proven, and the statute of limitations argument remains absent. Plaintiffs further fail to meet the burden of showing that there is no genuine issue of material fact.

Based on the foregoing, Plaintiffs' Motion for Summary Judgment as to Count III of Defendant's Counterclaim is due to be denied.

IV. Plaintiffs Are Not Entitled to Summary Judgment as to Count IV of Defendant's Counterclaim, as Plaintiffs Have Not Met Their Burden of Showing the Absence of Genuine Issue of Material Fact.

Summary judgment is authorized only when the moving party meets its burden of demonstrating that "the pleadings, depositions, answers to interrogatories and admissions on file, together with the affidavits, if any, show that there is no genuine issue as to any material fact and that the moving party is entitled to judgment as a matter of law." Fed. R. Civ. P. 56. When determining whether the moving party has met this burden, the Court must view the evidence and all factual inferences in the light most favorable to the non-moving party."

United States v. Stein, No. 15-cv-20884-UU, 2018 U.S. Dist. LEXIS 182570, at *3 (S.D. Fla. Oct. 22, 2018)(citing *Adickes v. S.H. Kress & Co.*, 398 U.S. 144, 157, 90 S. Ct. 1598, 26 L. Ed. 2d 142 (1970); *Rojas v. Florida*, 285 F.3d 1339, 1341-42 (11th Cir. 2002)).

Defendant clearly and repeatedly asserts that the parties' had an agreement wherein Plaintiff, DeepGulf, Inc., promised to obtain a visa for Defendant in exchange for continued work. Defendant asserts that Plaintiffs are liable under a theory of breach of contract in light of Plaintiffs' failure to obtain said visa (which was not disclosed to Defendant until May 2019 in the

course of discovery), because such failure was a direct result of Plaintiff, DeepGulf, Inc.'s inability and/or refusal to raise necessary funds. Plaintiffs continue to dispute the same. Thus, there remains a genuine issue of material fact as to Count IV of Defendant's Counterclaim.

WHEREFORE, Defendant would request this Honorable Court enter an Order denying Plaintiffs' Motion for Summary Judgment, or that Defendant be granted whatever further or different relief to which the Court deems appropriate.

Respectfully submitted this 6th day of December 2019.

s/ Mary Allie E. Boller
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CERTIFICATE OF COMPLIANCE WITH LOCAL RULE 7.1(F)

I CERTIFY that this Response contains 4,332 words, exclusive of the case style, signature block and certificates of compliance/service.

s/ Mary Allie E. Boller

MARY ALLIE E. BOLLER

CERTIFICATE OF SERVICE

I hereby certify that on this 6th day of December 2019, the foregoing was electronically filed with the Clerk of the Court using the CM/ECF system which will send notification of such filing to all counsel of record.

s/ Mary Allie E. Boller

MARY ALLIE E. BOLLER

143-1

IN THE UNITED STATES DISTRICT COURT
FOR THE NORTHERN DISTRICT OF FLORIDA
PENSACOLA DIVISION

DEEPGULF, INC., and
TOKE OIL AND GAS, S.A.,

Plaintiffs,

vs.

CASE NO.: 3:18-CV-1466-MCR-MJF

MARC M. MOSZKOWSKI,

Defendant.

The deposition of MARC M. MOSZKOWSKI, taken by the attorney for the Plaintiffs, commencing at approximately 9:25 a.m., on the 17th day of July, 2019, at 220 West Garden Street, Suite 603, Pensacola, Florida, before Connie L. Morse, Court Reporter and Notary Public at Large in and for the State of Florida.

1 Q Did they seem interested in the opportunity to
2 do that?

3 A No, no, it was not DeepGulf that was involved.
4 It was Toke. I was not introduced as a contractor. I was
5 introduced as a subcontractor.

6 Q Okay. So as I understand it, in this
7 situation there are several companies that begin with the
8 word "Toke"?

9 A Yeah.

10 Q So when you say it was an opportunity for
11 Toke, which company do you mean?

12 A At the time it was Toke Petroleum.

13 Q So let's back up and talk about Toke Petroleum
14 for a second. Is it Toke Petroleum, S.A. like the other
15 company; is that correct?

16 A Yes, sir.

17 Q That was an East Timor company?

18 A Yes, sir.

19 Q Do you know when that company was formed?

20 A No.

21 Q How do you know about Toke Petroleum, S.A.?

22 A They're the people who contacted me the first
23 time in September 2007.

24 Q So Mr. Mitaxa was involved with that company?

25 A He was the president director general of Toke

1 Petroleum.

2 Q Understood. Okay.

3 A Which means he was the president, and he was a
4 director general. It's a French word. It's the way they
5 call chairman of the board.

6 Q I understand.

7 MR. BOLLER: Why don't you just stop asking
8 questions. Just let him run on.

9 THE WITNESS: I have no secrets.

10 MR. BOLLER: I know.

11 Q (By Mr. Ball) That's a good thing.

12 A I think it's a good thing.

13 Q Apparently you have a secret about the
14 inventions because you won't answer those questions.

15 A That's mostly a question of --

16 Q I would go back to --

17 A No, the thing, that's a question of principle.
18 And I know that eventually if I have to tell it, I will tell
19 it. It's a question of principle. I feel very offended by
20 that question.

21 Q Okay. Who else was involved with Toke
22 Petroleum, S.A.?

23 A Gino Favaro, F-a-v-a-r-o, and Vicente Ximenes,
24 X-i-m-e-n-e-s.

25 Q That is Toke Petroleum?

1 before I came back here in early December, yeah. So they
2 were telling me that, okay, the idea of making a large
3 hydrographic, bathymetric survey in the Timor Sea was well
4 received.

5 Q Who is they?

6 A The government.

7 Q Okay.

8 A So they had requested Toke Petroleum to make a
9 proposal on a bathymetric survey. So I started by sending
10 them a map of where the survey would be done. The problem
11 is very few people on earth can do that kind of survey
12 because, well, of course, at the time we didn't know what
13 the depth was. In the end it proved to be 11,000 feet.

14 Q Okay. What happened next?

15 A So one day I received a message. It was
16 mostly e-mails saying, oh, how about we do the survey for
17 the entire Timor -- east part of the Timor Sea. And me
18 being me, I say, well, why not? But I had no idea how to do
19 it because I'd never done it. By the way, nobody had ever
20 done such a large bathymetric survey before.

21 Q So let me ask this. So let me kind of cut to
22 the question I was asking, I suppose. So at some point Toke
23 Oil and Gas, S.A. was formed. Why was that company formed?

24 A Because when Mitaxa resigned a couple of weeks
25 later, I cannot tell you exactly when, the other two

1 directors said, oh, we need a president director general.
2 Do you want to be the president director general?

3 Q And how did you respond?

4 A Well, it took me about ten seconds of internal
5 conversation with myself to say, yes, of course, because if
6 I'm the president director general of Toke Oil and Gas, I
7 will be able to control the money in Toke -- well, at the
8 time it was Toke Petroleum. And I would be able to maximize
9 the revenue for DeepGulf. We would not be dependent on
10 someone else. I would make sure that the projects were well
11 managed, and I would make sure to send as much money as
12 possible to DeepGulf, Inc.

13 Q So I still don't understand. Why didn't you
14 just use Toke Petroleum?

15 A Because it would take too long to replace the
16 president director with another one, plus I was a foreigner.
17 It would take too long. And we had -- so I would think this
18 was like late February, early March 2008. So it would -- I
19 believe. So it would take too long. So their lawyer
20 decided, okay, what we need is a new company. We'll keep
21 Toke Petroleum the way it is, but we need a new company, and
22 let's call it Toke Oil and Gas. So that's the reason why
23 they had another Toke.

24 Q I'm going to show you a document. It's
25 entitled Toke Oil and Gas, S.A. Unanimous Shareholder

1 part of that, and you say that DeepGulf -- I think you're
2 denying that DeepGulf was the sole owner of Toke Oil and
3 Gas?

4 A Yeah, I still deny it.

5 Q Is that because of what you allege to be an
6 incomplete purchase?

7 A Yeah, and also that the seller of the last
8 third never had any money sent to him directly.

9 Q Understood. You said sent to him directly.
10 Was there money sent to him indirectly or in any fashion?

11 A He never received any money from DeepGulf in
12 his name.

13 Q Directly, indirectly in any way?

14 A No. DeepGulf sent money to Toke Oil and Gas,
15 but that was to support Toke Oil and Gas' expenses.
16 DeepGulf never sent any payment to Vicente Ximenes. And,
17 anyway, why would the third third be \$100,000 when the first
18 third was one dollar? That doesn't make sense.

19 Q Why do you think it was?

20 A The what?

21 Q I mean, you said it doesn't make any sense.
22 Why do you think the third payment was \$100,000? Do you
23 have any idea?

24 A Ask Mr. Howard. He's the one that sent the
25 money and decided on the amount. All of that I know, and

1 one.

2 Q Mr. Moszkowski, I want you to turn back to
3 Exhibit 5, which is your answer and counterclaim. We talked
4 a lot about your responses to our -- your direct responses
5 to our allegations.

6 A Okay. Which page?

7 Q On paragraph 16 you have --

8 A Okay. Hold on.

9 Q I'm sorry, page 16.

10 A Page 16. Yes.

11 Q So your attorney mentions affirmative
12 defenses, which are allegations that you -- legal theories
13 that you have against our case or in support and defense of
14 our case. The first one is duress. What evidence do you
15 have that you were under any kind of duress?

16 A Regarding what?

17 Q I don't know. It doesn't say, and there's no
18 indication in here except that duress is a defense to our
19 claims against you. So I'm asking you what duress has been
20 imposed against you by either DeepGulf or Toke Oil and Gas?

21 A No, I don't recognize Toke Oil and Gas as a
22 plaintiff because it doesn't exist, and I'm a director of 50
23 percent of the shares of. So, anyway, regarding DeepGulf,
24 the way DeepGulf has mistreated me since the end of 2014.

25 Q In what way have they mistreated you?

CERTIFICATE OF OATH

STATE OF FLORIDA)
COUNTY OF ESCAMBIA)

I, Connie L. Morse, Court Reporter, hereby
certify that MARC M. MOSZKOWSKI personally appeared before
me on the 17th day of July, 2019, and was duly sworn.

WITNESS my hand and official seal this 7th day of
August, 2019.

CONNIE L. MORSE
Court Reporter

143-2

IN THE UNITED STATES DISTRICT COURT
FOR THE NORTHERN DISTRICT OF FLORIDA
PENSACOLA DIVISION

DEEPGULF, INC., and
TOKE OIL AND GAS, S.A.,

Plaintiffs,

vs.

CASE NO.: 3:18-CV-1466-MCR-MJF

MARC M. MOSZKOWSKI,

Defendant.

The deposition of RUSTIN HOWARD, taken by the attorney for the Defendant, commencing at approximately 10:20 a.m., on the 19th day of July, 2019, at 220 West Garden Street, Suite 603, Pensacola, Florida, before Connie L. Morse, Court Reporter and Notary Public at Large in and for the State of Florida.

1 Q Whitesand was -- we've established was an
2 entity that you hold an interest in?

3 A That's correct.

4 Q And was no longer sharing a lease or was your
5 landlord?

6 A That is correct.

7 Q So tell me about these payments. In 2015
8 DeepGulf didn't have the money to make payments of salaries,
9 correct?

10 A Sure.

11 Q So that \$49,000, what was that for, if you
12 recall?

13 A I do recall what this was about. For the
14 EB-1C visa, we did everything in our power to make this
15 happen, everything. Just prior to the year end -- make sure
16 I get the year right -- 2014, because we knew we were going
17 to submit the EB-1C in the following -- in the months
18 following -- in the first few months of 2015. And a key
19 component of the EB-1C is to make sure that there is enough
20 money in the corporation that would enable the company to
21 pay Marc Moszkowski.

22 So I arranged to have loans to the company so
23 that there would be cash on the books for the year-end
24 financial statement so when we submitted the EB-1C and they
25 looked at the financial statement, it would show the cash

1 was there. In the months after we had submitted, and I
2 believe those payments were made -- well, looks like they
3 were paid back shortly after the beginning of the year.

4 Q Okay. That's the same scenario as Sage and --

5 A And Couloir, yes, same thing.

6 Q I've only got one copy of these as well, so I
7 will pass these over to be marked and then pass them to you.
8 It's just one month of bank statements that you brought
9 pursuant to the duces tecum. Are these copies we can
10 staple?

11 A You're talking about the bank statements?

12 Q Yeah.

13 A You can't have all those.

14 MR. BALL: The stuff that you provided in the
15 box they can have?

16 THE WITNESS: No, the bank statements.

17 MR. BALL: You don't need copies of bank
18 statements.

19 MR. BOLLER: I expect we're going to get them
20 from the bank pursuant to the subpoena anyway, so
21 for the purpose of moving it forward, why don't we
22 just let it be an exhibit, and everybody has access
23 to it.

24 (Defendant's Exhibits 11 and 12 were marked
25 for identification.)

CERTIFICATE OF REPORTER

STATE OF FLORIDA)
COUNTY OF ESCAMBIA)

I, Connie L. Morse, Court Reporter, certify that
I was authorized to and did stenographically report the
foregoing deposition; and that the transcript is a true
record and complete record of my stenographic notes; that
the witness did not waive reading and signing.

I further certify that I am not a relative,
employee, or attorney, or counsel to any of the parties, nor
am I a relative or employee of any of the parties' attorney,
or counsel connected with the action, nor am I financially
interested in the action.

WITNESS my hand this 8th day of August, 2019.

CONNIE L. MORSE
Court Reporter

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IN THE UNITED STATES DISTRICT COURT FOR THE
NORTHERN DISTRICT OF FLORIDA
PENSACOLA DIVISION

DEEPGULF, INC., and
TOKE OIL AND GAS, S.A.,

Plaintiffs,

v.

CASE NO. 3:18-CV-1466-TKW-MJF

MARC M. MOSZKOWSKI,

Defendant.

_____ /

**PLAINTIFFS' RESPONSE TO DEFENDANT'S MOTION FOR SUMMARY
JUDGMENT**

Plaintiffs, by and through undersigned counsel, hereby respond to Defendant's Motion for Summary Judgment [Doc. 137] and Memorandum in Support of Defendant's Motion for Summary Judgment [Doc. 138] and state as follows:

RESPONSE TO STATEMENT OF UNDISPUTED MATERIAL FACTS

1. In Paragraph 1 of Defendant's Statement of Undisputed Material Facts, Defendant alleges that Defendant and Rustin Howard agreed to form a company with "Rustin Howard to fund it." According to Mr. Howard's affidavit which is filed simultaneously with this Response, there was never any discussions that he

would agree to fund the corporation. [Affidavit of Rustin Howard dated December 5, 2019, ¶ 2].

2. In Paragraph 3 of Defendant's Statement of Undisputed Material Facts, Defendant asserts that there was an agreement wherein Defendant agreed to perform certain work for Plaintiffs in exchange for reasonable compensation. On or about September 28, 2012, Mr. Howard had a conversation with Defendant regarding payroll accruing, but not paying it until DeepGulf, Inc. had funds. An Executive Order on salaries memorialized this conversation and was attached as Exhibit "B" to Mr. Howard's earlier Affidavit [Doc. 140]. Furthermore, in accordance with the affidavit of Rustin Howard filed previously with this court [Doc. 140, ¶24], Mr. Howard attended a Board of Directors meeting on January 5, 2016, whereby the Defendant agreed that he would not claim pre-revenue expenses if the company would give him backpay for unaccrued salary after the company secures revenue or investor capital.

3. In Paragraph 5 of Defendant's Statement of Undisputed Material Facts, Defendant asserts that the owners and directors of Toke Oil and Gas, S.A. were Defendant, Vicente Ximenes, and Ernesto Gino Favaro. However, the affidavit of Rustin Howard states that the founders of Toke Oil and Gas, S.A. were actually VoGue Lda. Company, Hali Groups S.A. Company and Marc M. Moszkowski [Doc. 140, ¶16].

4. In Paragraph 7 of Defendant' Statement of Undisputed Material Facts, the Defendant's state that Gino Favaro and Vicente Ximenes received together \$959,764.22. It appears from the spreadsheets provided to Plaintiffs in discovery that payments were actually made to Mr. Ximenes, Mr. Favaro and Hali Group S.A. The Spreadsheets are attached as Exhibit " A."

5. In Paragraph 8 of Defendant's Statement of Undisputed Material Facts, the Defendant states that Toke was in charge of all activities, from contract negotiation to the last payment, through the execution of the contracts. However, Rustin Howard was led to believe by Marc M. Moszkowski that DeepGulf was involved in operations as DeepGulf employed Marc M. Moszkowski to be its Project Manager. [Affidavit of Rustin Howard dated December 5, 2019, ¶ 6].

6. In Paragraph 9 of Defendant' Statement of Undisputed Material Facts, the Defendant states that DeepGulf was not involved in operations, only in fund raising. Rustin Howard was in charge of raising capital for DeepGulf. DeepGulf disputes these "facts" as described in Rustin Howard's Affidavit [Affidavit of Rustin Howard dated December 5, 2019, ¶ 8].

7. In Paragraph 10 of Defendant' Statement of Undisputed Material Facts, the Defendant's state that Vicente Ximenes never received the \$100,000 he was owed. DeepGulf disputes this "fact" as described in Rustin Howard's Affidavit [Affidavit of Rustin Howard dated December 5, 2019, ¶ 10].

8. In Paragraph 12 of Defendant's Statement of Undisputed Material Facts, Defendant states that Defendant was informed about all salaries paid by Toke to Defendant, including but not limited to an email by Defendant dated March 6, 2014, which is attached to Defendant's Memorandum as Exhibit "F." Exhibit "F" is a document in what appears to be the French language. No message was sent by Defendant with the email which would explain the contents therein or the purpose of sending said email. Mr. Howard does not write, read or speak French and did not understand what was contained in the email. [Affidavit of Rustin Howard dated December 5, 2019, ¶ 3].

RESPONSE TO ARGUMENT

I. Defendant is not Entitled to Summary Judgment as to Count II of Defendant's Counterclaim, Breach of Contract.

Defendant argues that he is entitled to summary judgment for monetary damages in the form of lost wages due to Plaintiffs' alleged willful and continuing breach of contract.

Plaintiffs, in its Affirmative Defenses to Defendant's Counterclaim, stated "Defendant / Counter-Plaintiff waived his right to pursue Count II and III by agreeing that he would not claim a salary until such time as Plaintiff, DeepGulf, Inc., had revenue with which to pay Defendant / Counter-Plaintiff." [Doc. 119, Page 2].

Plaintiffs have proof of this waiver through the statements in the Rustin Howard's affidavit which are discussed, *supra*, in the Response to Statement of Undisputed Material Facts section of this pleading [Doc. 140, ¶ 24]. Additionally, the Defendant agreed at the meeting to waive pre-revenue expenses if the company would give him backpay for any unaccrued salary after the company secures revenue or investor capital. [Deposition of Marc M. Moszkowski dated July 17, 2019, Page 130, Line –Page 131, Line 9]. To date, DeepGulf, Inc. has not received any revenue or investor capital which could be used to pay unaccrued salary to either Marc Moszkowski or Rustin Howard [Doc. 140, ¶ 33].

There is no evidence contrary to the fact that salary was conditioned upon DeepGulf, Inc. receiving revenue or investor capital and the evidence is sufficient to sustain Plaintiffs' Motion for Summary Judgment [Doc. 139, Page 24 – 26]. At the very least, there are sufficient issues of material fact to defeat Defendant's Motion for Summary Judgment for Count II of its Counterclaim.

II. Defendant is not Entitled to Summary Judgment as to Count III of Defendant's Counterclaim, Work and Labor Done

Defendant's Motion for Summary Judgment as to Count III is based upon the same arguments as those in Section I, *supra*. Therefore, Plaintiffs adopt and incorporate herein arguments made in Section I, *supra*, above as bases for this court to deny summary judgment in favor of Defendant as to Count II.

III. Defendant is not Entitled to Summary judgment as to Count II of Plaintiffs' Complaint, Breach of Non-Competition Agreement

Defendant argues that the agreement is invalid as it is unenforceable and unacceptable under Florida law. Then, Defendant cites to Partylite Gifts, Inc. v. MacMillan, 895 F.Supp.2d 1213 (M.D. Fla. 2012) for the proposition that since the non-compete agreement fails to contain any geographic limitation, that such an agreement is “unacceptable and unenforceable.”

If a person seeking enforcement of a restrictive covenant establishes prima facie that the restraint is reasonably necessary, the person opposing enforcement has the burden of establishing that the contractually specified restraint is overbroad, overlong, or otherwise not reasonably necessary to protect the established legitimate business interest or interests. Section 542.335(1)(c), Florida Statutes.

A careful reading of Section 542.335, Florida Statutes, which governs non-compete agreements shows that the argument presented by Defendant cannot support Defendant's Motion for Summary Judgment. Section 542.335(b)(1) and (2) define “legitimate business interests” which would justify the restrictive covenant. Those subsections state that “legitimate business interests” includes “[t]rade secrets, as defined in s. 688.002(4)” and “[v]aluable confidential business or professional information that otherwise does not qualify as trade secrets.” Another subsection, not applicable to the facts in this case, Section 542.335(b)(4)(b) includes “customer, patient or client goodwill associated with a specific geographic limitation.”

Partylite Gifts involved a company which sold candles and related home products to consumers through a “home party plan” method of direct sales. In the present case, DeepGulf’s business involves newly patented technology which is unique and whose customers base is found worldwide, but are extremely limited in number. DeepGulf believes it could possibly do business in East Timor, Australia, Indonesia, Korea, Brazil, the Mediterranean, the Baltic, and the Gulf of Mexico. [Affidavit of Rustin Howard dated December 5, 2019, ¶ 4]. The legitimate business interest which DeepGulf was attempting to protect is either a trade secret or valuable confidential business or professional information that otherwise does not qualify as a trade secret. It was not trying to protect customer goodwill associated with a specific geographic location as the company in Partylite Gifts was attempting.

Second, Defendant argues that Plaintiffs’ breach of contract claim is barred by the statute of limitations. In Plaintiffs’ Reply to Affirmative Defenses, Plaintiffs asserted the defense of fraudulent concealment as to the statute of limitations defense asserted by Defendant. [Doc. 120, ¶ 5]. DeepGulf, Inc.’s position is, and the evidence supports the fact that the statute of limitations was tolled because Defendant fraudulently concealed his breach of contract from Deepgulf, Inc. Fraudulent concealment is a proper theory to toll the statute of limitations in a case involving a breach of contract. Allapattah Services, Incorporated v. Exxon Corporation, 333 F.3d 1248 at 1262-1263 (11th Cir. 2003). In addition, fraudulent

concealment in a breach of contract case is a question of fact left for the finder of fact. Id. at 1263. Defendant's Memorandum in Support of Motion for Summary Judgment addresses the issue of whether or not Plaintiff knew of the claim [Doc. 138, Page 12] which is a different defense than fraudulent concealment by the Defendant, which is the defense at issue in this case.

Defendant has acted to fraudulently conceal the fact that he made money from Toke Oil and Gas, S.A. during the 2010-2011 time periods. It was always the Defendant's intent to find a way to leave DeepGulf, Inc. to form a new company to compete with DeepGulf using its technology or work for a competitor to bring projects to fruition not for the benefit of DeepGulf, Inc. [Doc. 140, ¶ 7-9].

An opportunity came to DeepGulf, Inc. in 2007 in East Timor [Doc. 140, ¶ 10; Deposition of Marc M. Moszkowski dated July 17, 2019, Page 65, Line 21 – Page 66, Line 22]. Rustin Howard relayed that inquiry to the Defendant [Doc. 140, ¶ 11]. At the same time, the potential customer had contacted DeepGulf, Inc. through the DeepGulf, Inc. website which was received by the Defendant [Doc. 140, ¶ 12]. On or around October 15, 2007, Marc M. Moszkowski went to East Timor to investigate the opportunity, in his capacity as Director and Officer of DeepGulf, Inc. [Doc. 140, ¶ 13]. Marc M. Moszkowski also requested reimbursement from DeepGulf, Inc. for this travel expenses. [Affidavit of Rustin Howard dated December 5, 2019, ¶ 6].

Upon returning from East Timor, on February 2, 2008, at a DeepGulf, Inc. Board Meeting, Defendant gave information regarding the potential for pipeline operation in East Timor following his recent time spent researching the project. He informed the Board, and adamantly still maintains, it would not be possible to do business in East Timor as a US corporation. Based upon these representations, the Board discussed solutions including the creation of a DeepGulf, Inc. subsidiary company in East Timor. [Doc. 140, ¶ 14]. Subsequently, in East Timor, Defendant established Toke Oil and Gas, S.A. and made himself and two other companies an owner rather than DeepGulf, Inc. [Doc. 140, ¶ 15-16]. Defendant led the Board of DeepGulf, Inc. to believe that he established and was holding Toke Oil and Gas, S.A. in his name for the benefit of DeepGulf, Inc., and that it would have been reckless to hold that interest in DeepGulf, Inc.'s name. [Doc. 140, ¶ 19]. While Defendant was in East Timor, Rustin Howard attempted to travel to East Timor; however, Defendant told Rustin Howard it was too dangerous for him to go to East Timor among other reasons. No other DeepGulf, Inc. employee or Director ever traveled to East Timor. [Doc. 140, ¶ 21].

Later, Defendant further informed Rustin Howard via email on November 27, 2012 that Toke paid DeepGulf for Defendant's services as Project Manager. [Affidavit of Rustin Howard dated December 5, 2019 ¶ 5 and Exhibit "A"]. However, Mr. Moszkowski testified when asked "what was the work that was done

by DeepGulf to garner these payments?” he responded “None.” When pressed with the question “They were just paid for no work at all?”, he said “Yes.” [Deposition of Marc M. Mozskowski dated October 21, 2019, Page 14, Line 3 – 7].

Later, when asked how the payments that were made by Toke Oil and Gas, S.A. to DeepGulf were calculated, Defendant stated that DeepGulf, Inc. was a ten percent commission earned for “no particular reason.” [Deposition of Marc M. Moszkowski dated October 21, 2019, Page 14, Line 19 – Page 15, Line 10]. Defendant’s testimony in 2019 evidences that although he represented to Rustin Howard on June 13, 2012 that Toke paid DeepGulf for his services as project manager, that in actuality, DeepGulf was paid for no particular reason. What has been determined from Defendant’s testimony is that Defendant was, unknown to DeepGulf at the time, acting as project manager directly for Toke Oil & Gas, S.A. [Deposition of Marc M. Moszkowski dated October 21, 2019, Page 35, Line 16 – 21] and getting paid handsomely for it [Deposition of Marc M. Moszkowski dated July 17, 2019, Page 95, Line 11–19].

In sum, Defendant fraudulently concealed that he was getting paid by Toke Oil & Gas, S.A. when he told Rustin Howard on November 27, 2012 that Toke paid DeepGulf for his services as Project Manager¹, when, in fact, the Defendant was being paid as a project manager directly by Toke Oil and Gas, S.A.

¹ At the time, Defendant was also receiving a salary from DeepGulf, Inc. [Doc. 140, ¶ 22]

Defendant's fraudulent concealment of information from DeepGulf, Inc. does not end there. On November 29, 2017, Defendant sent his friend, William Lott, Jr., an email which is attached to this Response as Exhibit "B."² The email discusses payments that were made from Toke Oil and Gas, S.A. to various individuals and entities. Defendant is still concealing information from DeepGulf, Inc.'s Chairman of the Board, Rustin Howard. Defendant says "I just refuse to give Rus what he wants" and described the email as "**FOR YOUR EYES ONLY, PLEASE DO NOT FORWARD. THIS IS HOW SALARIES WERE PAID. I WANT RUS TO SWEAT FOR THIS INCONSEQUENTIAL BREAK-UP**" (emphasis supplied). Importantly, this email shows his refusal to provide information to Mr. Howard, just weeks before receiving the initial Civil Theft warning letters [Doc. 1, Exhibits B and C]. The Defendant did not want the Chairman of the Board of DeepGulf to be made aware of how monies were paid. It is evident that even the Defendant believed as of November 29, 2017 that DeepGulf's Chairman of the Board was not aware of the monies paid to him by Toke Oil and Gas, S.A. He wanted to keep it that way by fraudulently concealing that information from him. Plaintiffs did not know until the discovery phase of this litigation how payments made to Toke's directors and owners were broken down.

Furthermore, on January 5, 2018, the Defendant sent an email to Australian

² This email was received in the course of discovery during this litigation and only after various Motions to Compel.

lawyer, Rodney Lewis, which email was also first revealed to Plaintiffs in the discovery phase of this litigation. The email is attached hereto as Exhibit “C” and states in pertinent part “I doubt they are dumb enough to believe that I could have received \$1,000,000 from toke but for as long as I don’t send them the documentation they can pretend to think that I received the money which buys time for Rus...” (emphasis added). Furthermore, the email states, “You could say that I could send them the documentation, but I don’t think it can prove anything...” (emphasis added). Finally, the email says, “The documentation consists of Excel spreadsheets.” (emphasis added). So, even as of early 2018, Defendant was scheming to keep spreadsheets containing Toke Oil & Gas, S.A. financial information from DeepGulf, Inc.

Finally, Defendant admitted that there was an issue of material fact at his deposition when asked what he understood Paragraph 1 of the Noncompetition Agreement meant. He said, “I’m not sure that Toke Oil and Gas was in competition with DeepGulf. That is in competition. No, I don’t think that it was competition, but, of course, it can be argued.” When the undersigned pressed him and asked “So, you see that it could be argued either way; is that correct?”, Defendant conceded that “Yeah. I think the whole document is very—what’s the word—ambiguous, and at the same time it’s extremely onerous.” [Deposition of Marc M. Moszkowski dated July 17, 2019, Page 49, Line 10-18]. At the absolute least there is an issue of

material fact as to the issue Plaintiff's fraudulent concealment argument and whether or not the Defendant violated the non-compete agreement. Therefore, Defendant's Motion for Summary Judgment should be denied.

IV. Defendant is not Entitled to Summary judgment as to Counts III-IV of Plaintiffs' Complaint, Civil Theft

Defendant claims that Plaintiffs have not proven, and cannot show proof that payments to Defendant was "knowingly obtaining or using Plaintiff's property." Plaintiffs overall theory as described in Rustin Howard's affidavit is that an opportunity came to DeepGulf, Inc. to perform work in East Timor, Defendant went to East Timor to pursue that opportunity as President of DeepGulf, Inc., and Defendant deceived DeepGulf, Inc. by stating that he was holding the interest in Toke Oil and Gas, S.A. for the benefit of DeepGulf, Inc. Moreover, DeepGulf, Inc. was never paid any distributions by Toke Oil and Gas, S.A., while other shareholders were, but DeepGulf, Inc. was only paid a ten percent commission [Deposition of Marc M. Moszkowski dated October 21, 2019, Page 14, Line 19 – Page 17, Line 16]. Additionally, Defendant's email dated November 27, 2012 shows that Defendant represented that Toke had paid DeepGulf, Inc. for Defendant's services as project manager; however, Defendant's deposition testimony reveals that he was actually acting as a project manager for Toke and justified the payments received that way [Deposition of Marc M. Moszkowski dated October 21, 2019, Page 33, Line 8 – Page 35, Line 21]. Since the opportunity was DeepGulf's opportunity and

the Non-Compete Agreement³ restricted Defendant from engaging in business or activity in competition with that of DeepGulf, Inc., DeepGulf owned the intangible interest in its business venture in East Timor. The measure of damages is the \$345,000 received by Defendant and the \$959,000 that went to other shareholders and directors of Toke Oil and Gas, S.A.

Under Florida law, actions for conversion may properly be brought for a wrongful taking of intangible interests in a business venture. Portionpac Chemical Corp v. Sanitech Systems, Inc., 217 F.Supp.2d 1238 at 1252 (M.D. Fla. 2002); In re Corbin's Estate, 391 So.2d 731 (Fla. 3d DCA 1980); In re Aqua Clear Technologies, Inc., 361 B.R. 567 (Bankr. S.D. Fla. 2007). In the present case, there was a Noncompetition, Nondisclosure and Developments Agreement, whereby the Defendant agreed to not “accept employment with any business or entity that is in competition with the products and services being conceived, designed developed, manufactured, marketed, distributed or sold by the Company” and to not “engage in any business or activity that is in competition with the products or services being conceived, designed, created, developed, manufactured, marketed, distributed or

³ Paragraph 1 of the Noncompetition, Nondisclosure and Developments Agreement provides as follows: During the period of my business relationship with the Company and for one year following the termination of my Business Relationship, regardless of the reason or reasons for my termination, I shall not, alone or as a consultant, partner, officer, director, employee, joint venture lender or stockholder of any entity, (a) accept employment with any business or entity that is in competition with the products or services being conceived, designed, created, developed, manufactured, marketed, distributed, or sold by the Company, or (b) engage in any business or activity that is in competition with the products or services being conceived, designed, created, developed, manufactured, marketed, distributed, or sold by the Company.

sold by the Company.” The opportunity that took Defendant to East Timor belonged to DeepGulf, Inc. [Deposition of Marc M. Moszkowski dated July 17, 2019, Page 65, Line 21- Page 66, Line 1]. Defendant converted that opportunity, which is an intangible interest in a business venture under Florida law, when he named himself the owner of Toke Oil & Gas, S.A. and was paid \$345,000, which was rightfully payable to DeepGulf, Inc. The same legal argument applies to the monies that were paid by Toke Oil & Gas, S.A. to the other shareholders and directors in the company.

Furthermore, Defendant raises the issue of the statute of limitations under this Section. Plaintiffs again incorporate the fraudulent concealment arguments made in Section III of this Response, *supra*. Defendant also raises in his Motion emails dated January 25, 2011 and May 25, 2012. These emails attach Balance Sheets and Income Statements with no detailed explanations as to whom expenses were paid to. The line item for Directors Salaries does not show any details about these expenses and aggregates multiple expenses in a category. As there was a lack of detail, Rustin Howard did not know what the numbers on these financial statements meant. [Affidavit of Rustin Howard dated December 5, 2019, ¶ 11]. Rustin Howard further disputes that receipt of income from Toke was discussed by Defendant on multiple occasions, including but not limited to during a ski vacation in France in 2012. [Affidavit of Rustin Howard dated December 5, 2019, ¶ 13]. Therefore, there are clear issues of material fact and Defendant’s Motion for Summary Judgment should

be denied.

V. Defendant is not Entitled to Summary judgment as to Counts V-VI of Plaintiffs' Complaint, Conversion

Again, in this section, Defendant argues that “Plaintiffs have not, and cannot, demonstrate that the monies which were paid out as ‘director salaries’ was money that belonged to Plaintiffs.” Plaintiffs reiterate and reincorporate the arguments made in Section IV of this response, which describes the evidence in this case as there being an Agreement between DeepGulf and Defendant; that the opportunity which took Defendant to East Timor was one that was owned by DeepGulf [Deposition of Marc M. Moszkowski dated July 17, 2019, Page 65, Line 21 – Page 66, Line 1], and that Defendant converted the intangible interest in a business venture. Again, DeepGulf, Inc.’s damages are measured by the \$345,000 paid to Defendant and the \$959,000 paid to other shareholders and directors of Toke Oil and Gas, S.A

Furthermore, Defendant argues that Plaintiffs cannot show damages to support its conversion claim. The damages are the \$345,000 that Defendant received when he converted DeepGulf’s intangible interest in a business venture. The damages also include the \$959,000 that were paid to other shareholders and directors in the company which would have come to DeepGulf, Inc. had Defendant not converted DeepGulf’s intangible interest in a business venture. All of this occurred

during a time that Defendant admits that the business opportunity was DeepGulf's [Deposition of Marc M. Moszkowski dated July 17, 2019, Page 65, Line 21 – Page 66, Line 1] and was being paid by DeepGulf for his work [Doc. 140, ¶ 22].

Defendant also argues that Plaintiffs' claims are barred by the statute of limitations and that an email on March 6, 2014 that supposedly recapitulated all monies personally received by Defendant in France from Toke was when "the alleged conversion was a should have been discovered" by Plaintiffs. However, a closer review of the email shows that it is not sufficient to trigger the beginning of the statute of limitations under the standard of when a cause of action should have been discovered, or at the very least, there is an issue of material fact as to whether or not it is. The email had no explanation in the body of the email as to what the attachments to the email were. The attachments to the email are entirely in the French language. [Doc. 138, Exhibit "F"]. Rustin Howard does not read, write or speak French at all [Affidavit of Rustin Howard dated December 5, 2019, ¶ 3]. In no way does the information in the spreadsheet convey anything to anyone who does not speak French.

VI. Defendant is not Entitled to Summary judgment as to Counts VIII of Plaintiffs' Complaint, Declaratory Relief

First, as argued in Plaintiff's Motion for Summary Judgment [Doc. 139, Pages 18- 20], Defendant does not have standing to challenge the existence of Toke

Oil & Gas, S.A. In addition, the argument that Plaintiff may or may not have existed at the time of the filing of the lawsuit, has no impact on Toke's ability to bring a lawsuit. Pursuant to Section 607.1405(2)(e), Florida Statutes, dissolution of a corporation does not prevent commencement of a proceeding by or against the corporation in its corporate name.

WHEREFORE, Plaintiffs file this response to Defendant's Motion for Summary Judgment and request that Defendant's Motion be denied.



BRADEN K. BALL, JR.

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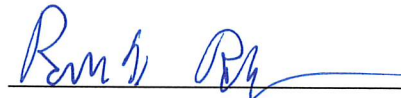
Attorneys for Plaintiffs

Primary E-mail: braden@lawpensacola.com

Secondary E-mail: mandrews@lawpensacola.com

CERTIFICATE OF COMPLIANCE WITH LOCAL RULE 7.1(F)

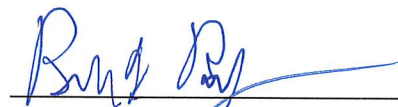
I CERTIFY that this Motion contains 4,121 words, exclusive of the case style, signature block and certificates of compliance/service.



BRADEN K. BALL, JR.

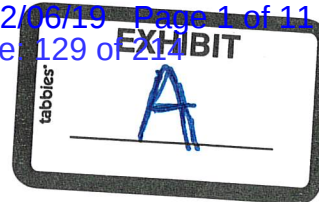
CERTIFICATE OF SERVICE

I HEREBY CERTIFY that I have on this 6th day of December, 2019, a copy of the foregoing has been furnished to the Defendant's counsel, Mary Allie E. Boller (allie@bollerlawfirm.com) and Thomas R. Boller (tom@bollerlawfirm.com), via the Court's E-filing system.



BRADEN K. BALL, JR.

144-1



FUNDS RECEIVED PER BANK STAMENT

FOR THE YEAR 2008

DATE	PAYOR	AMOUNT	PER INVOICE	BANK CHARGE
18/04/2008	B/O/F/LOGOS RESOURCES	\$ 359,172.05	\$ 359,192.05	\$ 20.00
18/07/2008	B/O/F SAMSUNG	\$ 274,980.00	\$ 275,000.00	\$ 20.00
24/07/2008	B/O/F ALLIANCE CATERING	\$ 1,338.82		
30/07/2008	B/O/SUB SEE INC	\$ 5,361.71		
31/78/2008	B/O/SAMSUNG CORP	\$ 531,738.50	\$ 531,758.56	\$ 20.00
11/8/2008	B/O/SUB SEE INC	\$ 792.15		
8/9/2008	B/O SUB SEE INC	\$ 3,642.14		
14/882008	SUBSEE	\$ 21,000.00		
11/9/2008	B/O SAMSUNG CORP	\$ 878,480.35	\$ 878,500.35	\$ 20.00
19/09/2008	CHECK DEPOSITS	\$ 73,225.00		
13/10/2008	B/O/PT A SEMES	\$ 511.00		
14/11/2008	B/O SAMSUNG CORP	\$ 11,960.00		
24/11/2008	B/O SUB SEE INC	\$ 2,674.11		
4/12/2008	B/O SAMSUNG CORP	\$ 449,181.88		
16/12/2008	B/O SUB SEE Philippines	\$ 6,831.24		
18/12/2008	B/O SAMSUNG CORP	\$ 470,666.25	\$ 470,676.25	\$ 10.00
	TOTAL	\$ 3,091,555.21	\$ 2,515,127.21	\$ 90.00

FOR THE YEAR 2009

DATE	PAYOR	AMOUNT	PER INVOICE	BANK CHARGE
5/1/2009	B/O SAMSUNG CORP	\$ 501,048.89	\$ 501,053.29	\$ 4.40
7/1/2009	B/O SUB SEE PHIL	\$ 2,943.15		
15/01/2009	B/O/F SAMSUNG CORP	\$ 481,240.00	\$ 481,250.00	\$ 10.00
21/01/2009	B/O SUB SEE PHIL	\$ 16,815.15		
29/01/2009	B/O SAMSUNG CORP	\$ 514,428.12	\$ 514,438.12	\$ 10.00
30/1/2009	CASH DEPOSITS SUB SEE	\$ 220.00		
2/2/2009	P/O SUB SEE PHIL	\$ 432.71		
20/02/2009	B/O SAMSUNG CORP	\$ 477,168.60		
20/03/2009	B/O SUB SEE PHIL	\$ 317.00		
26/03/2009	B/O/SAMSUNG CORP	\$ 92,395.32		
1/4/2009	B/O /SAMSUNG CORP	\$ 92,704.63		
10/12/2009	CASH DEPOSITS	\$ 5,000.00		
11/12/2009	CHECK DEPOSITS	\$ 2,000.00		
17/12/2009	CHECK DEPOSITS	\$ 3,375.55		
	TOTAL	\$ 2,190,089.12	\$ 1,496,741.41	\$ 24.40

FOR THE YEAR 2010

DATE	PAYOR	AMOUNT
5/1/2010	B/P/A 9OR991476	\$ 1,618,695.27
20/5/2010	DEPOSIT CEHCKS	\$ 1,520.00
24/05/2010	B/P/A STA 10BR 99202	\$ 1,247,174.93
	TOTAL	\$ 2,867,390.20

SUMMARY

2008	TOTAL RECEIVED PER BANK STATEMENT	\$ 3,091,555.21
2009	TOTAL RECEIVED PER BANK STATEMENT	\$ 2,190,089.12
2010	TOTAL RECEIVED PER BANK STATEMENT	\$ 2,867,390.20
	TOTAL	<u>\$ 8,149,034.53</u>

7/24/2008	OFFICE RENTAL AND DIRECTORS MEALS	\$	2,544.00
7/24/2008	PART PAYMENT VICENTE XIMENES DIRECTOR'S FEE	\$	1,740.00
7/24/2008	PART PAYMENT VICENTE XIMENES DIRECTOR'S FEE	\$	4,000.00
7/24/2008	EGS- KMANEK SUPERMARKET	\$	1,666.36
7/24/2008	PART PAYMENT VICENTE XIMENES DIRECTOR'S FEE	\$	200.00
7/25/2008	GINO-REINBURSEMENT OF EXPENSES TRIP TO INDONESIA	\$	1,927.55
7/24/2008	DEEPGULPROJ. MNGT. SERVICES	\$	22,000.00
7/24/2008	EGS - FUEL FOR FUEL DELIVERY COST	\$	200.00
7/24/2008	OVERTIME PAY FOR THE DELIVERY OF FUEL	\$	60.00
7/24/2008	EGS-MSA	\$	2,860.00
7/24/2008	EGS-MSA	\$	1,824.00
7/25/2008	EGS MSA-INVOICE # 2	\$	169,345.00
7/28/2008	PROVISIO FOR RIDLEY THOMAS	\$	1,384.32
7/2/2008	PROVISION TO NOTHERN LIGHT	\$	5,386.93
7/25/2008	MOTORBIKE	\$	2,400.00
7/25/2008	FACILITATION FEES	\$	2,600.00
7/25/2008	TRANSFER FEE FOR EGS	\$	35.00
7/25/2010	TRANSFER FEES FOR DEEPGULF	\$	35.00
7/28/2008	RECHARGE CARD FOR PHONE VX, MARC	\$	200.00
8/11/2008	FACILITATION FEES	\$	500.00
8/11/2008	FACILITATION FEES	\$	500.00
7/30/2008	CAR SERVICING /TRANSPORT TO SUAI	\$	400.00
7/30/2008	VICENTE DIRECTOR'S FEE PARTIAL PAYMENT	\$	400.00
8/4/2008	CASH ADVANCE EGS	\$	1,000.00
8/5/2008	VICENTE XEMINES DIRECTOR'S FEE PARTIAL	\$	5,000.00
8/7/2008	recharge card for phone of vx and marc	\$	200.00
8/5/2008	ledger fees	\$	15.25
8/7/2008	marc's accommodation	\$	3,100.00
8/7/2008	DIRECTOR'S MEALS	\$	638.75
8/7/2008	TRANSPORT TO SUAI	\$	500.00
8/7/2008	ANZ BANK CLEARING FEES	\$	60.00
8/11/2008	ONE WAY TICKET FO EGS CREW	\$	268.00
8/11/2008	PROVISIONS OF NOTHERN LIGHTS	\$	827.16

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8/13/2008	EGS -INVOICE # 3	\$	424,789.10
8/13/2008	DEEPGULPROJ. MNGT SERVICES	\$	42,574.78
8/11/2008	VICENTE DIRECTOR'S FEE APRT PAYMENT	\$	650.00
8/11/2008	VICENTE DIRECTOR'S FEE APRT PAYMENT	\$	200.00
8/12/2008	EGS CAR HIRE TO SUAI-DILI	\$	250.00
8/11/2008	VICENT DIRECTORS FEE PART PAYMENT	\$	11,000.00
8/12/2008	GING DIRECTORS FEE PART PAYMENT	\$	27,690.00
8/12/2008	GINO DIRECTOR'S FEE PART PAYMENT	\$	3,000.00
8/1/2008	FUEL -DILI- SUAI SUB SEE	\$	150.00
8/12/2008	PROVISIONS FOR NORTHERN LIGHT	\$	230.75
8/12/2008	DIRECTOR'S FEES	\$	870.00
8/12/2008	BALANCE TRUCK RENTAL	\$	250.00
8/12/2008	DEPOSITS BOOK	\$	10.00
8/13/2008	DEEPGULPROJ. MNGT SERVICES	\$	42,574.78
8/14/2008	PETTY CASH FUND	\$	1,500.00
8/19/2008	VICENTE CAR HIRE TO SUAI	\$	600.00
8/20/2008	PETTY CASH FUND AND PAYMENT FOR THE SUBSEE	\$	1,000.00
8/20/2008	EGS - TIMOR LODGE	\$	393.70
8/28/2008	BUKA TIMOR HAMUTOK PIPES AND FITINGS	\$	2,050.69
9/8/2008	CAR RENTAL FOR 10 DAYS	\$	1,500.00
9/8/2008	ADV. PAYMENT TO HALI GROUP	\$	1,200.00
9/8/2008	PAID CAH FOR PROJECTOR	\$	975.00
9/15/2008	EGS MSA	\$	686,433.42
15/9/200/8	DEEPGULPROJ. MNGT SERVICES	\$	77,375.46
9/15/2008	HALI GROUP INVOICE E#4	\$	77,340.46
9/15/2008	INTERNET SUBSCRIPTION FEE AUGUST TO OCTOBER	\$	7,800.00
9/15/2008	HOTEL DILI- DIRECTOR'S MEALS AND OFFICE RENTAL	\$	2,638.75
9/16/2008	MARC ACCOMMODAITON -HOTEL DILI	\$	1,500.00
9/16/2008	MSA IN BEHAL OF EGS SERVICES FEES	\$	2,281.00
9/16/2008	HOTEL DILI IN BEHALF OF SUBSEE	\$	274.00
9/16/2008	HALI GROUP INVOICE E#1	\$	28,735.00
9/17/2008	HALI GROUP INVOICE # 2	\$	22,000.00
9/17/2008	HALI GROUP INVOICE # 3	\$	27,323.95

9/20/2008	LEDGERS FEE	\$	15.00
9/23/2008	GLOBAL COMPUTER ONE UNIT COMPUTER	\$	437.50
10/7/2008	GLOBAL COMPUTER - ONE UNIT COMPUTER LAPTOP	\$	940.00
10/6/2008	PROVISION TO NOTHERN LIGHT	\$	549.50
10/8/2008	SUB SEE INC	\$	21,000.00
10/23/2008	PETTY CASH FUND REIMBURSEMENT	\$	1,507.75
10/23/2008	PAYMENT TO MSA	\$	511.00
10/23/2008	TIMOR GAS- PROVISION TO NOTHERN LIGHT	\$	2,712.11
10/27/2008	ACCOUNTING FEES FOR MARILOU	\$	87.00
10/28/2008	TG- MARC ACCOMMODATION	\$	1,700.00
10/28/2008	HTOEL DILI OFFICE RENTAL	\$	2,000.00
28/10/82008	HAI GROUP PART PAYMENT	\$	5,000.00
	LEDGER FEES	\$	15.00
11/3/2008	HAI GROUP PART PAYMENT	\$	5,000.00
11/4/2008	AIR TICKET FOR MR VINCE	\$	463.00
11/4/2008	CASH FACILITATION FEES	\$	500.00
11/4/2008	CASH-FACILITATION FEES	\$	500.00
11/4/2008	CASH- DEEP FRIDGE	\$	1,300.00
11/8/2008	PROVISION TO NOTHERN LIGHT	\$	3,000.00
8/11/82008	HOTEL DILI - DIRECTORS MEALS	\$	760.50
11/10/2008	HERO INTERNATIONAL - FREDGE	\$	1,500.00
11/22/2008	PROVISIONS TO NOTHERN LIGHTS	\$	12,004.60
11/22/2008	COMPUTER WINDOWS PROFESSIONAL	\$	1,342.00
	LEDGER FEE FOR NOVEMBER 2008	\$	15.00
26/11/2008	AUTO-TIMOR LESTE SERVICING VICENTE'S CAR	\$	1,731.34
11/28/2008	DEEP GULF INVOICE # 5	\$	49,039.03
11/28/2008	REIMBURSEMENT OF PETTY CASH	\$	634.70
11/29/2008	HOTEL DILI DIRECTOR MEALS AND BEVERAGES	\$	732.50
11/29/2008	HOTEL DILI OFFICE RENTAL FOR 2 MONTHS	\$	4,000.00
11/29/2008	TG- MARC ACCOMMODATION	\$	3,000.00
12/1/2008	INET SUBSCRIPTION FEES FOR NOVEMBER	\$	2,600.00
12/1/2008	INET SUBSCRIPTION FEES FOR DECEMBER	\$	2,600.00
12/5/2008	EGS ASIA INVOICE # 5	\$	279,506.60

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12/13/2008	DEEPUJPROJ. MNGT SERVICES	\$	49,004.03
12/13/2008	PETTY CASH REINBURSEMENT	\$	135.30
12/13/2008	TRIP TO LOS PALOS EXPENSES	\$	400.00
12/13/2008	EXPENSES TRIP TO SUAI	\$	500.00
12/13/2008	EGS EXPENSES	\$	1,505.00
12/15/2008	HALL GROUP S.A	\$	1,731.34
12/15/2008	REINBURSEMENT TO HALL GROUP	\$	500.00
12/16/2008	COMMUNITY RELATION PROJECT	\$	2,000.00
12/17/2008	CAPTAIN DIOSDADO NOTRHTER LIGHTS	\$	6,851.24
12/17/2008	PETAMINA NRTHIER LIGHTS	\$	38,250.00
12/18/2008	HALL GROUP BATHYMETRIC SERVICE	\$	51,346.50
12/18/2008	DEEPUJPROJ. MNGT SERVICES	\$	51,381.50
12/19/2008	EGS ASIA BATHYMETRIC SURVEY	\$	349,191.20
12/27/2008	TIMOR GAS- PROVISION TO NORTHERN LIGHT	\$	15,354.80
12/27/2008	HOTEL DILL- OFFICE RNTAL DECEMBER 2008	\$	2,000.00
12/26/2008	TIMOR GAS MARC ACCOMMODATION	\$	1,400.00
12/26/2008	ALL QUAD MOTORCYCLE CO	\$	4,200.00
12/26/2008	INTERNET SUBSCRIPTION FEES	\$	2,600.00
	LEDGER FEE FOT THE MOTNH OF DECEMBER	\$	15.00
	TOTAL EXPENDITURE FOR 2008	\$	3,130,176.76

EXPENSES FOR 2009

DATES	BENEFICIARY	AMOUNT
1/5/2009	HALI GROUP INVOICE # 7	\$ 58,025.06
1/5/2009	DEEPGULF INVOICE # 7 PROJECT MANGT SERVICES	\$ 58,060.06
12/26/2009	HOTEL DILI DIRECTOR'S MEAL	\$ 1,061.75
1/6/2009	REINBURSEMENT OF PETTY CASH	\$ 109.00
5/6/2009	AUTO-TIMOR LESTE SERVICING FOR VICENTE'S CAR	\$ 113.50
6/1/82009	REINBURSEMENT OF PETTY CASH FUND	\$ 1,443.00
1/7/2009	REINBURSEMENT OF PETTY CASH FUND	\$ 710.00
7/1/2009	HOTEL DILI- EGS ACCOMMODATION	\$ 918.50
1/7/2009	EGS ASIA	\$ 364,996.03
1/7/2009	EGS ASIA	\$ 8,807.00
1/7/2009	MSA ASIA IN BEHALF OF EGS SERVICES	\$ 1,502.55
1/7/2009	MSA ASIA IN BEHALF OF EGS SERVICES	\$ 1,477.00
1/17/2009	COOL AIT TECHNOLOGY	\$ 475.00
1/15/2009	HALI GROUP INVOICE # 8	\$ 52,500.00
1/15/2009	DEEPGULF INVOICE # 8 PROJECT MANGT SERVICES	\$ 52,535.00
1/15/2009	EGS ASIA INVOICE # 8	\$ 343,056.30
1/19/2009	MSA ASIA IN BEHALF OF EGS SERVICES	\$ 1,314.50
2/4/2009	HOTEL DILI- DIRECTORS MEALS AND BEVERAGES	\$ 438.00
1/24/2009	HOTEL DILI- OFFICE RENTAL FOR JAN 2009	\$ 2,000.00
2/4/2009	TIMOG GAS - MARC ACCOMMODATION	\$ 800.00
1/24/2009	TIMOR TELECOM	\$ 271.48
1/24/2009	PETTY CASH REINBURSEMENT	\$ 3,903.50
1/24/2009	AUTO-TIMOR LESTE SERVICING FOR VICENTE'S CAR	\$ 113.50
1/20/2009	PERTAMINA -NORTHERN H- LIGHT	\$ 13,005.00
1/29/2009	DEEPGULF INVOICE # 9	\$ 59,428.24
1/29/2009	HALI GROUP INVOICE #9	\$ 59,393.24
1/29/2009	EGS INVOICE # 9	\$ 375,109.14
3/2/2010	HALI GROUP INVOICE # 3 FULL PAYMENT	\$ 5,215.83
1/27/2009	MSAMOTOER CYCLE IMPORT FEES	\$ 157.12
1/27/2009	CASH-DELIVERY CHARGE ON BEHALF OF EGS	\$ 220.00
1/27/2009	HOTEL DILI- KOBE'S ACCOMMODATION	\$ 7,563.50
	LEDGER FEES JANUARY	\$ 15.00
1/29/2009	PHONE BILL FOR MR VINCE	\$ 1,215.54
2/2/2009	TIMOR GAS-PAYMENT FOR MOTORBIKE	\$ 194.03
2/21/2009	EGS INVOICE # 10 & 11	\$ 348,245.87
2/21/2009	DEEPGULF INVOICE # 10&11	\$ 54,980.09
2/21/2009	HALI GROUP INVOICE # 10&11	\$ 54,945.09
2/26/2009	MSA CUSTOMS CLEARANCE	\$ 375.00
2/24/2009	PETTY CASH REINBURSEMENT	\$ 553.00
3/24/2009	HOTEL DILI- ACCOMMODATION SUB SEE	\$ 102.00
3/30/2009	EGS OUTSTANDING PAYABLES	\$ 56,720.49
3/30/2009	DEEPGULF -OUTSTANDING PAYABLE	\$ 8,979.55
3/30/2009	HALI GROUP OUTSTANDING PAYABLES	\$ 8,944.55

3/30/2009	AUTO-TIMOR LESTE SERVICING FOR VICENTE'S CAR	\$	135.00
3/30/2009	TIMOR TELECOM FOR FEB 2009	\$	299.00
4/1/2009	HOTEL DILI-OFFICE RENTAL	\$	2,777.25
4/2/2009	DEEPGULF INVOICE #11 BALANCE	\$	8,597.00
4/2/2009	EGS # 12	\$	85,970.00
4/2/2009	HALI GROUP INVOICE # 12	\$	8,597.00
4/2/2009	HALI GROUP	\$	68,000.00
22/4/2009	VINCE FACILITATION FEES	\$	100.00
5/4/2009	VINCE TICKET TO DEMPASAR	\$	404.00
5/22/2009	HOTEL DILI- OFFICE RENTAL AND MEALS FOR DIRECTORS		3290.5
5/25/2009	EASTERN DRAGON -SUAI ACCOMMOATION	\$	168.00
5/26/2009	ROTARY AUSTRALIA LIASON TO T.L	\$	200.00
7/21/2009	HOTEL DILI- ACCOMMODATION SUB SEE	\$	1,781.50
7/24/2009	AUTO-TIMOR LESTE SERVICING FOR VICENTE'S CAR	\$	135.49
7/24/2010	HOTEL DILI- OFFICE RENTAL AND EALS	\$	5,286.50
7/29/2009	TIMOR TELECOM APRIL-JULY 2009	\$	1,114.02
10/29/2009	TIMOR TELECOM	\$	1,026.86
12/10/2009	SDV LODGISTICS	\$	1,377.00
12/11/2009	DHL COURRIER	\$	170.00
12/11/2009	RETURNED BORROWED CASH FROM GEF	\$	200.00
12/12/200*9	HALI GROUP EXPENSES 16-311 DECEMBER	\$	8,000.00
12/10/2009	MSA AGENT	\$	250.00
12/16/2009	TIMOR GAS-PAYMENT FOR LPGAS AND FITTINGS	\$	4,481.25
12/16/2009	RETURNED BORROWED CASH FROM GEF	\$	7,000.00
12/16/2009	TIMOR GAS LPGAS	\$	2,506.25
12/18/2009	TIMOR GAS LTDA -PURCHASE CABLES	\$	161.00
12/18/2009	RETURNED BORROWED CASH FROM GEF	\$	3,375.55
12/31/2009	HOTEL DILI -ACCOMMODATIONS AND MEALS OF DIRECTOR	\$	3,513.00
	LEDGER FEES FEB -DEC	\$	69.69
	TOTAL EXPENSES FOR 2009	\$	2,228,978.87

EXPENSES FOR 2010

DATE	BENEFICIARY	AMOUNT
1/7/2010	ATULA FUELS	\$ 66,663.00
7/1/2010	VICENTE XIMENES DIRECTORS FEES	\$ 105,895.00
7/1/2010	LUIS RODRIGUES	\$ 13,200.00
7/1/2010	SISTER OD ST PAULS	\$ 5,750.00
7/1/2010	CLARDEL	\$ 4,545.00
7/1/2010	DEEGULF	\$ 139,855.27
7/1/2010	TIMOR GAS	\$ 242.50
7/1/2010	HOTEL DILU-ACCOMMODATION AND MEALS	\$ 495.00
7/1/2010	MARC MOSZWSKI	\$ 100,000.00
7/1/2010	EGS ASIA	\$ 986,939.50
7/1/2010	EASTERN DRAGON FOOD AND ACCOM	\$ 3,516.15
12/1/2010	CASH- WITHDRAWAL FOR WAGES	\$ 8,000.00
12/1/2010	SUAI STAR UNIPOSAL	\$ 13,200.00
13/1/2010	MSA SURVEY	\$ 7,157.00
13/1/2010	DILU PORT AUTHORITY	\$ 1,692.36
13/1/2010	MSA LOADING FOR FUEL	\$ 760.00
20/1/2010	HELARIO BARROS	\$ 700.00
21/1/2010	CLARDEL INTERPRISES	\$ 4,447.10
2/1/2010	DAIKYO INDUSTRIES	\$ 2,500.00
28/1/2010	DAIKYO INDUSTRIES	\$ 480.00
29/1/2010	CASH WITHDRAWAL FOR WAGES	\$ 10,000.00
29/1/2010	INFT SUBSCRIPTION FEES	\$ 6,750.00
1/2/2010	MSA SERVICES	\$ 1,002.77
1/2/2010	CLARDEL INTERPRISES	\$ 3,171.36
1/2/2010	PETTY CASH REINBURSEMENT	\$ 1,293.00
2/2/2010	VICENTE XIMENES CAR RENTAL	\$ 160.00
2/2/2010	VICENTE XIMENES CAR RENTAL	\$ 4,800.00
2/2/2010	VICENTE XIMENES CAR RENTAL FOR DRILLING	\$ 320.00
2/2/2010	TIMORWORKSHOP CAR SERVICING	\$ 1,985.00
4/2/2010	EASTERN DRAGON FOOD AND ACCOMM	\$ 4,454.00

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9/2/2010	AUTULA FUELS	\$	14,651.70
9/2/2010	DAIKYO INDUSTRIES	\$	24,500.00
9/2/2010	HOTEL DILL-OFFICE RENTAL & DIRECTOR'S MEALS	\$	11,151.00
10/2/2010	RENTAL OF DUMPTRUCK	\$	3,360.00
12/2/2010	HOTEL DILL-ACCOMMODATION & MEALS	\$	3,106.50
16/2/2010	UHARE CONTRACTOR	\$	8,000.00
16/2/2010	EASTERN DRAGON FOOD & ACCOMM	\$	942.10
16/2/2010	DAIKYO INDUSTRIES	\$	1,520.00
16/2/2010	SUAL STAR UNIPOSAL	\$	18,730.00
16/2/2010	ARMENDO DA COSTA	\$	830.95
17/2/2010	MOISES GUTIERES	\$	1,173.00
20/2/2010	CLARDEL INTERPRISES	\$	3,935.30
20/2/2010	MARITOME SERVICES	\$	2,786.00
6/3/2010	EASTERN DRAGON ACCOMMODATION	\$	3,774.00
25/5/2010	VICENTE XIMIENES DIRECTORS FEES	\$	33,000.00
27/5/2010	VICENTE XIMIENES DIRECTORS FEES	\$	20,000.00
5/5/2010	LEDGER FEES	\$	77.25
6/1/2010	CHECK BOOKLET (2)	\$	7.00
14/5/2010	BANCK CHARGE	\$	50.00
15/6/2010	EGS PORT SURVEY	\$	821,482.73
15/6/2010	MARC MOSZWSKI	\$	60,000.00
17/6/2010	DEEGULF INC	\$	120,000.00
17/6/2010	AUTULA FUELS LDA	\$	1,171.00
17/6/2010	VICENTE CAR RENTAL	\$	1,375.00
17/6/2010	DAIKYO INDUSTRIAL GAS EQUIPMENT	\$	1,520.00
17/6/2010	DILL PORT AUTHORITY	\$	1,824.00
18/6/2010	GINO FAVARO DIRECTORS FEES	\$	20,000.00
	LEDGER FEES	\$	15.00
22/6/2010	ACCOUNTING SERVICES FEES	\$	600.00
22/6/2010	HALL GROUP S/A	\$	30,000.00
22/6/2010	CASH W/DRAWAL FOR OFFICE RENTAL & MEALS	\$	
24/6/2010	PAY TO HOTEL DILL	\$	15,646.75
24/6/2010	LIMA EXPENSE AGENCIES	\$	592.00
24/6/2010	COLEGA UNIPOSAL LTD	\$	75,000.00

30/6/2010 VIVENTE XIMENES D=RECTROS FEES
16/9/2010 CASH WITHDRAWAL
16/9/2010 CASH WITHDRAWAL
TOTAL EXPENSES FOR 2010

\$	25,000.00
\$	15,000.00
\$	1,000.00
\$	2,841,795.29

SUMMARY OF EXPENDITURES

2008	\$	3,130,176.76
2009	\$	2,228,978.87
2010	\$	2,841,795.29
TOTAL EXPENDITURES	\$	8,200,950.92

SUMMARY OF FUNDS PER BANK STATEMENT

2008 TOTAL RECEIVED PER BANK STATEMENT	\$	3,091,555.21
2009 TOTAL RECEIVED PER BANK STATEMENT	\$	2,190,089.12
2010 TOTAL RECEIVED PER BANK STATEMENT	\$	2,867,390.20
TOTAL FUNDS RECEIVED	\$	8,149,034.53
DIFFERENCE	-\$	51,916.39

144-2

Rus Howard

From: m.moszkowski@deepgulf.net
Sent: Wednesday, November 29, 2017 1:15 PM
To: wblottjr@gmail.com
Subject: Break-up FOR YOUR EYES ONLY

Categories: token records



Could it be that Rus thinks Gino never received any salary, or received less than I said Vince and he did, and I received his share?

Anyway, I just refuse to give Rus what he wants, primarily because he accused me of embezzlement and white collar crime and I refuse to act as if I were defending myself. Also, I want him to sink deeper and deeper in his delusion.

FOR YOUR EYES ONLY, PLEASE DO NOT FORWARD. THIS IS HOW SALARIES WERE PAID. I WANT RUS TO SWEAT FOR THIS INCONSEQUENTIAL BREAK-UP:

- Salaries were paid to Gino Favaro directly: total \$56,950.00 (2008, 2009, and 2010)
- Salaries were paid to Gino Favaro and Vicente Ximenes through their common company, Hali: total \$573,798.02 (2008, 2009, and 2010). I have no idea how they split that amount among themselves, or whether their spouses or others received some for tax or other reasons.
- Salaries were paid to Gino Favaro through his company, Timor Gas: total \$8,731.20 (2008)
- Salaries were paid to Vicente Ximenes directly: total \$320,255.00 (2008, 2010, and 2011)
- Salaries were paid directly to Marc: total \$345,000.00 (2010 and 2011)

Total: \$1,304,764.22

Total Vince and Gino: \$959,764.22

Because Gino left early, if Hali's share was split halfway between them I wouldn't be surprised if in the end Gino received \$352,610.21 and Vince \$607,154.01. I cannot guarantee that Hali's share was split halfway though.

Total Marc: \$345,000

Same figures as in my letter.

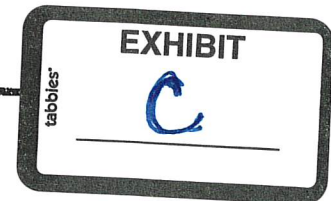
I will copy Rod of this email confidentially.

M

144-3

Braden Ball

From: Rus Howard <rus@holdg.com>
Sent: Friday, October 18, 2019 9:33 AM
To: Braden Ball
Subject: FW: Toke accounts



From: m.moszkowski@deepgulf.net [mailto:m.moszkowski@deepgulf.net]
Sent: Friday, January 05, 2018 9:55 AM
To: wblottjr@gmail.com
Subject: Toke accounts

I've been working on the Toke accounts again.

1. I don't think Rus and Tom want me to send them the Toke documents, for a simple reason: I doubt they are dumb enough to believe that I could have received \$1,000,000 from Toke, but for as long as I don't send them the documentation they can pretend they think I received the money, which buys time for Rus, who makes it very difficult for anyone to study the DeepGulf accounts and doesn't seem to be prepared to explain his expenses. You could say that I could send them the documentation, but I don't think it can prove anything, since it can be doctored any way you want and they would not fail to say so. The documentation consists exclusively of Excel spreadsheets.
2. Despite the contractual 10% of EGS' invoices that DeepGulf was supposed to receive, I find that I sent DeepGulf between 13.10% and 14.35% of the amounts paid to to EGS, depending on the actual funds received by DeepGulf, which Rus refuses to confirm. That's between \$307,000 and \$428,000 more than the contractual obligation Toke had toward DeepGulf.

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IN THE UNITED STATES DISTRICT COURT FOR THE
NORTHERN DISTRICT OF FLORIDA
PENSACOLA DIVISION

DEEPGULF, INC., and
TOKE OIL AND GAS, S.A.,

Plaintiffs,

v.

CASE NO. 3:18-CV-1466-TKW-MJF

MARC M. MOSZKOWSKI,

Defendant.

_____/

STATE OF FLORIDA

COUNTY OF ESCAMBIA

AFFIDAVIT OF RUSTIN HOWARD IN SUPPORT OF PLAINTIFFS'
RESPONSE TO DEFENDANT'S MOTION FOR SUMMARY JUDGMENT

PERSONALLY APPEARED before me, the undersigned authority,
Rustin Howard, who was duly sworn, and states as follows:

1. I am Rustin Howard. I am over the age of eighteen (18) and otherwise competent to make this Affidavit and have personal knowledge of the matters and things set forth herein.

2. When DeepGulf, Inc. was founded in 2005 nor at any subsequent time, there were never any discussions where I agreed to fund the corporation.

3. In discovery, DeepGulf, Inc. was provided an email apparently from

Marc M. Moszkowski to me dated March 6, 2014. I do not specifically recall seeing that email. I do not read, write or speak French and the attachments have no significance to me. During the existence of DeepGulf, Inc., Marc M. Moszkowski sent me tens of thousands of emails, some about the business of DeepGulf, Inc., some personal, some about politics, and some about other topics. Typically, if an attachment were important, he would give an explanation in the body of the email.

4. DeepGulf, Inc.'s technology allows offshore oil or gas to be transported in an ultra-deep water setting. There are a couple dozen potential customers in the entire world. The technology will only work in several unique parts of the world, such as East Timor, Australia, Indonesia, Korea, Brazil, the Mediterranean, the Baltic, and the Gulf of Mexico.

5. When Marc M. Moszkowski was working in East Timor, I asked Marc M. Moszkowski about payments by Toke Oil and Gas, S.A. to DeepGulf, Inc. for tax and accounting purposes. Marc M. Moszkowski responded that Toke Oil and Gas, S.A. paid DeepGulf, Inc. for his services as Project Manager. A true and correct copy of the email is attached as Exhibit "A".

6. During the time that Marc M. Moszkowski was working in East Timor, I believed that Marc M. Moszkowski was negotiating contracts on behalf of DeepGulf, Inc. I believed that DeepGulf was involved in operations regarding the projects in East Timor, as DeepGulf employed and paid Marc M. Moszkowski to be

its Project Manager. Also, during that time, Marc M. Moszkowski requested reimbursement from DeepGulf, Inc. for his travel expenses.

7. Marc M. Moszkowski's last payment of salary was from DeepGulf, Inc. was in October, 2012.

8. DeepGulf, Inc. did not do fundraising for Toke Oil and Gas, S.A. As to fundraising for DeepGulf, Inc., ultimately, Marc M. Moszkowski as President of the Corporation was in charge of fundraising.

9. In October, 2017, William Lott, Jr. informed me that Marc M. Moszkowski had told him that Toke Oil and Gas, S.A. had paid Marc M. Moszkowski \$345,000. This is the first that I was aware of this.

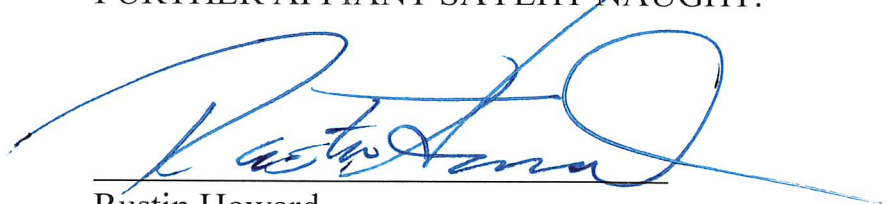
10. When DeepGulf, Inc. bought out the interest owned by Vicente Ximenes in Toke Oil and Gas, S.A., he was paid the entire \$100,000.

11. On January 25, 2011 and May 25, 2012, I did receive emails from Marc M. Moszkowski with financial statements attached. I had no reason to believe that the "Directors Salaries" were paid to the members of the Board of Directors of Toke Oil and Gas, S.A. or to Marc M. Moszkowski. These salaries could have been paid to employees who had management roles in the company, carrying the title of "director." Commonly, in companies that I have been involved in, researched or invested in, employees have had titles such as Director of Operations or Director of Marketing.

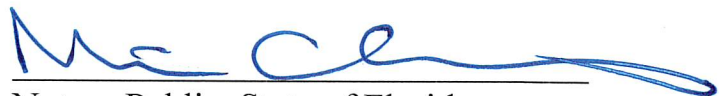
12. That email that I received three weeks later from Marc M. Moszkowski described in Paragraph 5 of this Affidavit led me to believe that Toke Oil and Gas, S.A. had paid DeepGulf, Inc. so that DeepGulf, Inc. could pay Marc M. Moszkowski for his services as Project Manager in East Timor.

13. I was never a part of a decision that Marc M. Moszkowski would be paid separately by Toke Oil and Gas, S.A. and did not discover this until my conversation with William Lott, Jr. in October, 2017. These payments were not discussed ever prior to October, 2017 with me, including during a ski vacation in France in 2012.

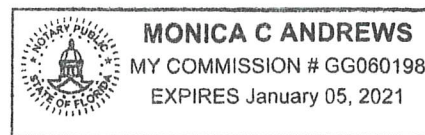
FURTHER AFFIANT SAYEHT NAUGHT.


Rustin Howard

SWORN TO AND SUBSCRIBED before me this 5th day of December, 2019,
by Rustin Howard, who is personally known to me or provided
FL DL as identification and who did take an oath.

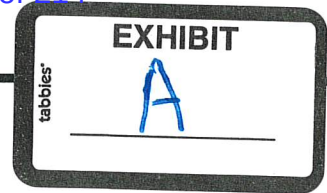


Notary Public, State of Florida
Printed Name: Monica C. Andrews
My Commission Expires: 1/5/2021



145-1

Braden Ball



From: Rus Howard <rus@holdg.com>
Sent: Wednesday, November 27, 2019 9:33 PM
To: Braden Ball
Subject: FW: consolidated statements

From: Marc Moszkowski [mailto:m.moszkowski@deep-gulf.com]
Sent: Wednesday, June 13, 2012 12:13 PM
To: 'Rus Howard' <rus@whitesandinvestments.com>
Subject: RE: consolidated statements

Those are fees paid to another company for services, so they are incorporated in "Purchase of Goods and Services" which is the total of what DG and EGS received.

Below are the figures according to Toke's books and DeepGulf's books. There are differences, especially about dates, and about amounts, in the end 3% of the total. The difference in dates comes from the fact that in Toke's accounting the date considered is the date the service was incurred.

Remember that I had to rewrite all the accounting and financials at the end of 2010 after finding that Gino Favaro had never kept the books for Toke, although he would claim he had and would not let me see them.

Payments by Toke to DeepGulf

	In Toke's books	In DeepGulf's books
2008	362,720.00	340,875.17
2009	242,580.00	292,549.01
2010	259,855.00	309,194.27
2011	546,132.83	374,975.00
2012		49,975.00
Total	1,411,287.83	1,367,568.45
Difference:		43,719.38
		3.1%

Marc

From: Rus Howard [mailto:rus@whitesandinvestments.com]
Sent: Wednesday, June 13, 2012 11:12 AM
To: Marc Moszkowski
Subject: RE: consolidated statements

OK, but that isn't quite what I need to know. When I look at the Toke financial statements, in what category will the project manager fees be included. (sorry for the poor English) I do not see project manager on the Toke statements,

therefore the project manager expense must be included in one of the other items, but I am not sure which one. Maybe in "directors salaries"?

I am headed to Fairhope to meet with Monty about presenting DG to his Angel group and have to leave here in a few minutes.

rus

From: Marc Moszkowski [<mailto:m.moszkowski@deep-gulf.com>]
Sent: Tuesday, June 12, 2012 6:16 PM
To: Rus Howard
Subject: RE: consolidated statements

Toke paid DG for my service as Project Manager (see 2008 invoices). Trish has all the payments, since 2008.

Marc

From: Rus Howard [<mailto:rus@whitesandinvestments.com>]
Sent: Tuesday, June 12, 2012 6:06 PM
To: m.moszkowski@deep-gulf.com
Subject: consolidated statements

I just finished talking with accountants. We discussed Sub F requirements for reporting income of foreign entities. The discussion today may help save us money on taxes when Toke starts to earn income. Of course we have to make sure the entities are structure correctly now in order to qualify when the money starts to flow.

We also discussed consolidating the income statements. Ron is going to check on a couple things, but it looks like we will be able to consolidate the income statements and the balance sheets.

In order to prepare the consolidated statements he will need to make adjustments to the Toke and DG income statements. Primarily they need to know how we treated the payments from Toke to DG. I told him that we expensed them, but I was not certain of the category. We need to know how Toke expensed the payments, so they can be treated correctly in the consolidated statements. In consolidation all payments between entities are not reported so as they are reversed they turn into income. There are a few other things to do but that is the most significant.

What I need to know, if you have the records for 2008, 2009, 2010 and 2011 is a confirmation of how much was paid in each year by Toke to DG and in what category did Toke expense it as. I could get the amounts from DG books but that will not confirm the category where Toke placed the expense. So I need you to get the information out of Toke's books. If we changed the category in any given year or expensed in multiple categories it does not matter, we just need to know how much was paid to DG and in which category or categories it was expensed for those 4 years.

I may have that information for some of the earlier years, but I do not have bookkeeping records for the most recent years. Can you dig that information out or send me the copy of the books so I can dig it out?

Rus

OH - I have not yet completed the risk-factors text, but will past it on as soon as I have them.

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**UNITED STATES DISTRICT COURT
NORTHERN DISTRICT OF FLORIDA
PENSACOLA DIVISION**

**DEEPGULF, INC., and TOKE
OIL AND GAS, S.A.,**

Plaintiffs,

v.

Case No. 3:18cv1466-TKW-MJF

MARC M. MOSZKOWSKI,

Defendant.

ORDER ON MOTIONS FOR SUMMARY JUDGMENT

The parties to this business dispute have a convoluted relationship: Plaintiff DeepGulf, Inc., owns Plaintiff Toke Oil and Gas, S.A., and Defendant was a founder of both companies and is still a director of DeepGulf. The parties' dispute stems from work Defendant did for Toke (before it was owned by DeepGulf) that he was allegedly supposed to be doing to benefit DeepGulf (not himself), but it also involves claims and counterclaims on other matters.

The case is before the Court on the parties' motions for summary judgment (Docs. 137, 139) and related filings (Docs. 138, 140, 143-45, 148-49). No hearing is necessary to rule on the motions, and for the reasons that follow, the Court finds that the motions are due to be granted in part and denied in part.

Summary Judgment Standard

Summary judgment should be granted under Fed. R. Civ. P. 56 when, after viewing the record and the reasonable inferences drawn from it in the light most favorable to the non-moving party, the Court determines that no genuine issue exists as to any material fact and that the moving party is entitled to judgment as a matter of law. *Holifield v. Reno*, 115 F.3d 1555, 1561 (11th Cir. 1997). A genuine issue of material fact is one that would change the outcome of the litigation. *Anderson v. Liberty Lobby, Inc.*, 477 U.S. 242, 248 (1986). The moving party “bears the initial burden of demonstrating the absence of a genuine dispute of material fact.” *Baas v. Fewless*, 886 F.3d 1088, 1091 (11th Cir. 2018) (citations omitted). Once the moving party has met its burden, the non-moving party must put forward specific facts showing a genuine issue for trial. *Celotex Corp. v. Catrett*, 477 U.S. 317, 324 (1986). “Where the record taken as a whole could not lead a rational trier of fact to find for the non[-]moving party, there is no genuine issue for trial.” *Matsushita Elec. Indus. Co. v. Zenith Radio Corp.*, 475 U.S. 574, 587 (1986) (internal quotation marks omitted).

Facts

DeepGulf was formed in 2004 by Defendant and Rustin Howard. Defendant has been a director of DeepGulf since its inception.

In August 2005, Defendant was hired as DeepGulf’s president at an annual salary of \$120,000, and the following month, he signed a Noncompetition, Nondisclosure, and Developments Agreement (hereafter “the Noncompetition Agreement”) with DeepGulf. The Noncompetition Agreement provides that Defendant shall not directly or indirectly compete with DeepGulf while he has a Business Relationship¹ with DeepGulf. It also provides that any Development² conceived by Defendant during his Business Relationship with DeepGulf is “the sole and absolute property of [DeepGulf].”

In September 2007, a potential customer contacted DeepGulf about a project in the Southeast Asian country of East Timor. Mr. Howard turned the inquiry over to Defendant, and Defendant traveled to East Timor to investigate the business opportunity. In early 2008, Defendant and two other persons³ formed Toke to

¹ The Agreement defines “Business Relationship” to mean “service or continued service as an employee, officer, **director**[,] or consultant . . . of DeepGulf.” Doc. 140-1, at 1 (emphasis added).

² The Agreement defines “Development” as any “invention, modification, discovery, design, development, improvement, process, software program, work of authorship, documentation, formula, data, technique, know-how, trade secret[,], or intellectual property right whatsoever[,], or any interest therein (whether or not patentable or registerable under copyright, trademark[,], or similar statutes or subject to analogous protection) relating to the business of [DeepGulf].” Doc. 140-1, at 3 (¶6(a)).

³ The parties disagree as to the identity of Toke’s other two founding shareholders; however, it is undisputed that at the time DeepGulf acquired Toke’s shares in 2012, they were owned by Defendant, Ernesto Gino Favaro, and Vincente Ximenes in equal one-third shares.

undertake the project because DeepGulf, as a U.S. corporation, could not work in East Timor.

Toke paid commissions to DeepGulf for this project and several others that Toke worked on in East Timor from 2008 to 2012. Defendant received payments from both DeepGulf and Toke over that period. The payments were comprised of W-2 wages from DeepGulf ranging from \$110,000 to \$132,000 per year, and shareholder distributions from Toke totaling \$345,000. Other Toke shareholders received distributions as well, totaling over \$950,000, but DeepGulf did not receive any shareholder distributions because it was not a shareholder of Toke.

DeepGulf acquired a controlling interest in—if not sole ownership of—Toke by December 13, 2012, at the latest. Toke has not had any projects since then.

DeepGulf has not paid Defendant's salary since March 2013. Defendant was removed as an executive officer of DeepGulf in 2017, but he remains a director of the company.

Aside from these facts (and several others interspersed in the analysis below), the parties disagree about nearly everything else. Most significantly, the parties dispute whether Defendant was supposed to be holding his one-third interest in Toke for DeepGulf's benefit or his own benefit; when DeepGulf became aware that Defendant was being paid by Toke and that he was not holding his interest in Toke for DeepGulf's benefit; whether the payments received by Defendant from Toke

should have gone to DeepGulf as shareholder distributions; whether Defendant agreed to waive the payment of his salary or merely deferred its receipt until DeepGulf earned revenue or received capital investments; and whether since DeepGulf stopped paying Defendant's salary, it has earned revenue or received capital investments.

Procedural Background

In April 2018, Plaintiffs filed suit against Defendant in state court. The complaint (Doc. 1, at 22-36) alleges nine counts. Count I seeks declaratory and injunctive relief regarding DeepGulf's ownership of certain patents, patent applications, and undisclosed inventions; Count II alleges that Defendant breached his Noncompetition Agreement with DeepGulf; Counts III and IV allege civil theft; Counts V and VI allege conversion; Count VII alleges fraudulent misrepresentation; Count VIII seeks declaratory relief regarding DeepGulf's ownership of Toke; and Count IX seeks an accounting.

Defendant, then *pro se*, removed the case to this Court and filed a narrative answer asserting various defenses and counterclaims. About a year into the case, counsel appeared for Defendant and was granted leave of court to amend the answer and clean up the pleadings. The now-operative second amended answer (Doc. 116)

raises various affirmative defenses⁴ and alleges four counterclaims. Counterclaim I seeks an accounting; Counterclaim II alleges breach of contract for unpaid compensation; Counterclaim III seeks compensation for work and labor done under a theory of *quantum meruit*; and Counterclaim IV alleges breach of contract regarding DeepGulf's failed efforts to secure a permanent resident visa for Defendant.

In November 2019, after almost 18 months of discovery (and numerous discovery disputes), both parties filed motions for summary judgment. Collectively, the motions seek summary judgment on all of the claims and counterclaims. The motions were fully briefed and are ripe for rulings.

Analysis

Count I seeks a declaration that DeepGulf owns certain patents (numbers 9644792 and 8146667), patent applications (publication numbers 20120014751, 20120012225, and 20060130729), and other undisclosed inventions and/or patentable ideas or methods conceived by Defendant.⁵ The Court finds that DeepGulf is entitled to such a declaration because the Noncompetition Agreement's definition of "Development" is broad enough to encompass the patents, patent

⁴ Duress and failure of consideration as to Counts I and II; statute of limitations and waiver as to Counts III through VI; waiver as to Count VII; and lack of standing with respect to the claims raised by Toke.

⁵ See, e.g., Defendant's deposition (Doc. 139-2), at 108-09 (referring to previously undisclosed developments relating to compressed natural gas and liquified natural gas).

applications, and undisclosed inventions, and it is undisputed that Defendant was in a “Business Relationship” with DeepGulf when these items were conceived since he was then (and is still now) a director of DeepGulf.

The Court has not overlooked Defendant’s argument—which was raised in his deposition but not repeated in his response to Plaintiffs’ motion for summary judgment—that patent number 9644792 belongs to him because DeepGulf had not paid him a salary for over two years before the patent was filed. However, as Plaintiffs persuasively argue, DeepGulf’s obligation to pay Defendant a salary and Defendant’s obligation to assign Developments to DeepGulf are wholly independent, so Defendant’s lack of salary has no bearing on DeepGulf’s ownership of the Developments under the Noncompetition Agreement. *See Gilbert & Caddy, P.A. v. JP Morgan Chase Bank, N.A.*, 193 F. Supp. 3d 1294, 1307 (S.D. Fla. 2016) (“A material breach to excuse performance only occurs when a party breaches mutually dependent covenants in a contract, and does not occur when a contract is composed of independent covenants.”) (alterations and internal quotation marks omitted). Accordingly, Plaintiffs are entitled to summary judgment on Count I.

Count II alleges that Defendant breached his Noncompetition Agreement with DeepGulf. To the extent this count is based on Defendant’s refusal to turn over the usernames and passwords for DeepGulf’s website, it fails because even if these items are DeepGulf’s property (as they likely are), Defendant has no obligation to turn

them over to DeepGulf at this time because, as a director, he still has a Business Relationship with the company. See Noncompetition Agreement (Doc. 140-1), at ¶5 (“I acknowledge and agree that all Company Property shall be and remain the sole and exclusive property of the Company. **Immediately upon the termination of my Business Relationship with the Company**, I shall deliver all Company Property in my possession, and all copies thereof, to the Company.”) (emphasis added). To the extent this count is based on the allegations in the complaint that Defendant “repeatedly expressed his intent” to leave DeepGulf to work for a competitor or to start a company that would compete with DeepGulf, the claim fails because the Noncompetition Agreement precluded Defendant from competing with DeepGulf, not merely threatening to do so. Finally, to the extent this count is based on Defendant’s work for Toke, it is barred by the statute of limitations because the complaint was filed more than five years⁶ after the date DeepGulf acquired a controlling interest in Toke, and from that date forward, the two companies were no longer competitors (if they ever were) and Defendant was no longer violating his Noncompetition Agreement (if he ever was) by working for Toke.

On the latter point, the Court has not overlooked DeepGulf’s argument that Defendant’s fraudulent concealment of his work for Toke delays accrual of the

⁶ Under Florida law, the statute of limitations for a breach of contract claim is five years. See §95.11(2)(b), Fla. Stat.

claim; however, under Florida law, a breach of contract action accrues at the time of the breach “regardless of whether the plaintiff knew that it had a claim.” *Beck v. Lazard Freres & Co., LLC*, 175 F.3d 913, 914 (11th Cir. 1999) (citing *Fed. Ins. Co. v. Sw. Fla. Ret. Ctr., Inc.*, 707 So. 2d 1119, 1122 (Fla. 1998)); *see also Pac. Harbor Cap., Inc. v. Barnett Bank, N.A.*, 2000 U.S. Dist. LEXIS 6518, at *26-27 (M.D. Fla. Mar. 31, 2000) (“[T]he doctrine of fraudulent concealment is unavailable under Florida law[.]”). Thus, even if DeepGulf was unaware that Defendant was working on projects to benefit Toke and himself rather than DeepGulf until some point within five years of when the complaint was filed, that would not overcome Defendant’s statute of limitations defense. Accordingly, Defendant is entitled to summary judgment as to Count II.

Counts III through VI allege that Defendant committed civil theft and conversion by misappropriating DeepGulf’s business opportunities and working on projects to benefit Toke and himself rather than DeepGulf. These claims accrued in 2012, at the latest, when Toke completed the allegedly misappropriated projects, and because the complaint was filed after the applicable statutes of limitations⁷ expired, these claims are time-barred. The Court has not overlooked Plaintiffs’ argument that factual disputes remain as to when DeepGulf should have discovered the

⁷ Under Florida law, the statute of limitations for civil theft is five years, *see* §772.17, Fla. Stat., and the statute of limitations for conversion is four years, *see* §95.11(3)(h), Fla. Stat.

misappropriation; however, under Florida law, the delayed discovery rule does not apply to claims for civil theft and conversion. *See Davis v. Monahan*, 832 So. 2d 708 (Fla. 2002).⁸ Accordingly, Defendant is entitled to summary judgment on Counts III through VI.

Count VII alleges that Defendant made fraudulent representations in connection with a private placement memorandum (PPM) that DeepGulf used to solicit funds from potential investors. Although there is some dispute as to whether the information provided by Defendant was false or misleading, this claim fails because there is no evidence that DeepGulf (as compared to the potential investors) suffered any damages in reliance on the alleged misrepresentations in the PPM. *See Echeverria v. BAC Home Loans Serv., LP*, 900 F. Supp. 2d 1299, 1308-09 (M.D. Fla. 2012) (holding that a fraudulent misrepresentation claim fails as a matter of law where the plaintiffs present no evidence that they suffered injury in reliance on the defendant's fraudulent misrepresentations). Accordingly, Defendant is entitled to summary judgment on Count VII.

Count VIII seeks a declaratory judgment as to whether DeepGulf owns all of the outstanding shares of Toke. It is undisputed that DeepGulf had acquired two

⁸ Plaintiffs' reliance on *Butler Univ. v. Bahssin*, 892 So. 2d 1087 (Fla. 2d DCA 2004), for the proposition that the delayed discovery rule applies to claims of conversion is misplaced because *Butler* did not cite *Davis* and instead relied on an earlier case, *Hearndon v. Graham*, 767 So. 2d 1179 (Fla. 2000), which *Davis* confined to its facts.

thirds of Toke's shares as of December 13, 2012, but the parties disagree as to whether DeepGulf had also acquired the remaining one third of the shares owned by Mr. Ximenes. Specifically, the parties disagree as to whether DeepGulf paid Mr. Ximenes for his shares, with Mr. Howard claiming that it did and Defendant claiming that it did not. Although this suggests that there may be a justiciable controversy between DeepGulf and **Mr. Ximenes** regarding the ownership of Toke, there is not one between DeepGulf and **Defendant**. Thus, Count VIII is due to be dismissed for lack of a case or controversy. Alternatively, this count is due to be dismissed for failure to join an indispensable party (Mr. Ximenes) because the Court cannot determine whether DeepGulf owns all of Toke's shares without also determining whether Mr. Ximenes owns any. *See Miami Herald Media Co. v. Fla. Dep't of Transp.*, 345 F. Supp. 3d 1349, 1371 (N.D. Fla. 2018) ("The indispensable-party issue may be raised on appeal and by the court *sua sponte* at any time.").

Count IX, which seeks an accounting from Defendant of Toke's revenues and expenses, appears to be premised on DeepGulf's claims that Defendant misappropriated its business opportunities and kept monies for himself that should have gone to DeepGulf. However, because "an accounting is best understood as a remedy for a cause of action, not as a cause of action in its own right," it may only be pursued where there is a viable independent cause of action. *Zaki Kulaibee Establishment v. McFliker*, 771 F.3d 1301, 1310 n.21 (11th Cir. 2014). Here,

because Defendant is entitled to summary judgment on all of the claims that might justify an accounting, there is no basis for the accounting requested in Count IX.

Counterclaim I seeks an accounting from DeepGulf, and unlike Count IX of the complaint, this counterclaim is based on a viable independent cause of action, *i.e.*, Defendant's breach of contract claim in Counterclaim II. However, one element of a claim for an accounting is that "a remedy at law would be inadequate." *Astrotel, Inc. v. Verizon Fla., LLC*, 2012 U.S. Dist. LEXIS 63172, at *29-30 (M.D. Fla. May 4, 2012) ("To successfully plead a claim for equitable accounting under Florida law, a plaintiff must allege that (1) a fiduciary relationship or complex transaction exists, and (2) a remedy at law would be inadequate."). Here, aside from a general "concern" that DeepGulf's monies were spent improperly, Defendant did not present any evidence that there is no adequate remedy at law for his breach of contract claim. *See Kee v. Nat'l Reserve Life Ins. Co.*, 918 F.2d 1538, 1541 (11th Cir. 1990) ("When a judgment for breach of contract is obtainable, the remedy at law is considered adequate, precluding the need for the imposition of an equitable remedy."). Accordingly, Plaintiffs are entitled to summary judgment on Counterclaim I.

Counterclaim II seeks compensation for unpaid salary that Defendant claims to be owed based on his August 2005 employment agreement with DeepGulf. DeepGulf contends that Defendant subsequently waived his contractual right to receive his salary until DeepGulf started making money again. Although the

evidence is undisputed that, in late 2012, Defendant agreed that DeepGulf could stop paying him a salary until “the money comes back,” *see* Doc. 139-2, at 199, the parties dispute whether the condition triggering DeepGulf’s obligation to restart payment of Defendant’s salary (and pay his accrued-but-unpaid salary) occurred, with Defendant claiming that “money started coming back in the company . . . only three months after [his] salary had been discontinued,” *id.* at 202, and Mr. Howard claiming that DeepGulf “has not generated any revenue or investor capital since 2012,” *see* Doc. 140, at 7 (¶33). Based on this conflicting evidence, summary judgment on Counterclaim II is inappropriate.

Counterclaim III seeks compensation for work and labor done, presumably under a theory of *quantum meruit*. However, because there is an express agreement addressing Defendant’s salary, he is foreclosed from pursuing a claim for work and labor done under *quantum meruit*. *See Marriott Corp. v. Dasta Constr. Co.*, 26 F.3d 1057, 1069 n.24 (11th Cir. 1994) (“The presence of express contractual provisions directly addressing [the counterclaimant’s] claims . . . forecloses [the counterclaimant] from recovering on its *quantum meruit* claim.”) (citing *Harding Realty, Inc. v. Turnberry Towers Corp.*, 436 So. 2d 983, 984 (Fla. 3d DCA 1983), for the “settled rule of Florida law that *quantum meruit* is inappropriate where a valid express contract exists”). Accordingly, Plaintiffs are entitled to summary judgment on Counterclaim III.

Counterclaim IV alleges that DeepGulf breached its obligation to obtain a permanent resident visa for Defendant. The undisputed evidence refutes this claim because it establishes that DeepGulf made a good-faith effort to obtain the visa by hiring a lawyer for Defendant (of his choosing), responding to government requests for information, filling out necessary forms and submitting supporting documentation, and moving money around to help with the application process. The fact that the Government ultimately denied the visa is beyond DeepGulf's control and not grounds for a breach of contract claim. Accordingly, Plaintiffs are entitled to summary judgment on Counterclaim IV.

Conclusion

In sum, for the reasons stated above, it is **ORDERED** that:

1. Plaintiffs' motion for summary judgment (Doc. 139) is **GRANTED** as to Count I of the complaint and Counterclaims I, III, and IV, and **DENIED** in all other respects.
2. Defendant's motion for summary judgment (Doc. 137) is **GRANTED** as to Counts II through VII of the complaint, and **DENIED** in all other respects.
3. Count VIII is **DISMISSED without prejudice**.

Additionally, because it appears that this case is now ready to be set for trial, it is **FURTHER ORDERED** that within 7 days of the date of this Order, the parties

shall confer and advise the Court of several mutually agreeable dates during the weeks of February 10-14 and 17-21, 2020, for a telephonic case management conference to set this case for trial.

DONE and ORDERED this 27th day of January, 2020.

T. Kent Wetherell, II

T. KENT WETHERELL, II
UNITED STATES DISTRICT JUDGE

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**UNITED STATES DISTRICT COURT FOR THE
NORTHERN DISTRICT OF FLORIDA
PENSACOLA DIVISION**

DEEPGULF INC and TOKE OIL AND
GAS S.A.,

Plaintiffs,

v.

Case No. 3:18-cv-1466-TKW/MJF

MARC M. MOSZKOWSKI,

Defendant.

_____ /

ORDER

Plaintiffs moved this court, pursuant to Rule 37(d)(1), to impose sanctions on Defendant for his failure to provide spreadsheets containing financial information that are responsive to one or more requests for production of documents. For the reasons set forth below, this motion is granted in part and denied in part.

I. Background

The relevant background can be found in this court's previous order regarding Plaintiffs' motion for sanctions. (Doc. 131). In December 2018, Defendant, then proceeding *pro se*, initially failed to produce spreadsheets containing lists of Toke Oil and Gas's expenditures for years 2008 through 2010. After obtaining counsel, Defendant was granted an extension to supplement his discovery responses. The deadline to comply with the extended scheduling order was May 15, 2019. Despite

defense counsel's acknowledgment that they knew of the spreadsheets in April 2019, Defendant failed to produce the spreadsheets.

On August 2, 2019, Plaintiffs filed a motion to compel production of "Copies of all Toke Oil and Gas, S.A.'s financial, bookkeeping or transaction records from the date that you [Defendant] became involved with Toke Oil and Gas, S.A. to the present date." (Doc. 104). On August 6, 2019, Defendant provided Plaintiffs with a spreadsheet listing funds received during 2008-2010 and three spreadsheets that purported to be expenses for Toke during the 2008-2010 period. Defendant was late, by about three months, in supplementing his discovery responses.¹

In light of Defendant's initial failure to produce these spreadsheets, Plaintiffs ask this court to sanction Defendant by entering a default judgment against Defendant and striking Defendant's counterclaim. (Doc. 105 at 7). Alternatively, Plaintiffs seek reasonable costs and attorney's fees for bringing the motion to compel and for conducting the second deposition of Defendant. Defendant argues that Plaintiffs were not prejudiced by the late production of these documents and, therefore, are not entitled to sanctions. Because Plaintiffs failed to address the relevant standard for imposing sanctions—specifically the relevant standard for

¹ Plaintiffs contend that responses to requests for production were due on December 13, 2018. (Doc. 134 at 4). Defendant retained counsel in March 2019. Thereafter, both parties agreed to and District Judge Casey M. Rodgers granted an extension for Defendant to supplement his discovery responses. The deadline to supplement his responses was May 15, 2019. (Doc. 69).

default judgment—pursuant to Rule 37, this court denied the motion without prejudice and ordered the parties to submit additional briefing on the issue of whether sanctions were appropriate in this case. Both parties have filed supplemental authority for their respective positions.

II. Discussion

A district court’s broad power to control discovery “includes the ability to impose sanctions on uncooperative litigants.” *Phipps v. Blakeney*, 8 F.3d 788, 790 (11th Cir. 1993); *Malautea v. Suzuki Motor Co., Ltd.*, 987 F.2d 1536, 1542 (11th Cir. 1993) (Rule 37 “gives district judges broad discretion to fashion appropriate sanctions for violation of discovery orders . . .”). Rule 37 of the Federal Rules of Civil Procedure provides that a court may impose sanctions when a party “fails to obey an order to provide or permit discovery, including an order under Rule 26(f), 35 or 37(a)” or when “a party after being properly served with interrogatories under Rule 33 or a request for inspection under Rule 34, fails to serve its answers, objections, or written responses.” Fed. R. Civ. P. 37(b)(2), (d)(1). “A failure to disclose under Rule 37 encompasses both the destruction of evidence, or spoliation, and untimely production of documents and information required to be produced.” *In re September 11th Liability Ins. Coverage Cases*, 243 F.R.D. 114, 125 (S.D.N.Y. 2007).

Rule 37(d)(3) authorizes courts to impose the following sanctions:

1. directing that matters embraced in the order or other designated facts be taken as established for the purpose of the action, as the prevailing party claims;
2. prohibiting the disobedient party from supporting or opposing designated claims or defenses, or from introducing designated matters in evidence;
3. striking pleadings in whole or part;
4. staying further proceedings until the order is obeyed;
5. dismissing the action or proceeding in whole or in part; and
6. entering a default judgment against the offending party.

See Fed. R. Civ. P. 37(b)(2)(A), (d)(3). In addition, under Rule 37(d)(3), a “court *must* require the party failing to act, the attorney advising the party, or both to pay the reasonable expenses, including attorney fees, caused by the failure, unless the failure was substantially justified or other circumstances make an award of expenses unjust.” Fed. R. Civ. P. 37(d)(3) (emphasis added).

The party seeking sanctions under Rule 37 bears the burden of establishing that an opposing party failed to comply with Rule 26 or a discovery order. *Silvagni v. Wal-Mart Stores, Inc.*, 320 F.R.D. 237, 241 (D. Nev. 2017); *New World Sols., Inc. v. NameMedia, Inc.*, 150 F. Supp. 3d 287, 304 (S.D.N.Y. 2015); *Lodge v. United Homes, LLC*, 787 F. Supp. 2d 247, 258 (E.D.N.Y. 2011). If the party can establish that a discovery violation occurred, that party then has the burden of establishing the appropriateness of a requested sanction at least by a preponderance of the evidence.

Ramirez v. T&H Lemont, Inc., 845 F.3d 772, 778 (7th Cir. 2016); *see United States v. Regan*, 232 U.S. 37, 49, 34 S. Ct. 213, 217 (1914) (noting that “the general rule applicable to civil suits” entails “proof by a reasonable preponderance of the evidence”).

In considering whether a sanction should be imposed—and what sanction should be imposed—courts should consider a variety of factors, including:

1. the purposes to be served by the imposition of sanctions, including deterrence of future discovery violations, punishment of current violations, compensation of the offended party, and conservation of the court’s time and resources;
2. the importance of the materials that were not produced—from the perspective of the offended party’s ability to litigate the case—and what prejudice, if any, the offended party suffered;
3. if the offended party suffered prejudice, the monetary cost suffered, if any;
4. whether the discovery caused important events to be delayed (such as a trial) and, if so, the extent of the delay;
5. whether the offending party violated a specific order of the court instructing it to provide the offended party with an item or materials;
6. whether the discovery violation(s) placed a burden on the district court and, if so, the extent of the burden;
7. whether the offending party committed a single discovery violation or multiple violations;
8. the offending party’s asserted justification for its conduct, if any, and its legitimacy;
9. whether the discovery violation was committed willfully, in bad faith, inadvertently, or due to a party’s inability or excusable neglect;

10. whether the discovery violation(s) is attributable to the client, counsel, or both;
11. whether the offending party was warned that sanctions or a specific sanction might be imposed, but disregarded such warning;
12. whether any lesser sanction would substantially serve the same purposes as a more severe sanction; and
13. whether the requested sanction would be just in light of the particular circumstances of the case and whether it is proportional to the harm inflicted.

See Societe Internationale Pour Participations Industrielles et Commerciales, S.A. v. Rogers, 357 U.S. 197, 212, 78 S. Ct. 1087, 1096 (1958); *ML Healthcare Servs., LLC v. Publix Super Markets, Inc.*, 881 F.3d 1293, 1309 (11th Cir. 2018); *Tobinick v. Novella*, 848 F.3d 935, 949 (11th Cir. 2017); *AngioDynamics, Inc. v. Biolitec AG*, 780 F.3d 429, 435 (1st Cir. 2015); *Harriman v. Hancock Cty.*, 627 F.3d 22, 30 (1st Cir. 2010); *OFS Fitel, LLC v. Epstein, Becker & Greene, P.C.*, 549 F.3d 1344, 1362-65 (11th Cir. 2008); *United States v. Reyes*, 307 F.3d 451, 457-58 (6th Cir. 2002); *Webb v. District of Columbia*, 146 F.3d 964, 971 (D.C. Cir. 1998); *Malautea*, 987 F.2d at 1542; *Jones v. Thompson*, 996 F.2d 261, 264 (10th Cir. 1993); *Navarro v. Cohan*, 856 F.2d 141, 142 (11th Cir. 1988); *Ford v. Fogarty Van Lines, Inc.*, 780 F.2d 1582, 1583 (11th Cir. 1986).

Furthermore, requests that a court impose the sanctions of dismissal or entry of a default judgment require substantial justification. Courts must be “cognizant of

the drastic nature of a default judgment, which deprives a party completely of its day in court.” *Webb*, 146 F.3d at 971. A district court’s power to impose dismissal or default judgment against the non-compliant party, therefore, should be used only as a last resort. *Malautea*, 987 F.2d at 1542 (“[T]he severe sanction of a dismissal or default judgment is appropriate only as a last resort, when less drastic sanctions would not ensure compliance”); *Phipps*, 8 F.3d at 790 (noting that “dismissal without prejudice is the most severe Rule 37 sanction and is not favored”). This is due to the strong policy in favor of courts adjudicating cases on their merits. *Foman v. Davis*, 371 U.S. 178, 181-82, 83 S. Ct. 227, 230 (1962) (noting the preference in American law for cases to be decided on their merits); *Perez v. Wells Fargo N.A.*, 774 F.3d 1329, 1342 (11th Cir. 2014) (noting the “strong preference that cases be heard on the merits”); *Webb*, 146 F.3d at 971 (noting that because “disposition of cases on the merits is generally favored,” a “default judgment must be a ‘sanction of last resort,’ to be used only when less onerous methods” will be ineffective).

Because a default judgment prevents a party from having its claim or defense adjudicated on the merits, a party seeking a default judgment as a sanction has a substantial burden. *Hammond Packing Co. v. State of Arkansas*, 212 U.S. 322, 349-52, 29 S. Ct. 370, 379-81 (1909); *Chudasama v. Mazda Motor Corp.*, 123 F.3d 1353, 1371 (11th Cir. 1997). A district court should impose this sanction only when it finds

that: (1) there is a clear record of delay, bad faith, or willful contempt; and (2) no lesser sanctions would sufficiently vindicate the relevant interests. *Watts v. Ford Motor Co.*, 648 F. App'x 970, 973 (11th Cir. 2016) (quoting *Betty K. Agencies, Ltd. v. M/V Monada*, 432 F.3d 1333, 1338 (11th Cir. 2005)). Thus, a “violation of a discovery order caused by simple negligence, misunderstanding, or inability to comply will not satisfy a Rule 37 default judgment or dismissal.” *Malautea*, 987 F.2d 1542; see *Rogers*, 357 U.S. at 212, 78 S. Ct. at 1096 (“Rule 37 should not be construed to authorize dismissal of this complaint because of petitioner’s noncompliance with a pretrial production order when it has been established that failure to comply has been due to inability, and not to willfulness, bad faith, or any fault of petitioner.”).

In determining whether to impose sanctions and the severity of the sanctions to be imposed, the undersigned has considered the following factors:

(1) Purposes to be Served by the Imposition of Sanctions. Sanctions under Rule 37 are intended to (1) compensate the court and parties for the added expenses caused by discovery abuses, (2) compel discovery, (3) deter others from engaging in similar conduct, and (4) penalize the offending party or attorney. *Wouters v. Martin Cty.*, 9 F.3d 924, 933 (11th Cir. 1993); *Carlucci v. Piper Aircraft Corp., Inc.*, 775 F.2d 1440, 1453 (11th Cir. 1985). Because the discovery period has already closed,

the imposition of sanctions on Defendant would not deter him from committing future discovery violations in this case.

(2) Importance of Materials—From Plaintiffs’ Perspective—to Litigating the Case. Plaintiffs assert that the financial information contained in the spreadsheets was essential to their claims because the information contained in the spreadsheets showed that Defendant received payments from Toke which allegedly should have been provided to DeepGulf. (Doc. 134 at 5). Plaintiffs also argue that the information in the spreadsheets is relevant to Defendant’s assertion of the defense of statute of limitations insofar as the spreadsheets show that Defendant’s conversion was fraudulently concealed, which—Plaintiffs argue—essentially tolled the statute of limitations. (Doc. 134 at 6).

The District Court, however, granted summary judgment in favor of Defendant on Plaintiffs’ claims of breach of contract (i.e., the noncompetition agreement), civil theft, and conversion by misappropriating a business opportunity. (Doc. 150 at 7-10). The District Court also held that, under Florida law, any fraudulent concealment did not extend or toll the statute of limitations. (Doc. 150 at 8-9). Thus, the spreadsheets were not essential to any meritorious claim or defense, and Plaintiffs’ counsel should have grasped this before seeking these materials.

(3) Costs Incurred. Plaintiffs assert that they incurred attorney’s fees and costs—including the cost of a second deposition of Defendant—as a result of

Defendant's failure to produce the spreadsheets timely. In support thereof, Plaintiffs attached an exhibit of their fees, which total \$11,676.05.² (Doc. 147-1). Plaintiffs assert this represents the hours worked on the motion to compel and the cost of the additional deposition. *Id.*

Plaintiffs have the burden of demonstrating that the amounts sought as a sanction are appropriate and directly pertain to Defendant's failure to provide the requested discovery materials. *Ramirez*, 845 F.3d at 778; *Ungar v. City of New York*, 329 F.R.D. 8, 16 (E.D.N.Y. 2018); *Taylor v. City of New York*, 293 F.R.D. 601, 613 (S.D.N.Y. 2013); *Patterson v. Aiken*, 111 F.R.D. 354, 358 (N.D. Ga. 1986), *aff'd*, 841 F.2d 386 (11th Cir. 1988). Most of the notations for the work performed by their attorneys are cryptic and fail to demonstrate that the work was directly and solely related to Defendant's failure to provide the spreadsheets timely. The amounts sought appear to pertain in part to issues other than the information contained in the spreadsheets. For example, the notation for October 15, 2019, states that 2.4 hours was expended to "review email from Rus Howard; Review Issues from

² Plaintiffs' counsel presented the costs as "Work on 'Motion to Compel and Sanctions'" and "Work on 'Second Deposition of Marc M. Moszkowski.'" (Doc. 147-1). For the work on the motion to compel, Plaintiffs represent that they expended \$7,313.50, including attorney's fees. (Doc. 147-1 at 2). For the work on the second deposition, Plaintiffs represent that they expended \$4,362.55, including attorney's fees. (*Id.* at 4).

Counterclaim; Prepare for Deposition.” (Doc. 147-1 at 3). Many other entries suffer from similar defects.

Furthermore, there are various entries related to objections to the undersigned’s order that did not impose sanctions on Defendant. (Doc. 147-1). Based on the paucity of information contained in Plaintiffs’ motion and memorandum of law, the undersigned could not have imposed sanctions on Defendant. Specifically, Plaintiffs’ motion for sanctions and memorandum of law in support violated the Federal Rules of Civil Procedure and the Local Rules insofar as they failed to: (1) state the standard for imposing sanctions; and (2) discuss and provide evidence relevant to the multiple factors—identified above—that a court must consider before imposing sanctions under Rule 37.³ See Fed. R. Civ. P. 7(b); N.D. Fla. Loc. R. 7.1(E). If Plaintiffs had filed a detailed motion and supporting memorandum as required by the Rules of Civil Procedure and the Local Rules, Plaintiffs would not have incurred some of the expenses that they now seek to foist on Defendant.

³ In their memorandum of law, Plaintiffs identified the sanctions they sought from this court—namely dismissal or a default judgment, which clearly is not warranted in this case—but failed to cite a single Eleventh Circuit case that provided the relevant standard for the imposition of Rule 37 sanctions. Rather, Plaintiffs only cited a Seventh Circuit case and a Tenth Circuit case, *despite the existence of substantial Eleventh Circuit precedent that was contrary to Plaintiffs’ position*. (Doc. 105). A knowing failure to cite controlling authority adverse to a party’s asserted position violates an attorney’s duty of candor to the court. See *Amoco Oil Co. v. United States*, 234 F.3d 1374, 1378 (Fed. Cir. 2000).

Plaintiffs have demonstrated that Defendant's failure to provide the spreadsheets timely caused them to expend additional sums. They have not shown, however, that Defendant's failure directly and necessarily caused them to expend \$11,676.05. Without additional briefing from Plaintiffs and the expenditure of additional judicial resources, this court cannot determine precisely which expenses and fees are fairly attributable to Defendant's conduct.

Furthermore, as noted above, Plaintiffs failed to show that the spreadsheets were relevant to any meritorious claims. When materials sought through the discovery process are relevant only to non-meritorious claims, there is less reason to sanction a party who failed to produce such materials. *See Dunbar v. United States*, 502 F.2d 506, 509 n.2 (5th Cir. 1974) ("It is perhaps worthy of note that even though a given piece of information may be 'relevant' for the purposes of Rule 26(b), the less relevant that information becomes, the less appropriate a Rule 37 sanction is, where there is a failure or refusal to produce the information."); *see generally Fonseca v. Regan*, 734 F.2d 944, 950 (2d Cir. 1984) (holding it was an error for the district judge to impose a sanction when the motion to compel sought unnecessary information). Thus, any harm Plaintiffs suffered largely was due to their ill-advised decision to pursue non-meritorious claims.

(4) Whether Important Case-Related Events Were Delayed. In August 2019, both Defendant and Plaintiffs produced discovery late. (Doc. 147 at 2, 6). This

precipitated an extension of the discovery deadline by three-months. (Doc. 134 at 7; Doc. 141 at 10; Doc. 108). The district court had not yet scheduled a trial, however. Defendant's delay in providing the spreadsheets, therefore, did not result in the rescheduling of a trial.

(5) Lack of a Specific Court Order. Both parties concede that there was no specific court order directing Defendant to produce the spreadsheets. (Doc. 134 at 7 (noting that "[t]here was no order that specifically mentioned the spreadsheets")); Doc. 141 at 10).

(6) Burden on the Court. Defendant's failure to produce the spreadsheets timely placed a small burden on the court insofar as it caused Plaintiffs to file a motion to compel that this court was required to address. Defendant, however, promptly remedied his failure prior to the court ruling on the motion to compel, thereby minimizing the burden his conduct placed on this court. Furthermore, it is worth noting that Plaintiffs filed their motion to compel *after Defendant already agreed to produce the documents at issue* subject to a confidentiality agreement. (Doc. 104 at 9). Thus, if Plaintiffs had provided Defendant another day or two, their motion to compel might not have been necessary and this court would not have been burdened at all.

(7) Prior Discovery Violations. Plaintiffs assert that Defendant has engaged in a pattern of abuse of the discovery process, including failing to provide

initial disclosures, misrepresenting the severity of his medical condition to avoid attending his deposition in Pensacola, Florida, and failing to produce documents that were responsive to Plaintiffs' other requests for production of documents. (Doc. 105 at 7; Doc. 134 at 8-9). Plaintiffs, however, are speculating regarding the severity of Defendant's medical condition. Furthermore, Defendant usually remedied any violations quickly. That does not excuse the violations, but it is relevant to the question of whether sanctions should be imposed and, if so, the extent of the sanctions.

(8) Offending Party's Justification. Defendant has not shown that he was justified in withholding the spreadsheets at the time Plaintiffs sought them. Because the claims to which the spreadsheets were relevant lacked merit, however, Defendant has shown that his actions essentially were harmless.

(9) Intent. Plaintiffs have not demonstrated that Defendant acted willfully, in bad faith, or with contempt for the court.

(10) Whether the Discovery Violation is Attributable to a Client, Counsel, or Both. According to Defendant's counsel, "Defendant produced said spreadsheets to defense counsel in April 2019, but they were not produced due to defense counsel's information and belief the financial data contained in the spreadsheets had already been summarized in the financial documents already in the

hands of Plaintiffs since 2011 and 2012, and because of confidentiality concerns, which were acknowledged by Plaintiffs only on 31 July 2019.” (Doc. 117 at 3 n.1).

(11) Previous Warning. In this case, Defendant was not warned that an imposition of any sanction would be imposed for discovery violations.

(12) Lesser Sanctions. The facts of this case suggest that a severe sanction is not warranted and that a lesser sanction would be effective.

(13) Justice and Proportionality. Defendant argues that the circumstances of this case do not warrant the imposition of sanctions because the Plaintiffs also withheld necessary documents during the course of discovery. Thus, Defendant asks this court to consider Plaintiffs’ “unclean hands.” *See Insituform Tech., Inc. v. Amerik Supplies, Inc.*, No., 2010 WL 11493292, at *8 n.8 (N.D. Ga. Feb. 19, 2010) (finding that imposition of sanctions would be unjust when both parties engaged in similar discovery misconduct) (citing *Rice v. City of Chicago*, 333 F.3d 780, 784-86 (7th Cir. 2003)).

In support, Defendant indicates that there have been several ongoing discovery issues with Plaintiffs. First, Defendant asserts that Plaintiffs have been intentionally withholding financial records that are relevant to Defendant’s claims. According to Defendant, this required the expenditure of attorney’s fees and judicial resources because Defendant was required to file a motion to compel with this court and issue a subpoena duces tecum to Wells Fargo, which the Plaintiffs attempted to

quash. On July 17, 2019, one day after the motion to compel was filed, Plaintiffs agreed to produce documents that they had been withholding based on objections. These documents were produced on July 18, 2019. In response, Plaintiffs indicated that they had initially withheld the documents based on objections, but subsequently agreed to produce the documents because they believed it was possible that this court's reasoning in its order to deny the motion to quash the subpoena would apply equally to Plaintiffs' objections.

Defendant also argues that Plaintiffs have failed to produce: (1) communications between shareholders; and (2) corporate banking records for the years 2005-2012. Plaintiffs state that—after objecting on the record at the deposition—they stipulated to producing certain documents to Defendant, which were produced on August 7, 2019 (a day after Defendant produced the spreadsheets). (Doc. 147 at 5-6). Additionally, Plaintiffs indicate that neither they nor Wells Fargo maintain bank records for more than seven years, thus they cannot produce bank records from 2007 through 2012. *Id.* at 5.

Defendant finally argues that Plaintiffs have withheld documents that were attached to emails that had been turned over during discovery. Defendant states that on September 20, 2019, he propounded a Third Request for Production of documents in an effort to obtain these responsive documents. (Doc. 141 at 5). Defendant asserts that Plaintiffs failed to produce any such responsive documents. *Id.* Plaintiffs claim

that on July 16, 2019, two months prior to Defendant propounding these requests, they informed Defendant that they did not have the attachment. (Doc. 147-5).

III. Conclusion

Based on the relevant factors, some of which are discussed above, this court finds that a sanction is appropriate, but that entry of a default judgment, striking of counterclaims, or the imposition of \$11,676.05 in costs and attorney's fees would be excessive. Instead, this court will impose a monetary sanction of \$1,000.00 on Defendant. This will serve the relevant interests identified above. Therefore, it is

ORDERED:

1. Plaintiffs' Motion for Sanctions is **GRANTED IN PART** and **DENIED IN PART**.

2. On or before April 16, 2020, Defendant shall pay Plaintiffs **\$1,000.00**.

3. Plaintiffs' Motion is **DENIED** in all other respects.

SO ORDERED this 16th day of March, 2020.

/s/ Michael J. Frank

Michael J. Frank

United States Magistrate Judge

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**UNITED STATES DISTRICT COURT
NORTHERN DISTRICT OF FLORIDA
PENSACOLA DIVISION**

**DEEPGULF, INC., and
TOKE OIL AND GAS, S.A.,**

Plaintiffs,

v.

Case No. 3:18cv1466-TKW-MJF

MARC M. MOSZKOWSKI,

Defendant.

_____/

CORRECTED* FINAL JUDGMENT

For the reasons stated in the Order on Motions for Summary Judgment (Doc. 150) and on the record at the bench trial on June 17, 2020, it is

ORDERED that:

1. Judgment is entered in favor of Plaintiff, DeepGulf, Inc., on Count I of the Complaint, and the Court declares that Plaintiff, DeepGulf, Inc., owns the following intellectual properties: United States Patent number: 9644792; United States Patent number: 8146667; United States Patent Publication number: 201200014751; United States Patent Publication number: 20120012225; United States Patent Publication number: 20060130729; and any and all undisclosed inventions and / or patentable ideas or methods conceived by Defendant beginning on September 15, 2005, through the

* Corrected only as to a typographical error in the last sentence of paragraph 1.

date of this judgment. Defendant shall not use these intellectual properties for his personal gain without DeepGulf's express consent.

2. Judgment is entered in favor of Defendant on Counts II through IX¹ of the Complaint, and Plaintiffs shall go hence without day on those claims.
3. Judgment is entered in favor of Plaintiffs on Counts I through IV of Defendant's Counterclaims, and Defendant shall go hence without day on those claims.
4. The Clerk shall close the file.

DONE and ORDERED this 2nd day of July, 2020.

T. Kent Wetherell, II
T. KENT WETHERELL, II
UNITED STATES DISTRICT JUDGE

¹ The accounting claims in Count IX of the Complaint and Count I of Defendant's Counterclaims are not causes of action but remedies tied to other counts. *See* Doc. 150, at 11-12 (citing *Zaki Kulaibee Establishment v. McFliker*, 771 F.3d 1301, 1310 n.21 (11th Cir. 2014)).

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IN THE UNITED STATES DISTRICT COURT FOR THE
NORTHERN DISTRICT OF FLORIDA
PENSACOLA DIVISION

DEEPGULF, INC., and
TOKE OIL AND GAS, S.A.,

Plaintiffs,

v.

CASE NO. 3:18-CV-1466-TKW-MJF

MARC M. MOSZKOWSKI,

Defendant.

_____ /

NOTICE OF APPEAL

Notice is hereby given that DeepGulf, Inc. and Toke Oil and Gas, S.A., Plaintiffs and Counter Defendants in the above named case, hereby appeal to the United States Court of Appeals for the 11th Circuit from the Corrected Final Judgment entered in this action on July 2, 2020 [Doc. 168]; the Order on Motions for Summary Judgment [Doc. 150]; and Order denying Motion to Amend [Doc. 130].



BRADEN K. BALL, JR.

Florida Bar No. 89000

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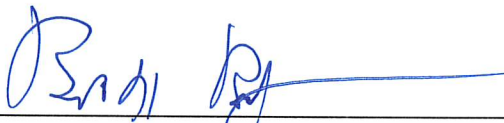
Attorneys for Plaintiffs

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CERTIFICATE OF SERVICE

I HEREBY CERTIFY that I have on this 31st day of July, 2020, a copy of the foregoing has been furnished to the Defendant's counsel, Mary Allie E. Boller (allie@bollerlawfirm.com) and Thomas R. Boller (tom@bollerlawfirm.com), via the Court's E-filing system.



BRADEN K. BALL, JR.

**UNITED STATES DISTRICT COURT
NORTHERN DISTRICT OF FLORIDA
PENSACOLA DIVISION**

**DEEPGULF, INC., and
TOKE OIL AND GAS, S.A.,**

Plaintiffs,

v.

Case No. 3:18cv1466-TKW-MJF

MARC M. MOSZKOWSKI,

Defendant.

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date of this judgment. Defendant shall not use these intellectual properties for his personal gain without DeepGulf's express consent.

2. Judgment is entered in favor of Defendant on Counts II through IX¹ of the Complaint, and Plaintiffs shall go hence without day on those claims.
3. Judgment is entered in favor of Plaintiffs on Counts I through IV of Defendant's Counterclaims, and Defendant shall go hence without day on those claims.
4. The Clerk shall close the file.

DONE and ORDERED this 2nd day of July, 2020.

T. Kent Wetherell, II

T. KENT WETHERELL, II
UNITED STATES DISTRICT JUDGE

¹ The accounting claims in Count IX of the Complaint and Count I of Defendant's Counterclaims are not causes of action but remedies tied to other counts. *See* Doc. 150, at 11-12 (citing *Zaki Kulaibee Establishment v. McFliker*, 771 F.3d 1301, 1310 n.21 (11th Cir. 2014)).

**UNITED STATES DISTRICT COURT
NORTHERN DISTRICT OF FLORIDA
PENSACOLA DIVISION**

**DEEPGULF, INC., and TOKE
OIL AND GAS, S.A.,**

Plaintiffs,

v.

Case No. 3:18cv1466-TKW-MJF

MARC M. MOSZKOWSKI,

Defendant.

ORDER ON MOTIONS FOR SUMMARY JUDGMENT

The parties to this business dispute have a convoluted relationship: Plaintiff DeepGulf, Inc., owns Plaintiff Toke Oil and Gas, S.A., and Defendant was a founder of both companies and is still a director of DeepGulf. The parties' dispute stems from work Defendant did for Toke (before it was owned by DeepGulf) that he was allegedly supposed to be doing to benefit DeepGulf (not himself), but it also involves claims and counterclaims on other matters.

The case is before the Court on the parties' motions for summary judgment (Docs. 137, 139) and related filings (Docs. 138, 140, 143-45, 148-49). No hearing is necessary to rule on the motions, and for the reasons that follow, the Court finds that the motions are due to be granted in part and denied in part.

Summary Judgment Standard

Summary judgment should be granted under Fed. R. Civ. P. 56 when, after viewing the record and the reasonable inferences drawn from it in the light most favorable to the non-moving party, the Court determines that no genuine issue exists as to any material fact and that the moving party is entitled to judgment as a matter of law. *Holifield v. Reno*, 115 F.3d 1555, 1561 (11th Cir. 1997). A genuine issue of material fact is one that would change the outcome of the litigation. *Anderson v. Liberty Lobby, Inc.*, 477 U.S. 242, 248 (1986). The moving party “bears the initial burden of demonstrating the absence of a genuine dispute of material fact.” *Baas v. Fewless*, 886 F.3d 1088, 1091 (11th Cir. 2018) (citations omitted). Once the moving party has met its burden, the non-moving party must put forward specific facts showing a genuine issue for trial. *Celotex Corp. v. Catrett*, 477 U.S. 317, 324 (1986). “Where the record taken as a whole could not lead a rational trier of fact to find for the non[-]moving party, there is no genuine issue for trial.” *Matsushita Elec. Indus. Co. v. Zenith Radio Corp.*, 475 U.S. 574, 587 (1986) (internal quotation marks omitted).

Facts

DeepGulf was formed in 2004 by Defendant and Rustin Howard. Defendant has been a director of DeepGulf since its inception.

In August 2005, Defendant was hired as DeepGulf's president at an annual salary of \$120,000, and the following month, he signed a Noncompetition, Nondisclosure, and Developments Agreement (hereafter "the Noncompetition Agreement") with DeepGulf. The Noncompetition Agreement provides that Defendant shall not directly or indirectly compete with DeepGulf while he has a Business Relationship¹ with DeepGulf. It also provides that any Development² conceived by Defendant during his Business Relationship with DeepGulf is "the sole and absolute property of [DeepGulf]."

In September 2007, a potential customer contacted DeepGulf about a project in the Southeast Asian country of East Timor. Mr. Howard turned the inquiry over to Defendant, and Defendant traveled to East Timor to investigate the business opportunity. In early 2008, Defendant and two other persons³ formed Toke to

¹ The Agreement defines "Business Relationship" to mean "service or continued service as an employee, officer, **director**[,] or consultant . . . of DeepGulf." Doc. 140-1, at 1 (emphasis added).

² The Agreement defines "Development" as any "invention, modification, discovery, design, development, improvement, process, software program, work of authorship, documentation, formula, data, technique, know-how, trade secret[,] or intellectual property right whatsoever[,] or any interest therein (whether or not patentable or registerable under copyright, trademark[,] or similar statutes or subject to analogous protection) relating to the business of [DeepGulf]." Doc. 140-1, at 3 (¶6(a)).

³ The parties disagree as to the identity of Toke's other two founding shareholders; however, it is undisputed that at the time DeepGulf acquired Toke's shares in 2012, they were owned by Defendant, Ernesto Gino Favaro, and Vincente Ximenes in equal one-third shares.

undertake the project because DeepGulf, as a U.S. corporation, could not work in East Timor.

Toke paid commissions to DeepGulf for this project and several others that Toke worked on in East Timor from 2008 to 2012. Defendant received payments from both DeepGulf and Toke over that period. The payments were comprised of W-2 wages from DeepGulf ranging from \$110,000 to \$132,000 per year, and shareholder distributions from Toke totaling \$345,000. Other Toke shareholders received distributions as well, totaling over \$950,000, but DeepGulf did not receive any shareholder distributions because it was not a shareholder of Toke.

DeepGulf acquired a controlling interest in—if not sole ownership of—Toke by December 13, 2012, at the latest. Toke has not had any projects since then.

DeepGulf has not paid Defendant's salary since March 2013. Defendant was removed as an executive officer of DeepGulf in 2017, but he remains a director of the company.

Aside from these facts (and several others interspersed in the analysis below), the parties disagree about nearly everything else. Most significantly, the parties dispute whether Defendant was supposed to be holding his one-third interest in Toke for DeepGulf's benefit or his own benefit; when DeepGulf became aware that Defendant was being paid by Toke and that he was not holding his interest in Toke for DeepGulf's benefit; whether the payments received by Defendant from Toke

should have gone to DeepGulf as shareholder distributions; whether Defendant agreed to waive the payment of his salary or merely deferred its receipt until DeepGulf earned revenue or received capital investments; and whether since DeepGulf stopped paying Defendant's salary, it has earned revenue or received capital investments.

Procedural Background

In April 2018, Plaintiffs filed suit against Defendant in state court. The complaint (Doc. 1, at 22-36) alleges nine counts. Count I seeks declaratory and injunctive relief regarding DeepGulf's ownership of certain patents, patent applications, and undisclosed inventions; Count II alleges that Defendant breached his Noncompetition Agreement with DeepGulf; Counts III and IV allege civil theft; Counts V and VI allege conversion; Count VII alleges fraudulent misrepresentation; Count VIII seeks declaratory relief regarding DeepGulf's ownership of Toke; and Count IX seeks an accounting.

Defendant, then *pro se*, removed the case to this Court and filed a narrative answer asserting various defenses and counterclaims. About a year into the case, counsel appeared for Defendant and was granted leave of court to amend the answer and clean up the pleadings. The now-operative second amended answer (Doc. 116)

raises various affirmative defenses⁴ and alleges four counterclaims. Counterclaim I seeks an accounting; Counterclaim II alleges breach of contract for unpaid compensation; Counterclaim III seeks compensation for work and labor done under a theory of *quantum meruit*; and Counterclaim IV alleges breach of contract regarding DeepGulf's failed efforts to secure a permanent resident visa for Defendant.

In November 2019, after almost 18 months of discovery (and numerous discovery disputes), both parties filed motions for summary judgment. Collectively, the motions seek summary judgment on all of the claims and counterclaims. The motions were fully briefed and are ripe for rulings.

Analysis

Count I seeks a declaration that DeepGulf owns certain patents (numbers 9644792 and 8146667), patent applications (publication numbers 20120014751, 20120012225, and 20060130729), and other undisclosed inventions and/or patentable ideas or methods conceived by Defendant.⁵ The Court finds that DeepGulf is entitled to such a declaration because the Noncompetition Agreement's definition of "Development" is broad enough to encompass the patents, patent

⁴ Duress and failure of consideration as to Counts I and II; statute of limitations and waiver as to Counts III through VI; waiver, as to Count VII; and lack of standing with respect to the claims raised by Toke.

⁵ See, e.g., Defendant's deposition (Doc. 139-2), at 108-09 (referring to previously undisclosed developments relating to compressed natural gas and liquified natural gas).

applications, and undisclosed inventions, and it is undisputed that Defendant was in a “Business Relationship” with DeepGulf when these items were conceived since he was then (and is still now) a director of DeepGulf.

The Court has not overlooked Defendant’s argument—which was raised in his deposition but not repeated in his response to Plaintiffs’ motion for summary judgment—that patent number 9644792 belongs to him because DeepGulf had not paid him a salary for over two years before the patent was filed. However, as Plaintiffs persuasively argue, DeepGulf’s obligation to pay Defendant a salary and Defendant’s obligation to assign Developments to DeepGulf are wholly independent, so Defendant’s lack of salary has no bearing on DeepGulf’s ownership of the Developments under the Noncompetition Agreement. *See Gilbert & Caddy, P.A. v. JP Morgan Chase Bank, N.A.*, 193 F. Supp. 3d 1294, 1307 (S.D. Fla. 2016) (“A material breach to excuse performance only occurs when a party breaches mutually dependent covenants in a contract, and does not occur when a contract is composed of independent covenants.”) (alterations and internal quotation marks omitted). Accordingly, Plaintiffs are entitled to summary judgment on Count I.

Count II alleges that Defendant breached his Noncompetition Agreement with DeepGulf. To the extent this count is based on Defendant’s refusal to turn over the usernames and passwords for DeepGulf’s website, it fails because even if these items are DeepGulf’s property (as they likely are), Defendant has no obligation to turn

them over to DeepGulf at this time because, as a director, he still has a Business Relationship with the company. *See* Noncompetition Agreement (Doc. 140-1), at ¶5 (“I acknowledge and agree that all Company Property shall be and remain the sole and exclusive property of the Company. **Immediately upon the termination of my Business Relationship with the Company**, I shall deliver all Company Property in my possession, and all copies thereof, to the Company.”) (emphasis added). To the extent this count is based on the allegations in the complaint that Defendant “repeatedly expressed his intent” to leave DeepGulf to work for a competitor or to start a company that would compete with DeepGulf, the claim fails because the Noncompetition Agreement precluded Defendant from competing with DeepGulf, not merely threatening to do so. Finally, to the extent this count is based on Defendant’s work for Toke, it is barred by the statute of limitations because the complaint was filed more than five years⁶ after the date DeepGulf acquired a controlling interest in Toke, and from that date forward, the two companies were no longer competitors (if they ever were) and Defendant was no longer violating his Noncompetition Agreement (if he ever was) by working for Toke.

On the latter point, the Court has not overlooked DeepGulf’s argument that Defendant’s fraudulent concealment of his work for Toke delays accrual of the

⁶ Under Florida law, the statute of limitations for a breach of contract claim is five years. *See* §95.11(2)(b), Fla. Stat.

claim; however, under Florida law, a breach of contract action accrues at the time of the breach “regardless of whether the plaintiff knew that it had a claim.” *Beck v. Lazard Freres & Co., LLC*, 175 F.3d 913, 914 (11th Cir. 1999) (citing *Fed. Ins. Co. v. Sw. Fla. Ret. Ctr., Inc.*, 707 So. 2d 1119, 1122 (Fla. 1998)); *see also Pac. Harbor Cap., Inc. v. Barnett Bank, N.A.*, 2000 U.S. Dist. LEXIS 6518, at *26-27 (M.D. Fla. Mar. 31, 2000) (“[T]he doctrine of fraudulent concealment is unavailable under Florida law[.]”). Thus, even if DeepGulf was unaware that Defendant was working on projects to benefit Toke and himself rather than DeepGulf until some point within five years of when the complaint was filed, that would not overcome Defendant’s statute of limitations defense. Accordingly, Defendant is entitled to summary judgment as to Count II.

Counts III through VI allege that Defendant committed civil theft and conversion by misappropriating DeepGulf’s business opportunities and working on projects to benefit Toke and himself rather than DeepGulf. These claims accrued in 2012, at the latest, when Toke completed the allegedly misappropriated projects, and because the complaint was filed after the applicable statutes of limitations⁷ expired, these claims are time-barred. The Court has not overlooked Plaintiffs’ argument that factual disputes remain as to when DeepGulf should have discovered the

⁷ Under Florida law, the statute of limitations for civil theft is five years, *see* §772.17, Fla. Stat., and the statute of limitations for conversion is four years, *see* §95.11(3)(h), Fla. Stat.

misappropriation; however, under Florida law, the delayed discovery rule does not apply to claims for civil theft and conversion. *See Davis v. Monahan*, 832 So. 2d 708 (Fla. 2002).⁸ Accordingly, Defendant is entitled to summary judgment on Counts III through VI.

Count VII alleges that Defendant made fraudulent representations in connection with a private placement memorandum (PPM) that DeepGulf used to solicit funds from potential investors. Although there is some dispute as to whether the information provided by Defendant was false or misleading, this claim fails because there is no evidence that DeepGulf (as compared to the potential investors) suffered any damages in reliance on the alleged misrepresentations in the PPM. *See Echeverria v. BAC Home Loans Serv., LP*, 900 F. Supp. 2d 1299, 1308-09 (M.D. Fla. 2012) (holding that a fraudulent misrepresentation claim fails as a matter of law where the plaintiffs present no evidence that they suffered injury in reliance on the defendant's fraudulent misrepresentations). Accordingly, Defendant is entitled to summary judgment on Count VII.

Count VIII seeks a declaratory judgment as to whether DeepGulf owns all of the outstanding shares of Toke. It is undisputed that DeepGulf had acquired two

⁸ Plaintiffs' reliance on *Butler Univ. v. Bahssin*, 892 So. 2d 1087 (Fla. 2d DCA 2004), for the proposition that the delayed discovery rule applies to claims of conversion is misplaced because *Butler* did not cite *Davis* and instead relied on an earlier case, *Hearndon v. Graham*, 767 So. 2d 1179 (Fla. 2000), which *Davis* confined to its facts.

thirds of Toke's shares as of December 13, 2012, but the parties disagree as to whether DeepGulf had also acquired the remaining one third of the shares owned by Mr. Ximenes. Specifically, the parties disagree as to whether DeepGulf paid Mr. Ximenes for his shares, with Mr. Howard claiming that it did and Defendant claiming that it did not. Although this suggests that there may be a justiciable controversy between DeepGulf and **Mr. Ximenes** regarding the ownership of Toke, there is not one between DeepGulf and **Defendant**. Thus, Count VIII is due to be dismissed for lack of a case or controversy. Alternatively, this count is due to be dismissed for failure to join an indispensable party (Mr. Ximenes) because the Court cannot determine whether DeepGulf owns all of Toke's shares without also determining whether Mr. Ximenes owns any. *See Miami Herald Media Co. v. Fla. Dep't of Transp.*, 345 F. Supp. 3d 1349, 1371 (N.D. Fla. 2018) ("The indispensable-party issue may be raised on appeal and by the court *sua sponte* at any time.").

Count IX, which seeks an accounting from Defendant of Toke's revenues and expenses, appears to be premised on DeepGulf's claims that Defendant misappropriated its business opportunities and kept monies for himself that should have gone to DeepGulf. However, because "an accounting is best understood as a remedy for a cause of action, not as a cause of action in its own right," it may only be pursued where there is a viable independent cause of action. *Zaki Kulaibee Establishment v. McFliker*, 771 F.3d 1301, 1310 n.21 (11th Cir. 2014). Here,

because Defendant is entitled to summary judgment on all of the claims that might justify an accounting, there is no basis for the accounting requested in Count IX.

Counterclaim I seeks an accounting from DeepGulf, and unlike Count IX of the complaint, this counterclaim is based on a viable independent cause of action, *i.e.*, Defendant's breach of contract claim in Counterclaim II. However, one element of a claim for an accounting is that "a remedy at law would be inadequate." *Astrotel, Inc. v. Verizon Fla., LLC*, 2012 U.S. Dist. LEXIS 63172, at *29-30 (M.D. Fla. May 4, 2012) ("To successfully plead a claim for equitable accounting under Florida law, a plaintiff must allege that (1) a fiduciary relationship or complex transaction exists, and (2) a remedy at law would be inadequate."). Here, aside from a general "concern" that DeepGulf's monies were spent improperly, Defendant did not present any evidence that there is no adequate remedy at law for his breach of contract claim. *See Kee v. Nat'l Reserve Life Ins. Co.*, 918 F.2d 1538, 1541 (11th Cir. 1990) ("When a judgment for breach of contract is obtainable, the remedy at law is considered adequate, precluding the need for the imposition of an equitable remedy."). Accordingly, Plaintiffs are entitled to summary judgment on Counterclaim I.

Counterclaim II seeks compensation for unpaid salary that Defendant claims to be owed based on his August 2005 employment agreement with DeepGulf. DeepGulf contends that Defendant subsequently waived his contractual right to receive his salary until DeepGulf started making money again. Although the

evidence is undisputed that, in late 2012, Defendant agreed that DeepGulf could stop paying him a salary until “the money comes back,” *see* Doc. 139-2, at 199, the parties dispute whether the condition triggering DeepGulf’s obligation to restart payment of Defendant’s salary (and pay his accrued-but-unpaid salary) occurred, with Defendant claiming that “money started coming back in the company . . . only three months after [his] salary had been discontinued,” *id.* at 202, and Mr. Howard claiming that DeepGulf “has not generated any revenue or investor capital since 2012,” *see* Doc. 140, at 7 (¶33). Based on this conflicting evidence, summary judgment on Counterclaim II is inappropriate.

Counterclaim III seeks compensation for work and labor done, presumably under a theory of *quantum meruit*. However, because there is an express agreement addressing Defendant’s salary, he is foreclosed from pursuing a claim for work and labor done under *quantum meruit*. *See Marriott Corp. v. Dasta Constr. Co.*, 26 F.3d 1057, 1069 n.24 (11th Cir. 1994) (“The presence of express contractual provisions directly addressing [the counterclaimant’s] claims . . . forecloses [the counterclaimant] from recovering on its *quantum meruit* claim.”) (citing *Harding Realty, Inc. v. Turnberry Towers Corp.*, 436 So. 2d 983, 984 (Fla. 3d DCA 1983), for the “settled rule of Florida law that *quantum meruit* is inappropriate where a valid express contract exists”). Accordingly, Plaintiffs are entitled to summary judgment on Counterclaim III.

Counterclaim IV alleges that DeepGulf breached its obligation to obtain a permanent resident visa for Defendant. The undisputed evidence refutes this claim because it establishes that DeepGulf made a good-faith effort to obtain the visa by hiring a lawyer for Defendant (of his choosing), responding to government requests for information, filling out necessary forms and submitting supporting documentation, and moving money around to help with the application process. The fact that the Government ultimately denied the visa is beyond DeepGulf's control and not grounds for a breach of contract claim. Accordingly, Plaintiffs are entitled to summary judgment on Counterclaim IV.

Conclusion

In sum, for the reasons stated above, it is **ORDERED** that:

1. Plaintiffs' motion for summary judgment (Doc. 139) is **GRANTED** as to Count I of the complaint and Counterclaims I, III, and IV, and **DENIED** in all other respects.
2. Defendant's motion for summary judgment (Doc. 137) is **GRANTED** as to Counts II through VII of the complaint, and **DENIED** in all other respects.
3. Count VIII is **DISMISSED without prejudice**.

Additionally, because it appears that this case is now ready to be set for trial, it is **FURTHER ORDERED** that within 7 days of the date of this Order, the parties

shall confer and advise the Court of several mutually agreeable dates during the weeks of February 10-14 and 17-21, 2020, for a telephonic case management conference to set this case for trial.

DONE and ORDERED this 27th day of January, 2020.

T. Kent Wetherell, II

**T. KENT WETHERELL, II
UNITED STATES DISTRICT JUDGE**

**UNITED STATES DISTRICT COURT
NORTHERN DISTRICT OF FLORIDA
PENSACOLA DIVISION**

**DEEPGULF, INC., and TOKE
OIL AND GAS, S.A.,**

Plaintiffs,

v.

Case No. 3:18cv1466-TKW-MJF

MARC M. MOSZKOWSKI,

Defendant.

ORDER DENYING MOTION TO AMEND

This case is before the Court on Plaintiffs' motion for leave to file an amended complaint (Doc. 121). Defendant filed a response in opposition to the motion (Doc. 123), and the parties were afforded an opportunity to present argument on the motion at a telephonic hearing held on a separate motion on November 5, 2019. No further argument is necessary to rule on the motion.

The motion is untimely. The deadline for amending pleadings was almost a year ago (*see* Doc. 30, at 2), discovery closed last week (Doc. 109), and the deadline for dispositive motions is less than two weeks away (*id.*).

It is well-established in the Eleventh Circuit that "[a] plaintiff seeking leave to amend its complaint after the deadline designated in a scheduling order must demonstrate 'good cause' under Fed. R. Civ. P. 16(b)." *S. Grouts & Mortars, Inc.*

v. *3M Co.*, 575 F.3d 1235, 1241 (11th Cir. 2009). Here, the motion does not articulate any reason for the untimely request to amend, much less “good cause” for the request.

Plaintiffs argued at the telephonic hearing that they decided to seek leave to amend the complaint after Defendant produced an email that they had not previously seen in conjunction with his recently-filed affirmative defenses. Even if that is true, it does not amount to “good cause” because the email does not change the fact that the allegations on which the proposed new breach of contract count is based (i.e., Defendant allegedly violating his non-compete agreement with Plaintiff DeepGulf by working for and receiving \$345,000 from Plaintiff Toke Oil & Gas) were known to Plaintiffs long before the email was disclosed because those facts were included in the original complaint. Thus, the recent disclosure of the email does not excuse the untimely filing of the motion.

Plaintiffs also candidly acknowledged at the telephonic hearing that they wanted to amend the complaint to assert a breach of contract count to overcome potential statute of limitations issues with the claims in the original complaint that involve the same operative facts. That does not constitute “good cause.” Indeed, it is unclear how asserting a breach of contract claim would cure any potential statute of limitations issues because, unlike some types of claims that do not accrue until the plaintiff knows or should know about them, a breach of contract claim under

Florida law accrues at the time of the breach “regardless of whether the plaintiff knew it had a claim.” *Beck v. Lazard Freres & Co., LLC*, 175 F.3d 913, 914 (11th Cir. 1999) (citing *Fed. Ins. Co. v. Sw. Fla. Ret. Ctr., Inc.*, 707 So. 2d 1119, 1122 (Fla. 1998)). Here, according to the proposed amended complaint, the alleged breach occurred when Defendant worked for a competitor in violation of his non-compete agreement “[f]rom 2010 to 2011” (Doc. 121, at 25), which is more than 5 years¹ before the original complaint was filed in April 2018. Thus, unless the Court is missing something, it would be futile for Plaintiffs to amend the complaint to add the proposed new breach of contract claim even if they had established “good cause” for their untimely motion.²

The Court has not overlooked Fed. R. Civ. P. 15(a)(2), which provides that leave to amend should be “freely give[n] . . . when justice so requires,” or Plaintiffs’ argument that Defendant will not be prejudiced by the amendment because the proposed new breach of contract claim arises out of the same operative facts as the claims in the original complaint. However, those points are irrelevant unless

¹ Under Florida law, the statute of limitations for a breach of contract claim is 5 years. *See* §95.11(2)(b), Fla. Stat.

² The Court has not overlooked the case submitted by Plaintiffs as supplemental authority, *Bilic v. New Fairways Inv. of Fla., Inc.*, 543 So. 2d 458 (Fla. 5th DCA 1989). *See* Doc. 129. However, that case has no bearing on the Court’s decision because (1) unlike the Eleventh Circuit cases cited in this Order, state appellate court decisions are not binding on this Court; (2) *Bilic* was decided under the Florida rules of civil procedure, not the federal rules that govern the Court’s review of Plaintiffs’ motion; and (3) unlike here, there appears to have been no question in *Bilic* that the breach of contract claim was not time-barred.

Plaintiffs first establish good cause for their untimely motion. *See Sosa v. Airprint Sys., Inc.*, 133 F.3d 1417, 1419 (11th Cir. 1998) (“If [the plaintiff]’s motion for leave to amend had been filed within the time prescribed by the scheduling order, Rule 15(a) would be our primary focus However, because [the plaintiff]’s motion to amend was filed after the scheduling order’s deadline, she must first demonstrate good cause under Rule 16(b) before we will consider whether amendment is proper under Rule 15(a). If we considered only Rule 15(a) without regard to Rule 16(b), we would render scheduling orders meaningless and effectively would read Rule 16(b) and its good cause requirement out of the Federal Rules of Civil Procedure.”) (citations omitted). Because Plaintiffs did not establish good cause, the Court need not consider whether Defendant would be prejudiced by the amendment.

That said, the Court is not unsympathetic to Plaintiffs’ argument that Defendant has been given ample opportunity to amend its pleadings and that Plaintiff has not previously amended its complaint. However, at this stage of the proceeding, the Court sees no good reason to re-open the pleadings and further delay the disposition of this case.

Accordingly, it is **ORDERED** that Plaintiffs’ motion for leave to amend the complaint (Doc. 121) is **DENIED**.

DONE and ORDERED this 6th day of November, 2019.

T. Kent Wetherell, II

**T. KENT WETHERELL, II
UNITED STATES DISTRICT JUDGE**